Nov 2026 attempt

Ind AS 110 — Consolidated FS

Follows ICAI SM Chapter 13: Unit 1 Introduction · Unit 2 Definitions · Unit 3 Ind AS 110 (control, investment entities) · Unit 4 Consolidation procedure. Illustration numbers as printed in the current SM.

① Unit 1 — Introduction

→ ***Consolidated FS*** *present the financial position of the* ***entire group*** *(parent + group companies);* ***separate FS*** *present a single entity.*

→ *Stakeholders (investors, promoters, lenders, government) prefer consolidated FS — a complete view of the group controlled by the parent. Groups restructure into many companies (tax, efficiency), so consolidated FS are imperative.*

Ind AS	What it covers in this chapter
Ind AS 110	*Criteria for control → subsidiaries; consolidation procedures — eliminating inter-company transactions, NCI, loss of control (Units 3 and 4)*
Ind AS 111	*Whether an arrangement is a joint arrangement; joint operation vs joint venture (Unit 5)*
Ind AS 28	*Significant influence → associate; equity method for associates and JVs (Unit 6)*
Ind AS 27	*Investments in subsidiaries, associates and JVs in* ***separate FS*** *(Units 7-8)*
Ind AS 112	*Disclosures of interests in other entities (Unit 8)*

SM decision chart

Control? *Yes → consolidate as subsidiary (Ind AS 110). No →* ***Joint control?*** *Yes → type of joint arrangement:* ***joint operation*** *→ account for own assets, liabilities, revenue, expenses (Ind AS 111);* ***joint venture*** *→ equity method (Ind AS 28/111). No →* ***Significant influence?*** *Yes → equity method (Ind AS 28). No →* ***financial asset*** *(Ind AS 109; disclosures Ind AS 107). Disclosures for all under Ind AS 112.*

② Unit 2 — Important definitions

Associate	*An entity over which the investor has* ***significant influence****.*
Consolidated FS	*FS of a group in which assets, liabilities, equity, income, expenses and cash flows of the parent and subsidiaries are presented* ***as those of a single economic entity****.*
Control over an investee	*The investor is* ***exposed, or has rights, to variable returns*** *from its involvement and has the* ***ability to affect those returns through its power*** *over the investee.*
Group	*A parent and its subsidiaries.*
Joint arrangement	*An arrangement of which two or more parties have* ***joint control****.*
Joint control	*Contractually agreed sharing of control, existing only when decisions about relevant activities require the* ***unanimous consent*** *of the parties sharing control.*
Joint operation	*Parties with joint control have* ***rights to the assets and obligations for the liabilities****.*
Joint venture	*Parties with joint control have* ***rights to the net assets****.*
Non-controlling interest	*Equity in a subsidiary* ***not attributable, directly or indirectly, to a parent****.*
Parent	*An entity that controls one or more entities.*
Power	***Existing rights*** *that give the* ***current ability*** *to direct the* ***relevant activities****.*
Separate FS	*Presented by a parent, or an investor with joint control or significant influence, in which investments are at* ***cost or under Ind AS 109****.*
Significant influence	*Power to* ***participate*** *in financial and operating policy decisions —* ***not control or joint control****.*
Subsidiary	*An entity controlled by another entity.*

③ Unit 3 — 3.1 Objective of Ind AS 110

→ A parent that controls one or more subsidiaries **prepares consolidated FS**.

→ How to apply **control evaluation** to decide whether to consolidate an investee.

→ Accounting requirements for consolidated FS (Unit 4).

→ Definition of an **investment entity** and its consolidation exemption.

→ Ind AS 110 does **not** deal with business combinations and goodwill — that's Ind AS 103.

④ 3.2 Scope — exemption and exceptions 4

Exemption — a parent need not present CFS if ALL are met (para 4(a))

1. it is a **wholly owned or partly owned subsidiary** of another entity and **all its owners are informed and do not object**;
2. its debt or equity instruments are **not traded in a public market** (domestic or foreign stock exchange, or OTC market incl. local and regional markets);
3. it has **not filed, nor is in the process of filing**, its FS with a securities commission or other regulator **to issue any class of instruments in a public market**;
4. its **ultimate or any intermediate parent** produces FS **available for public use** that **comply with Ind AS**, in which subsidiaries are consolidated or measured at FVTPL under Ind AS 110.

ICAI ·

Illustration 1: X (listed, Ind AS CFS) → A → B, C (all 100%); A unlisted; X doesn't object. **(A)** A is **exempt**. **(B)** X is foreign, CFS under its own GAAP → **not exempt** (parent's FS not Ind AS). **(C)** A is held 100% by **Mr. X, an individual** → no Ind AS FS for public use → **not exempt**.

ICAI ·

Illustration 2: A (listed) → B 100%; A → C 60%; C → X 100%. **(A)** other 40% of C held by outsiders → C must **inform them**; exempt only if they don't object. **(B)** the 40% held by B (A's 100% subsidiary) → C is effectively **100% held by A** → no need to inform B; **exempt**.

→ **Exception 1:** Ind AS 110 does not apply to **post-employment benefit plans or other long-term employee benefit plans** under Ind AS 19 → don't consolidate them. **Example 1:** employee gratuity trust → **not** assessed for control, not consolidated.

→ **Exception 2:** an **investment entity** required to measure all its subsidiaries at FVTPL need not present CFS (§3.7).

→ **Note:** Indian GAAP exclusions — control intended to be **temporary**; subsidiary under **severe long-term restrictions** — **no longer apply** under Ind AS.

⑤ 3.3 Control evaluation 6-9 · B2

> An investor controls an investee **if and only if** it has all three: **(1) power over the investee** · **(2) exposure, or rights, to variable returns from the investee** · **(3) ability to use its power over the investee to affect the investor's returns**.

→ After the initial assessment, **reassess** when there are changes to one or more of the three elements.

→ The investor may need to act in co-operation with another entity, or **no single investor** may control → account under Ind AS 111 (joint arrangement), Ind AS 28 (associate) or Ind AS 109 (financial instrument).

⑥ 3.3.1 Power 10-14 · B9-B54

*An investor has power if it has: **A. existing rights** that give it **B. the current ability C. to direct the relevant activities** of the investee. (SM explains in reverse: relevant activities → current ability → rights.)*

How to identify relevant activities and how decisions about them are made

- → ***Relevant activities** = activities of the investee that **significantly affect the investee's returns**. Examples (not limited to): **selling and purchasing** of goods and services · **managing financial assets** during their life (incl. upon default) · **selecting, acquiring or disposing** of assets · **researching and developing** new products or processes · **determining a funding structure** or obtaining funding · establishing **operating and capital decisions incl. budgets** · **appointing, terminating and remunerating KMP** or service providers.*
- → *Power to direct relevant activities can be **shared** by multiple parties without meeting the definition of joint control.*
- → *Activities **before and after** a particular event may both be relevant; where investors can direct activities at **different times**, decide who directs the activities that **most significantly affect returns** (same as concurrent rights); reconsider if facts change.*
- → *Two or more investors can each **unilaterally direct different** relevant activities → the one directing the activities that **most significantly affect returns** has power.*

ICAI ·

***Example 2:** five parties own 20% each, one board seat each; all strategic decisions need consent of **any four of five** → **not joint control** (no unanimity required), but power is **shared** and **no single party controls**.*

ICAI ·

***Illustration 3:** C Ltd. builds and operates a toll road; A constructs (2 years, recovers cost + fixed margin, first call on toll cash); B then runs operations, maintenance, and takes residual cash as management fee; B sets the tolls → A is merely a **contractor**; residual risks and rewards are B's → **B controls C from inception**, even during construction.*

ICAI ·

***Illustration 4:** A Ltd. (asset manager, 10% units) takes investment/divestment decisions of Fund X; majority unitholders appoint a committee for day-to-day **administration** → A directs the activities that most significantly affect returns → A has **power** (control still needs returns and link).*

Current ability to direct relevant activities

- → *The investor can make decisions **at the time they need to be taken**. It need not actively direct.*
- → *Not limited to acting **today** — steps like calling a meeting don't prevent power, if no other barriers exist.*
- → *Investees with mostly **predetermined** decisions: decisions arise only on particular events → the ability to make them **if and when they arise** is current ability.*
- → *Current ability always arises from **rights** (voting, potential voting, rights in other arrangements, or a combination).*

ICAI ·

***Illustration 5:** vehicle funded by a debt investor and equity investors (equity takes first loss); an equity investor with 30% is asset manager and manages the portfolio until defaults use up the equity tranche; then a trustee manages it on the debt investor's instructions → relevant activity = **managing the asset portfolio**; each of the asset manager and the debt investor must judge who directs the activities that **most significantly** affect returns, considering **purpose and design** and their exposure to variability.*

3.3.1.1 Rights that give power

Form of right	SM example
Voting rights or potential voting rights	*Holding a majority of equity share capital*
*Rights to **appoint, reassign or remove KMP** who can direct relevant activities*	*Right to appoint a majority of the board that decides relevant activities*
*Rights to **appoint or remove another entity** that directs relevant activities*	*Right to appoint/remove the asset manager of a venture capital fund*
*Rights to **direct the investee into, or veto changes to, transactions for the investor's benefit***	*Right to make the investee sell all its output to the investor's group company at a price set by the investor*
***Other rights** (e.g. decision-making rights in a **management contract**)*	*Rights over relevant activities given to one investor by all others through a **shareholders' agreement***

*Where the investee has many relevant activities needing continuous decisions, it is usually **voting or similar rights** that give power.*

3.3.1.1A Substantive rights vs protective rights

Substantive rights	Protective rights
***Can** give the investor power*	*Do **not** give power*
*Relate to the **relevant activities***	*Protect the holder's interest **without** giving rights over relevant activities*

I. Substantive rights — holder must have the practical ability to exercise them

Judgement on all facts. Factors (not exhaustive):

a. ***Barriers** that prevent exercise: **financial penalties and incentives** · **high exercise or conversion price** · terms that make exercise unlikely (e.g. **narrowly limited timing**) · **no explicit, reasonable mechanism** in founding documents or law · holder **can't obtain the information** needed · **operational barriers or incentives** (e.g. no other manager willing or able to provide specialised services and take over the existing manager's interests) · **legal or regulatory requirements** (e.g. foreign investor prohibited from exercising).*

b. *Where exercise needs **more than one party** or rights are held by many: is there a **mechanism** giving them the practical ability to act **collectively**? No mechanism → probably not substantive. An **independent board** can be such a mechanism.*

c. *Would the holders **benefit** from exercising? Potential voting rights are more likely substantive when the exercise price is **below market** or there are **synergies**.*

ICAI ·

***Illustration 5 (SM numbering) — voting rights:** A holds 10%; nine others 10% each gave A decision rights for 5 years via a management agreement. **(A)** the 90% want to terminate after 2 years but a **huge penalty** is payable → barrier → **not substantive**. **(B)** no penalty, but only 4 holders (40%) dispute; removal needs a majority → **not substantive**.*

ICAI ·

***Illustration 6 — potential voting rights:** investor holds 30% with an option for 30% more. **(A)** exercise price far above market (loss-making company) → **not substantive**. **(B)** price at market, but exercisable only within **1 month** and the investor can't arrange funds → **not substantive**. **(C)** market price **unknowable** (new, unique business) → can't judge benefit → **not substantive**.*

ICAI ·

***Illustration 7 — removal rights:** other investors can remove the VC fund's asset manager, but **no other manager** is willing/able to provide the specialised services and buy its stake → **not substantive**.*

→ To be substantive, a right should be exercisable **when decisions need to be made** — usually currently exercisable, but **not always**.

→ **Example 3:** investor holds 30% + option for 40% more exercisable within **25 days**; next shareholders' meeting on relevant activities is in **30 days** → can reach 70% in time → **substantive**.

→ Evidence that the investor **has been directing** relevant activities helps but is **not conclusive**.

→ Consider **substantive rights held by others** — rights to approve or block decisions can prevent the investor from deciding. **Example 4:** 5 investors; any 2 can call a meeting, but every decision needs **unanimous** consent → each investor's consent is needed.

2. Protective rights

→ Designed to **protect the holder's interest** without giving power. Mainly relate to **fundamental changes** or apply in **exceptional circumstances** (but not every exceptional/contingent right is protective). They neither give power nor prevent another party from having power.

→ Examples: right exercisable only on **fraud or default** by the investors who have power · a **lender's right to appoint a nominee director** to ensure the borrower avoids activities that increase credit risk (*protective only so long as it doesn't give **majority control of the board**) · **minority shareholders' right to approve capex beyond the normal course**, or issue of equity or debt · a **lender's right to seize assets** on default · rights to approve/block **change of name**, amendment of constitutional documents to enter a new business, change of registered office.

Investor's rights	Other parties' rights	Conclusion on power
Substantive	Protective	**Investor has power**
Protective	Substantive	Other parties have power
Substantive	Substantive	Further evaluation needed

Franchises

→ Franchisor's rights usually **protect the brand**. Features indicating protective rights: they don't give the franchisor ability to direct the franchisee's relevant activities · **other parties** have current ability to direct them · they don't affect others' rights to decide · the **franchisee operates the business for its own account**.

→ Legal form and **funding structure** may be decided by others and significantly affect returns. The **lower the franchisor's financial support** and exposure to variability, the more likely its rights are only protective.

ICAI ·

Illustration 8: PQR (franchisee of ABC's Brand X) funds the outlet itself, decides capital structure, hires staff, fixes pay, selects vendors; ABC sets interiors, uniforms and other guidelines to protect the brand → ABC's rights are **protective**; PQR directs the relevant activities.

3.3.1.3 Voting rights

Generally power comes through voting rights. But even a **majority** may not give power if (i) the voting rights are **not substantive**, or (ii) **another entity** (not the investor's agent) has existing rights to direct the relevant activities. Other rights may still give power.

3.3.1.3.1 Power through voting rights

A. With a majority — power where (a) relevant activities are directed by a **vote of the majority holder**, **or** (b) a **majority of the governing body** that directs relevant activities is **appointed by the majority holder** (e.g. board appointed by the majority shareholder).

B. Without a majority — through: (1) **contractual arrangement with other vote holders** (investor directs how they vote) · (2) **rights from other contractual arrangements** (decision rights over, e.g., manufacturing or financing, combined with votes) — **economic dependence alone** (e.g. supplier and its main customer) does **not** give power · (3) **the investor's own voting rights — de facto control** · (4) **potential voting rights** · (5) a **combination**.

De facto control — sufficiency of votes	Higher	Lower
Number of voting rights held by investor	**More likely power**	Less likely
Size of investor's votes relative to other holders	**More likely power**	Less likely
Number of parties needed to outvote the investor	**More likely power**	Less likely

ICAI ·

Illustration 9: 45%; thousands of others ≤1% each; no arrangements → **more likely power** — can conclude on size alone without other evidence. **Illustration 10:** 40%; six others at 10% each → **less likely**; size alone is not conclusive — consider additional facts.

→ Also consider potential voting rights and other contractual arrangements. If the investor holds sufficiently more votes and others are **widely dispersed**, the three factors may be enough.

→ If still unclear → consider additional facts, e.g. **voting patterns at previous meetings**. If still **not clear** that the investor has power → it **does not control**.

ICAI ·

Illustration 11: 35%; three others hold 5% each; rest ≤1% each; decisions by majority of votes cast; **75% of votes** cast at recent meetings → active participation means no practical ability to direct unilaterally → **no power**, even if others happened to vote with the investor.

Potential voting rights

→ Rights to obtain voting rights — **convertible instruments, options, forward contracts**. Considered only if **substantive**.

→ Consider the **purpose and design** of the instrument and other benefits from exercise; consider them **together** with the investor's votes and other rights.

ICAI ·

Illustration 12: A and two others hold one-third each; investee's business closely related to A; A also holds debt **convertible at any time** at a fixed price (substantive) → 60% on conversion; synergies → **A has power**.

3.3.1.3.2 Power other than through voting rights

When voting rights **can't significantly affect returns** (e.g. votes relate to **administrative tasks only**), consider: **(1) purpose and design** of the investee · **(2) contractual arrangements** · **(3) special relationship** between investor and investee.

(1) Purpose and design

→ Helps identify: the **relevant activities**, **how decisions** about them are made, **who has current ability** to direct them, and **who receives the returns**.

→ Consider the investor's involvement and decisions at **design** stage. Involvement in design **alone is not sufficient** for control, but may show the investor had the **opportunity to obtain rights** sufficient for power.

ICAI ·

Illustration 13: PQR sets up XYZ to build a power plant and distribute electricity under a state contract; PQR involved in design; decisions on generation and price are not determined by voting rights → involvement in design **indicates** opportunity to obtain power but is **not sufficient**; consider other facts such as contractual arrangements.

(2) Contractual arrangements

→ Consider **call rights, put rights, liquidation rights** giving explicit or implicit decision rights closely related to relevant activities — even if they operate **outside the legal boundaries** of the investee.

→ Some investees are designed so that activities and returns are **predetermined until particular events occur** → only decisions on those events are relevant activities. The events **need not actually occur**; the right to decide whenever required is enough for power.

ICAI ·

Illustration 14 — rights contingent on future events: investee buys receivables and services them day to day (collect and pass on); on default, the receivable is **automatically put** to an investor under a separate agreement; managing defaulted receivables is the only relevant activity → agreement + founding documents are integral → **investor has power**, though it manages defaulted receivables outside the investee.

→ An explicit or implicit **commitment to ensure the investee operates as designed** increases exposure and the incentive to obtain power — an **indicator** only; doesn't by itself give power or prevent another party from having power.

ICAI ·

Illustration 15: A (pharma) depends entirely on B for packing material (others inferior) → A is committed to ensure B operates as designed → **indicator** of power; consider other facts before concluding control.

(3) Special relationship — for marginal cases (B18–B20)

Ind AS 110 gives guidance on **evidence** of possible power, **indicators** of possible power and **incentives** to obtain power.

Evidence of practical ability to direct unilaterally (B18)	SM example
Investor can **appoint or approve KMP** who direct relevant activities	40% of votes, but right to appoint a majority of the board that decides relevant activities
Investor can **direct the investee into, or veto changes to, significant transactions** for its benefit	A and B 50% each, 2 board members each; A appoints the chairman with a **casting vote** on deadlock
Investor can **dominate the nominations process** for the governing body, or obtaining proxies	X and 4 others each appoint one director of P; 2 of the others are X's related parties whom X can direct → X appoints the majority
Investee's **KMP are related parties** of the investor	Same person is CEO of both
Majority of investee's **governing body are related parties** of the investor	Majority of investee's board are also on the investor's board

Indicators of more than a passive interest (B19) — may indicate power with other rights
Investee's KMP who direct relevant activities are **current or previous employees** of the investor
Investee's operations are **dependent** on the investor: **funding** a significant portion of operations · **guaranteeing** a significant portion of obligations · **critical services, technology, supplies or raw materials** · investor controls **licences or trademarks** critical to operations · **KMP** with specialised knowledge supplied by investor
A significant portion of the investee's activities **involve or are conducted on behalf of** the investor
Investor's exposure to returns is **disproportionately greater** than its voting rights (e.g. more than half the returns, less than half the votes)

→ **B20** — the greater the exposure to variability, the greater the **incentive** to obtain power; large exposure is an **indicator**, not determinative.

→ Weighing B18, B19, B20 with the investor's rights: **greater weight to the evidence in B18**.

7 3.3.2 Exposure, or rights, to variable returns 15-16 · B55-B57

→ **Variable returns** = returns **not fixed** that can vary with the investee's performance — only positive, only negative, or both. The term is "returns", not "benefits".

→ Judge on **substance**, regardless of legal form: **fixed interest on a bond** is variable (default/credit risk); **fixed performance fees** for managing assets are variable (performance risk). A **non-refundable** income not affected by credit risk or performance can be a **fixed** return.

→ Returns include **direct** (mostly financial) and **synergistic** (indirect) returns.

Examples of variable returns
Dividends, other distributions (e.g. **interest** from debt securities) · **changes in the value** of the investment
Remuneration for servicing the investee's assets or liabilities · **fees and exposure to loss** from providing **credit or liquidity support** · **residual interests** on liquidation · **tax benefits** · **access to future liquidity**
Returns **not available to other interest holders** — combining operating functions for economies of scale, cost savings, sourcing scarce products, access to proprietary knowledge, limiting some operations to enhance the investor's other assets

→ Exposure alone is not enough. A **lender** exposed to credit risk through interest doesn't control the borrower if it can't affect those payments.

→ Only one investor can control; **many can share returns** (e.g. NCI).

→ **Reputational risk** — e.g. banks supporting vehicles they sponsored during the financial crisis to protect reputation, with no legal or contractual obligation. Reputational risk **in isolation is not a basis for consolidation**; it is a factor (part of exposure, from non-contractual sources) that may increase the incentive to secure power, not an indicator of power in its own right.

8 3.3.3 Link between power and returns 17-18 · B58-B72

→ Control needs the **ability to use power to affect the investor's returns**. A decision maker must decide whether it is a **principal or an agent**, and whether another decision maker is acting as **its** agent.

→ **Agent** — a party primarily engaged to act on behalf and for the benefit of another (the principal). An agent **does not control** when exercising delegated rights. Rights delegated to the investor's agent are treated as **held by the investor**.

→ Consider the overall relationship and **all four factors**, with weights depending on facts: (1) **scope of decision-making authority** · (2) **rights held by other parties** · (3) **remuneration** · (4) **exposure to variable returns from other interests**.

Factor	SM guidance
Scope of authority	(a) activities permitted by the agreement and law; (b) **discretion** over them. Consider purpose and design, risks designed to be passed on, and the decision maker's **involvement in design** — significant involvement may show opportunity and incentive to obtain power.
Rights held by others — removal rights	**Single party** holds substantive removal rights and can remove **without cause** → **in isolation sufficient: agent**. **More than one party** needed → not conclusive alone. The **more parties** needed and the **bigger** the decision maker's other economic interests, the **less weight** on removal rights.
Other substantive rights	Rights that restrict discretion are treated like removal rights; a decision maker needing approval from a **small number** of parties is generally an **agent**. Include rights of the investee's **board** — a board appointed by other investors that can remove the decision maker **without cause** → **agent**.
Remuneration	Higher magnitude and variability vs expected returns → **principal**; lower → agent (e.g. 1% change in investee returns moves remuneration by less than 1% → may be agent; more than 1% → may be principal). **Both** conditions needed to be an agent: remuneration **commensurate with services and** only **customary, arm's length terms**. If either fails → **not an agent**; if both met → more likely agent, still consider other facts.
Exposure from other interests	Investments in the investee or performance guarantees → may be **principal**. Consider remuneration and other interests **in aggregate** (so remuneration is considered again here). Is its exposure **different** from other investors' (e.g. **subordinated** interest, **credit enhancement**) and might that influence its actions? Evaluate relative to total variability, mainly on expected returns but not ignoring **maximum exposure**.

Illus.	Scope	Removal rights	Remuneration	Other interest	Conclusion
16	Narrowly defined mandate (regulated public fund)	None (only redemption within limits); no independent board	1% of NAV, commensurate	10% pro rata; no obligation beyond it	**Agent — no control**
17(A)	Extensive discretion, must act in best interests of all investors	Simple majority, **only for breach of contract** → protective	1% of AUM + 20% of profits above a level, commensurate	2%	**Agent**
17(B)		Same (protective)		More substantial (e.g. 20%)	**Principal — controls (judgement)**
17(C)		Independent board appointed by investors **reappoints annually**; other managers available → **substantive**		20%	**Agent — removal rights get more weight**
18	Within prospectus parameters (ABS portfolio)	Without cause by simple majority of **widely dispersed** investors → little weight	1% AUM + 10% of profits above a level	**35% of equity**, first-loss, subordinated	**Principal — controls**

ICAI ·

Illustration 19 (sponsor): fund issues short-term debt, buys highly rated medium-term assets; transferors service assets and give first-loss over-collateralisation; sponsor sets fund terms, approves sellers and assets, decides funding, gets a market fee, takes **residual return**, gives **credit enhancement** (losses up to 5% after transferors) and **liquidity facilities**; investors have no substantive rights → exposure **different** from others → **principal** → **controls**. Duty to act in investors' best interest doesn't prevent being principal.

9 3.4 Relationship with other parties — de facto agents B73–B75

- → Consider whether other parties act on the investor's behalf — **de facto agents**. Judgement on the relationship and how the parties interact. **No contract needed**.
- → A party is a de facto agent when the investor (or those directing the investor) can **direct it to act on the investor's behalf**. Combine its decision rights and the investor's indirect exposure through it **with the investor's own**, as if held directly. Having a de facto agent doesn't automatically mean control.

ICAI ·

Example 5: investor 30% + fellow subsidiary 30% that the investor can direct → de facto agent → 60% → **control**. If the fellow subsidiary held only 10% → 40% → not control on that basis.

Possible de facto agents: investor's **related parties** · a party that got its interest as a **contribution or loan from the investor** · a party that agreed **not to sell, transfer or encumber** its interest without the investor's prior approval (unless both have mutual approval rights on agreed terms) · a party that **can't finance operations without subordinated support** from the investor · an investee whose **board majority is the same** as the investor's · a party with a **close business relationship** (e.g. professional service provider and a significant client). These are not automatically de facto agents — evaluate each.

10 3.5 Control of specified assets — silos B76–B79

- → A portion of an investee is a **deemed separate entity (silo)** if and only if: **specified assets** (and related credit enhancements) are the **only source of payment** for specified liabilities or other interests; parties other than those with the specified liability have **no rights or obligations** on the specified assets or their residual cash flows; in substance **none** of the returns from the specified assets can be used by the remaining investee and none of the silo's liabilities are payable from the remaining investee's assets — i.e. everything is **ring-fenced**.
- → Example: mutual fund with sub-funds (debt-oriented, equity-oriented) — check whether each sub-fund is a silo.
- → If a silo exists, assess control of the **silo** (power, returns, link). The investor that controls it **consolidates** it; other parties **exclude** that silo when assessing control of, and consolidating, the investee.

11 3.6 Continuous assessment 8 · B80–B85

Reassess when	SM example
Change in **how power can be exercised**	Relevant activities no longer directed through voting rights but through contracts giving another party power
An **event** causes gain or loss of power **without the investor's involvement**	Decision rights of another party that prevented control **lapse**
Changes in **exposure or rights to variable returns**	Contract to receive performance-related fees **terminated** → may lose control
Change in **agent/principal** status	Changes in rights of investor or others → reconsider

A change in **market conditions** alone (e.g. investee's returns change) does **not** change the assessment, unless it changes one of the three elements or the principal–agent relationship.

12 3.7 Investment entities 27–33 · B85A–B85W

3.7.1 Definition — ALL three conditions

1. **Obtains funds** from one or more investors for providing those investors with **investment management services**;
2. **Commits to its investors** that its business purpose is to invest funds **solely for returns from capital appreciation, investment income, or both**;
3. **Measures and evaluates** the performance of **substantially all** its investments on a **fair value basis**.

Typical characteristics: more than one investment · more than one investor · investors **not related parties** · ownership interests in the form of **equity or similar**. Absence of one or more **doesn't disqualify** — needs more judgement. **Reassess** if any element or characteristic changes.

Element	SM detail
3.7.1.1 Business purpose	Evidence: **offering memorandum**, publications, partnership documents, how it presents itself to investors/investees (e.g. "medium-term investment for capital appreciation"). Presenting itself as aiming to **jointly develop, produce or market products** with investees is **inconsistent**. May provide **investment-related services** (advisory, management, support, admin) to third parties and investors, even if substantial. May give investees **management services/strategic advice** and **financial support** (loan, capital commitment, guarantee) **only** to maximise investment returns and if not a **separate substantial business** or **separate substantial source of income**.
3.7.1.2 Exit strategies	Doesn't hold investments indefinitely. Needs a documented exit strategy for substantially all **equity** and **non-financial asset** investments, and for debt that could be held indefinitely (**perpetual debt**). Not one per investment — strategies per type/portfolio with a **substantive time frame**. Exit only on **default** events (breach, non-performance) is **not** an exit strategy. Examples: private equity — IPO, private placement, trade sale, distributions of interests to investors, sale of assets then liquidation; listed equity — sale in private placement or market; real estate — sale via dealers or open market. Investment in another investment entity formed for legal/tax reasons → no exit strategy needed if **that** entity has them.
3.7.1.3 Earnings from investments	**Not** an investment entity if it or another **group member** obtains (or aims to obtain) **other benefits** not available to unrelated parties: acquisition, use, exchange or exploitation of an investee's processes, assets or technology (incl. **disproportionate or exclusive rights** to acquire them) · joint arrangements/agreements with an investee to develop, produce, market or provide products · **financial guarantees or assets** from an investee for borrowings of the entity or group (but it may use an investment as **collateral**) · an **option held by a related party** to buy an ownership interest in an investee · transactions with an investee that are on terms unavailable to unrelated parties, **not at fair value**, or a **substantial portion** of the investee's or group's business. Investing in several investees in the same industry for synergies is allowed; investees **trading with each other** doesn't disqualify.
3.7.1.4 Fair value measurement	Must (a) give investors FV information and measure substantially all investments at FV wherever Ind AS requires or permits, **and** (b) report FV internally to **KMP**, who use it as the **primary measure** for performance and investment decisions. So it would elect the **Ind AS 28 exemption** from the equity method and measure financial assets at FV under Ind AS 109. **Non-investment assets** (head office, equipment) and **liabilities** need not be at FV.
3.7.1.5 More than one investment	Typical (directly, or via one investment in another investment entity). A **single investment** is OK when: in **start-up** period; not yet replaced disposed investments; set up to pool funds for an investment **unobtainable individually** (minimum too high); in **liquidation**.
3.7.1.6 More than one investor	Pooling reduces chance of other benefits. Can be formed by or for a **single investor representing a wider group** (pension fund, government investment fund, family trust). Temporarily a single investor: within **initial offering period**; not yet replaced redeemed investors; in **liquidation**.
3.7.1.7 Unrelated investors	Typical, but related investors don't disqualify — e.g. a **parallel fund** for employees/KMP that mirrors the main fund may still qualify.
3.7.1.8 Ownership interests	Typically (not necessarily) a separate legal entity, with equity or similar interests (partnership interests) giving proportionate shares of net assets. **Different classes** of investors, with rights to specific investments or different shares, don't preclude it. **Example 6:** class A gets 10% of profits first, then A and B share proportionately → still OK. Significant ownership in the form of **debt** (not equity under Ind AS 32) can still qualify if holders are exposed to variable returns from changes in FV of net assets. **Example 7:** compulsorily convertible bonds into a variable number of shares (financial liability) → exposure to variable returns → OK.

ICAI ·

Illustration 20 — business purpose: fund raises units from many investors, invests in equity for capital appreciation, holds ≤ 5 years, uses FV; also gives investees **strategic advice and loans** to boost appreciation → elements 1 and 3 met; typical characteristics present; treat as investment entity **only if** the services and support are not a substantial business activity or substantial separate income.

ICAI ·

Illustration 21 — exit strategies: exit strategies for equity shares; none for idle funds put into **fixed-maturity** debt → debt can't be held indefinitely → no exit strategy needed → condition **met**.

ICAI ·

Illustration 22 — earnings: PQR invests in pharma R&D companies; fellow subsidiary DEF has contracts to get successful patents and distribution rights **below market price** → group obtains other benefits → PQR is **not** an investment entity.

3.7.2 Exemptions to investment entities

- → An investment entity **does not consolidate** its subsidiaries or apply Ind AS 103 when it obtains control; it measures investments in subsidiaries at **FVTPL** under Ind AS 109.
- → **Exception:** a subsidiary that is **not itself an investment entity** and whose main purpose is providing **services related to the investment entity's investment activities** → **consolidate** it (and apply Ind AS 103 on acquiring it). If that service subsidiary is itself an investment entity → FVTPL.
- → A **parent of an investment entity** consolidates **all** entities it controls, including those held through the investment entity subsidiary — **unless the parent itself is an investment entity**.

ICAI ·

Illustration 23: T holds 70% of HTF (rest held by 10 unrelated investors); HTF invests in tech start-ups for appreciation; T holds **options to buy HTF's investments at FV** if the technology would benefit T; HTF has **no exit plans** → **not an investment entity**: (a) T's options give a benefit beyond appreciation/income; (b) no exit strategies for equity investments (T's options aren't HTF's exit strategy).

Change of status (Unit 4, Illustrations 35–36): ceases to be an investment entity → subsidiary deemed acquired at FV on that date (goodwill = FV of investment + NCI − net assets); becomes one → stop consolidating, gain/loss as on loss of control.

13 Unit 4 — 4.1 Overview

→ Consolidated FS = consolidated **balance sheet**, **statement of profit and loss**, **statement of changes in equity**, **cash flow statement** and **notes**.

→ Follow **Division II of Schedule III** to the Companies Act 2013 *mutatis mutandis*, plus Ind AS disclosures, plus Ind AS 27 and Ind AS 112 information (Unit 8).

14 4.2 Consolidation procedure

Consolidate from the date the investor **obtains control** until it **loses control**. Key concepts in the SM order: goodwill/capital reserve and NCI on acquisition · step acquisition · control without consideration · uniform policies · measuring the subsidiary's income and expenses · potential voting rights · different reporting periods · dividends and NCI · intra-group eliminations and unrealised profit · NCI share and changes in ownership · preparing CFS · chain holding · loss of control (4.3).

4.2.1 Goodwill / capital reserve and NCI on acquisition

Goodwill = (a) [consideration (FV) + NCI (Ind AS 103) + FV of previously held interest] – (b) identifiable net assets (FV, except common control)

→ **Capital reserve** (bargain purchase, extremely rare): (b) > (a) after the para 36 reassessment → gain in **OCI**, accumulated in equity as **capital reserve**, attributed to the acquirer; in all other cases → **directly in equity** as capital reserve.

→ **NCI** (present ownership interests) at (a) **fair value** or (b) **proportionate share** of recognised identifiable net assets.

→ **4 steps:** (1) FV of consideration → (2) NCI → (3) FV of identifiable net assets → (4) goodwill / capital reserve.

Illus.	Facts	FV method	Proportionate method
1	80% for ₹120 cr; NCI FV 30; net assets 130	120 + 30 − 130 = **20** (Dr NA 130, GW 20; Cr Cash 120, NCI 30)	NCI 26 → **16**
2	60% for ₹750 lakh (incl. control premium); NCI FV 480; net assets 1,000	750 + 480 − 1,000 = **230**	NCI 400 → **150**
3	80% for ₹400 lakh; NCI FV 100; net assets 520	Bargain **(20)** (Cr gain 20)	NCI 104 → bargain **(16)**
4	100% for ₹100 lakh; net assets 80	No NCI → goodwill **20**	

4.2.2 Step acquisition

→ **Example 1:** A holds 25% of B; buys 40% more on 1 Apr 20X1 → control → step acquisition.

→ Remeasure the previously held interest at acquisition-date FV; gain/loss in **P&L or OCI** as appropriate. Rationale: moving from a non-controlling investment to control is a **significant change in nature and economic circumstances** — the acquirer derecognises an investment asset and starts reporting underlying assets, liabilities and results → gain/loss at acquisition date.

→ Earlier OCI on an **FVOCI** equity interest is **never reclassified to P&L** but **may be transferred to retained earnings** on this "deemed disposal" — same as an actual disposal.

ICAI ·

Illustration 5: RS holds 30% of PQ (associate, carrying ₹100 lakh); buys remaining 70% for ₹700 lakh; FV of 30% = 300; net assets 800 → goodwill 700 + 300 − 800 = **200**; gain 300 − 100 = **200 to P&L**. Entry: Dr NA 800, Goodwill 200 · Cr Cash 700, Investment in associate 100, Gain 200.

4.2.3 Control without transfer of consideration

→ (a) acquiree **buys back its own shares**; (b) **minority veto rights lapse**; (c) combination **by contract alone** (stapling, dual listed corporation).

→ In the goodwill formula, "FV of consideration transferred" is replaced by the **acquisition-date FV of the acquirer's interest** in the acquiree — remeasure the existing interest (gain/loss in P&L or OCI) and use it.

→ By contract alone: the acquiree's net assets are attributed to its owners as **NCI**, even if that means **100% NCI**. **Example 2:** A controls B by contract, holds no stake → **100% of B's net assets to NCI**.

4.2.4 Uniform accounting policies B7 · B87

→ Use uniform policies for **like transactions and events in similar circumstances**; adjust a group member's FS that use different policies.

→ **Example 3:** US subsidiary under US GAAP → convert to **Ind AS** for consolidation.

ICAI ·

Illustration 6: subsidiary uses SLM, parent WDV for PPE. Depreciation **method** is an **accounting estimate** (Ind AS 16.60–61, change → Ind AS 8 estimate), not a policy → choose what reflects the pattern of consumption → **no adjustment**; subsidiary keeps SLM, parent WDV, if that reflects their patterns.

ICAI ·

Illustration 7: H uses FIFO; subsidiary S and associate A use weighted average; different lines of business. Cost formula **is** an accounting policy (Ind AS 2.36(a)), but Ind AS 2.25–26 allow different formulas for inventories of **different nature or use** (not merely different location or tax rules) → if nature/use differs, **no adjustment** needed.

4.2.5 Measurement of the subsidiary's income and expenses B88

→ Include from the date control is gained until it ceases.

→ Income and expenses are based on the amounts of assets and liabilities recognised in the CFS **at the acquisition date**. **Example 4:** PPE FV ₹100 lakh (book ₹80 lakh) → depreciation in CFS on **₹100 lakh**.

4.2.6 Potential voting rights held in a subsidiary B89–B91

→ Allocation of profit/loss and equity changes between parent and NCI is based **solely on existing ownership interests**, ignoring possible exercise of potential voting rights; those instruments follow **Ind AS 109**.

→ **Exception:** if a transaction gives the entity, in substance, an **existing ownership interest — present access to the returns** — allocate taking into account the eventual exercise; then Ind AS 109 does not apply to those instruments. E.g. investor holds 60% with an option for 20% more and gets the returns on the underlying shares **even before exercise**.

4.2.7 Reporting period of parent and subsidiary B92–B93

→ Same reporting date. If different (parent 31 Mar 20X1, subsidiary 31 Dec 20X0), the subsidiary prepares **additional financial information** as of the parent's date, unless **impracticable**.

→ If impracticable: use the subsidiary's most recent FS **adjusted for significant transactions or events** up to the CFS date; the gap must be **no more than three months**.

→ Length of periods and the gap must be the **same from period to period**; if the gap is removed, **restate comparatives** for equivalent periods.

ICAI ·

Illustration 8: classify current/non-current by reference to the **group's reporting date**. Subsidiary's year end 31 Dec 20X1; payable due 1 Jan 20X3 (non-current for it); parent's year end 31 Mar 20X2 → due within 9 months → **current** in the CFS.

ICAI ·

Illustration 9: foreign subsidiary breached a covenant before year end; lender agreed after year end (before approval) not to demand repayment. IFRS (IAS 1) → current; **Ind AS 1 para 74** (Indian carve-out) → **non-current** in A Ltd.'s CFS — align to Ind AS.

4.2.8 Dividend from a subsidiary and its impact on NCI

- → **Ind AS 109 para 5.7.1A** — dividend in P&L only when (i) the **right to receive is established**, (ii) it is **probable** the benefits will flow, and (iii) the amount can be **measured reliably**.
- → **Ind AS 27 para 12** — dividend from a subsidiary in separate FS when the right to receive is established. Under the Companies Act 2013 that is when declared by **shareholders in the AGM**.
- → Dividend from a subsidiary, JV or associate is **income** in separate FS. Under **Ind AS 36**, a dividend declaration plus some other evidence is an **indicator of impairment** of the investment.

ICAI ·

Illustration 10: XYZ buys 80% of ABC on 1 Apr 20X1 for ₹1,40,000; ABC's capital 1,00,000 + P&L 60,000; net assets FV 1,50,000; year's profit 20,000; dividend 30,000 declared and paid later (after AGM). XYZ's entry on receipt: **Dr Bank 24,000 · Cr P&L 24,000**. NCI (FV, same per-share price as purchased interest): 1,40,000 × 100/80 = 1,75,000 × 20% = **35,000** → Dr NA 1,50,000, Goodwill **25,000** · Cr Cash 1,40,000, NCI 35,000. NCI on 31 Mar 20X2 = 35,000 + 20% × 20,000 = **39,000** (dividend recognised only on AGM approval).

Illus.	Variation	NCI on 1 Apr	Goodwill	NCI on 31 Mar
11	Proportionate; net assets 1,50,000	30,000	20,000	34,000
12	FV method; net assets 1,60,000	35,000	15,000	39,000
13	Proportionate; net assets 1,60,000	32,000	12,000	36,000

4.2.9 Elimination of intra-group transactions B86(c)

- → Intra-group **balances, transactions and resulting unrealised profits** are eliminated **in full**. Unrealised **losses** are also eliminated **unless cost cannot be recovered**.
- → Set off a liability of one group entity against the asset in the other; exclude intra-group sales from turnover and from purchases (or the relevant expense).
- → If the buyer has **sold the goods outside** the group → only eliminate sales and cost of sales; no profit adjustment. If still **on hand** → eliminate the intra-group profit; assets at **cost to the group**.
- → Applies to inventories, **PPE, intangibles and investment property**, and to **all** consolidated subsidiaries, even those less than 100% owned.
- → **4.2.9.1 Inventories** — profit on goods still held by the buyer isn't earned until sold outside the group → eliminate from group profit; inventory at cost to group.
- → **4.2.9.2 Non-current assets** — unrealised profit on intra-group transfers of PPE, intangibles, investment property also eliminated.
- → **4.2.9.3 Unrealised losses** — eliminated unless cost cannot be recovered (i.e. a real impairment).

Illus.	Facts	ICAI treatment
14 (upstream)	Parent owns 60%; **subsidiary sells** inventory to parent for 35,000, profit 15,000; still held by parent	Eliminate **100%**: inventory at 20,000; Dr Consolidated revenue 35 · Cr Cost of sales 20 · Cr Inventory 15 (₹'000). Reduction of 15,000 **shared 60% parent : 40% NCI**.
15 (downstream)	Same, but **parent sells** to subsidiary	Same entry; reduction of 15,000 allocated **entirely to the parent**.
16 (downstream + tax)	A sells goods costing 200 to 80% subsidiary B for 240; 50% in B's stock (120); tax 30%	Reduce inventory by **20** → consolidated profit −20; **DTA 6** (accounting base 100 < tax base 120).
17 (upstream + tax)	Ram buys goods costing 100 from 80% subsidiary Shyam for 120; 50% in stock (60); tax 30%	Reduce inventory by **10** → profit −10; **DTA 3** (base 50 vs tax base 60).
18 (PPE)	A (sells capital equipment) sells equipment costing 100 to 80% subsidiary B for 120; B's PPE; life 10 years	Reduce PPE by 20 and depreciation by **2**; eliminate sales and cost of sales. Dr Revenue 120 · Cr Cost of sales 100 · Cr PPE 18 · Cr Depreciation 2 (₹ lakh).

4.2.10 NCI — allocation and changes in proportion 22 · B94-B96

→ Present NCI in the consolidated balance sheet **within equity, separately** from equity of the parent's owners.

→ **4.2.10.1** Attribute profit or loss and **each component of OCI** to owners and NCI; attribute total comprehensive income to NCI **even if NCI has a deficit balance**.

ICAI ·

Illustration 19: A buys 70% of B on 1.4.20X1 for 10,00,000 (B: capital 10,00,000 + other equity 80,000; FV = book). NCI 30% × 10,80,000 = **3,24,000**; goodwill 10,00,000 + 3,24,000 − 10,80,000 = **2,44,000** (stays the same every year). Losses 2,50,000, 4,00,000, 5,00,000, 1,20,000 then profits 50,000, 1,00,000, 1,50,000 → NCI: 2,49,000 → 1,29,000 → **(21,000)** → **(57,000)** → (42,000) → (12,000) → 33,000. NCI goes **negative** and keeps taking its 30%.

ICAI ·

Illustration 20 (4 cases, proportionate NCI, FV = book): Case 1 (90%, cost 1,40,000, net assets 1,50,000): NCI 15,000 → 17,000; **goodwill 5,000**; holding RE +18,000 (90% × 20,000). Case 2 (85%, cost 1,04,000, net assets 1,30,000): NCI 19,500 → 18,000; **bargain 6,500**; RE −8,500 (85% × −10,000). Case 3 (80%, 56,000, 70,000): NCI 14,000 → 14,000; nil; RE nil. Case 4 (100%, 1,00,000, 90,000): no NCI; **goodwill 10,000**; RE +16,000.

→ **Cumulative preference shares** (equity) held by NCI → compute the parent's share **after deducting their dividend, whether declared or not**. **Example 5:** R holds 80% of Y; Y's 10% cumulative preference ₹10,00,000 held by NCI; profit 5,00,000 → 5,00,000 − 1,00,000 = 4,00,000 × 80% = **3,20,000** to R.

4.2.10.2 Change in proportion — control retained

→ Arises when the parent **buys from NCI** (60% → 70%), **sells to NCI** (70% → 60%), or the subsidiary **issues new shares to NCI** diluting the parent. **Example 6:** M (70% of N) buys or sells 10% → equity transaction.

→ **Equity transaction** (with owners as owners): adjust controlling and NCI carrying amounts; the difference between the NCI adjustment and the FV of consideration paid/received → **directly in equity, attributed to the parent**.

→ **No change** to subsidiary's assets (incl. **goodwill**) and liabilities. **No gain or loss**.

Illus.	Facts	Entry / result
21	P sells 20% of wholly-owned subsidiary for 100; carrying net assets 300 incl. goodwill 65	Dr Cash 100 · Cr NCI 60 (20% × 300) · Cr Other equity **40**
22	A (60%) buys 20% more for 4,000 (B's FV 20,000); NCI carrying 4,000 (40%)	Dr NCI 2,000 (4,000 ÷ 40 × 20) · Dr Other equity **2,000** · Cr Cash 4,000. Note: "FV of entity" sets the price; "FV of net assets" (6,000 then; 12,000 now) is for accounting — later FV of net assets is irrelevant; goodwill 2,400 unchanged
23	A (70%) buys 10% more for 2,600; NCI 6,600 (30%); goodwill 600	Dr NCI 2,200 · Dr Other equity **400** · Cr Cash 2,600 (₹'000); **goodwill not adjusted**
24	A (70%) buys 10% more for 32; NCI 90 (30%)	Dr NCI 30 · Dr Other equity **2** · Cr Cash 32 → group total 1,128; other equity 868; NCI 60; investments 182 in A's books
25	Amla sells 40% of 100% subsidiary (cost 10,00,000) for 9,00,000; carrying net assets 18,00,000 (16,00,000 + goodwill 2,00,000)	Separate FS: 9,00,000 − 4,00,000 = **5,00,000 gain**. CFS: 9,00,000 − 7,20,000 = **1,80,000 to other equity**, no P&L. Gap 3,20,000 = 40% × post-acquisition profit (18,00,000 − 10,00,000) already reported by the group
26	Sells 30% of 100% subsidiary for 500 cr; net assets 1,300 + goodwill 200 (NCI initially FV; later proportionate incl. goodwill)	Dr Cash 500 · Cr NCI 450 (30% × 1,500) · Cr Other equity **50**
27	A (80% of B); B buys 100% of C for cash; goodwill 1,00,000	A's CFS shows **100% of goodwill**, 20% attributed to NCI — NCI of B is a party to the sub-group's transaction

4.2.11 Preparing the consolidated FS

- → **Balance sheet:** combine assets and outside liabilities with intra-group eliminations; eliminate subsidiary's share capital against parent's investment → goodwill/capital reserve and NCI; add parent's share of **post-acquisition** profits to the parent's relevant accounts.
- → **Profit and loss:** add income and expenses line by line; eliminate intra-group transactions in full (e.g. parent's sales to subsidiary removed from both sales and purchases).
- → **Cash flows:** add line by line; eliminate inter-company cash flows.

4.2.12 Chain holding

- → **Chain control** — the parent controls a subsidiary indirectly (P → S1 → S2).
- → **Situation 1 — sub-subsidiary:** P → 80% → S1 → 60% → S2. P owns 80% × 60% = **48%** of S2; NCI in S1 owns 20% × 60% = **12%**; NCI in S2 owns **40%**. S2 is still a sub-subsidiary (control chain), though P owns only 48%.
- → **Date S2 comes under P's control:** (1) the date P acquired S1, if S1 already held S2; or (2) the date S1 acquired S2, if later.
- → The **order** in which the group was built decides which reserves of S2 are pre-acquisition (P bought S1 before or after S1 bought S2).
- → **Situation 2 — direct holding too:** P → 80% S1; S1 → 75% S2; P → 10% S2 directly. Group interest in S2 = 80% × 75% + 10% = **70%**; NCI 30% (direct 15% + indirect 20% × 75% = 15%).

ICAI ·

Illustration 29 (chain, mid-year, NCI at FV): P 80% of S; S 75% of SS; both acquired **30 Sep 20X1**; profits even. Reserves split: S — reserves 80 → 90 at acquisition (post 10); RE 20 → 35 (post 15). SS — reserves 60 → 70 (post 10); RE 30 → 45 (post 15 − unrealised profit on S's inventory from SS at cost + 25%: 10 × 25/125 = 2 → **13**). Effective interest in SS: 80% × 75% = **60%**; NCI 40%.

Capital reserve: S = 340 + NCI 80 (400 × 20%) − (400 + 125) = **105**; SS = 280 × 80% = 224 + NCI 128 (320 × 40%) − (320 + 115) = **83** → total **188**.

NCI: S = 80 + 2 + 3 − 56 (S's investment in SS 280 × 20%) = 29; SS = 128 + 4 + 5.2 = 137.2 → **166.2**. Other equity: reserves 180 + 8 + 6 = **194**; RE 160 + 12 + 7.8 = **179.8**. Bills cancelled: P's 72 vs S's 70 → 2 left; SS 30 vs P's 30. Total **2,208**. (Assumes SS's sale to S was after acquisition.)

(13) 4.3 Loss of control 25-26 · B97-B99

Ways of losing control: **outright sale** of the entire stake · **partial sale** keeping an associate, joint venture or financial asset · **deemed loss of control** with no consideration, when the parent's interest is diluted — **voting rights issued to a new investor**, control over relevant activities moving, other shareholders **consolidating their votes**, an investor buying a **substantial stake on the stock exchange**.

4.3.1 Accounting on loss of control

Derecognise	Recognise	Reclassify	Result
· the subsidiary's assets **(including goodwill)** and liabilities · the carrying amount of any **NCI**	· **FV of consideration** received · any **distribution of shares** to owners · any **investment retained** at its **FV** on the date control is lost (note 1)	· amounts in **OCI** for the subsidiary → to P&L, or directly to retained earnings if other Ind AS require (note 2)	· difference = **gain or loss in P&L**, attributable to the parent

→ **Note 1:** FV of the retained interest = FV on initial recognition of a **financial asset** (Ind AS 109), or the **cost** on initial recognition of an **associate or JV**. **Example 7:** A sells 50% of its 60% in B, keeps 10% (FV ₹1,00,000) → recorded at ₹1,00,000 as Ind AS 109 initial FV; if A still has significant influence (board seat) → ₹1,00,000 is the **cost of the associate**.

→ **Note 2:** treat OCI as if the parent had **disposed of the related assets/liabilities directly**. **Example 8:** X sells all of Y → cumulative **exchange differences** (foreign operation) **reclassified to P&L**; **revaluation surplus** transferred **directly to retained earnings**.

Illus.	Facts	ICAI working
30 deemed disposal	Group 60% (30,000 of 50,000 shares); goodwill 20,000 (partial); minority exercises option for 25,000 new shares at ₹12 (₹3,00,000); net assets before 4,50,000 → group falls to 40%	FV of 40% retained (30,000 × ₹12) 3,60,000 − net assets 4,50,000 + NCI derecognised 1,80,000 − goodwill 20,000 = **gain 70,000** in P&L
31 outright sale	80% bought for 1,60,000 (net assets 1,75,000; goodwill 20,000 partial; impaired 8,000); sold for 2,00,000; net assets at sale 2,25,000 (+ goodwill 12,000)	Separate FS: 2,00,000 − 1,60,000 = **40,000**. CFS: 2,00,000 − (80% × 2,25,000 + 12,000) = **8,000**. (No HFS write-down needed — FV less costs to sell > carrying.)
32 becomes associate	100% bought for 50,00,000 (goodwill 10,00,000); sells 60% for 67,50,000; keeps 40% (FV 45,00,000); net assets 80,00,000	Separate FS: 67.5 − 30 = **37.5 lakh**. CFS: 67.5 + 45 − (80 + 10) = **22.5 lakh** = 13.5 on the 60% sold + **9.0 remeasurement** of the 40% (36 → 45) — **disclose** the remeasurement part
33 keeps 10%	Same, sells 90% for 85,50,000; 10% FV 9,50,000	Separate FS: 85.5 − 45 = **40.5 lakh**. CFS: 85.5 + 9.5 − 90 = **5.0 lakh** (4.5 on sale + 0.5 remeasurement)

4.3.2 Loss of control in two or more arrangements

- → Gain/loss goes to P&L **only when control is lost** — so a disposal could be split to push gains into equity. **Example 9:** sell 80% at once → all to P&L; sell 25% then 55% → first part to equity (control kept), second to P&L.
- → Treat multiple arrangements as **one transaction** if one or more: entered **at the same time or in contemplation** of each other · form a **single transaction for an overall commercial effect** · occurrence of one **depends** on another · one is **not economically justified alone** (e.g. a disposal priced below market compensated by a later one above market).

ICAI ·

Illustration 34: MN (80% of UV) sells 25% for 2,50,000 and 55% for 5,50,000 within a month → single transaction: 8,00,000 − (9,00,000 − 1,80,000) = **gain 80,000** in P&L. If control is lost at transaction 1 → record then; 5,50,000 shown as **consideration receivable**. If lost at transaction 2 → record then; 2,50,000 shown as **advance consideration received**.

16 4.4 Change in investment entity status B100–B101

- → Accounted **prospectively** from the date of change.
- → **4.4.1 Ceases** to be an investment entity → apply **Ind AS 103** to subsidiaries previously at FVTPL; date of change = **deemed acquisition date**; FV of the subsidiary = **deemed consideration**; consolidate all subsidiaries.
- → **4.4.2 Becomes** an investment entity → stop consolidating subsidiaries at that date (except investment-service subsidiaries that aren't investment entities) → apply **loss-of-control** accounting as if control were lost that date.

ICAI ·

Illustration 35: A ceases on 1 Apr 20X1, holding 80% of B at FVTPL 4,00,000; NCI FV 1,00,000; net assets 4,50,000 → goodwill 4,00,000 + 1,00,000 − 4,50,000 = **50,000**. Dr Net assets 4,50,000, Goodwill 50,000 · Cr Investment in B 4,00,000, NCI 1,00,000.

ICAI ·

Illustration 36: CD bought 100% of KL for 20,00,000 (net assets 16,00,000; goodwill 4,00,000); becomes an investment entity when investment's FV is 25,00,000 and KL's net assets 19,00,000 → 25,00,000 − (19,00,000 + 4,00,000) = **gain 2,00,000**.

17 4.5 Significant differences — Ind AS 110 vs AS 21

#	Topic	Ind AS 110	AS 21
1	Preparing CFS	**Mandatory** for a parent (limited exceptions)	Not mandated; if presented, apply AS 21
2	Control	**Principle-based**: power, variable returns, link	**Quantitative**: more than half of voting power, or control of board composition
3	Number of parents	Control can be with **one entity only**	Occasionally **two parents** — both consolidate
4	Exclusion from consolidation	**Not permitted** for temporary control or severe long-term restrictions	Excluded if control temporary or severe long-term restrictions on transferring funds
5	Reporting date gap	Max **3 months**	Max **6 months**
6	Changes in ownership without loss of control	Specific requirements (equity transaction)	No guidance
7	Uniform policies	Required; **no exemption**	Non-uniform allowed if impracticable, with disclosure of fact and proportions
8	Potential voting rights	Substantive PVRs **considered** for control	Not taken into account
9	Deferred tax	Recognised on temporary differences from **eliminations** (Ind AS 12)	Tax = aggregate of separate FS; no deferred tax on eliminated intra-group profits

⑱ Chapter 13 Test Your Knowledge (Unit 8) — consolidation questions, ICAI answers

Q	Facts	ICAI answer
1	X holds 100% of Y; Y issues convertible preference shares to Z giving Z a consent right on all decisions of Y's equity holder	Unanimous consent of X and Z → **joint control**; separate vehicle, no rights to assets/obligations → **joint venture**. X **loses control**: derecognise Y's assets and liabilities; 100% equity retained at **FV**; difference to P&L; then equity method (goodwill/capital reserve vs FV of net assets)
2	M holds 90% of N; N holds 25% of associate O (net assets 300 incl. profit 40)	Investment in O = 300 × 25% = **75**; share of profit 10 → **9** to M (40 × 25% × 90%), **1** to NCI of N
3	AB holds 30% of associate (cost 300; goodwill 30; carrying 360); associate issues shares to others for 800 → AB falls to 20%	Deemed sale of 10%: 20% × 800 = 160 added to investment; carrying of interest sold 360 × 1/3 = 120 (incl. goodwill 10) derecognised → **gain 40** in P&L
4	DEF buys 100% of XYZ on 1 Oct; pre-acquisition dividend paid 1 Nov; FV changes	P&M uplift 5,75,000; extra dep 25,000; acquisition-date profits 32,85,000; **bargain purchase 18,85,000** (capital reserve directly — no clear evidence); RE 7,07,000; total 1,15,37,000
5	Ram buys 60% of Krishan on 1 Oct; dividend 1 Nov; FV changes	Goodwill **1,65,800**; NCI **4,33,600**; other equity **7,30,600**; total **24,73,200** (worked in the appendix)
6–8	Blue Heavens / Orange County (100%, 75%, one year later)	Q6: goodwill **1,300** (6,000 − 4,700); total 15,650. Q7: NCI 25% × 4,700 = **1,175**; goodwill **975**; total 16,825. Q8: inventory uplift 100 → cost of sales; building uplift 300 ÷ 20 = 15; impairment 98 → goodwill **877**; NCI 1,175 + 25% × 435 = **1,284**; other equity **11,228**; total **18,032**
9	P sells 100% of S for 3,000 (S's group carrying net assets 2,560 incl. goodwill 180)	Remove S's lines; cash +3,000 − S's 1,000; **gain 440** → RE 4,700; total **8,100**
10	Reliance sells 90% of Jio for 1,000 (carrying net assets 1,280 incl. goodwill 90)	Loss 1,000 − 1,152 = **(152)**; 10% kept at **128** (carrying share — no FV given; Ind AS 110.25 requires FV when available); RE 1,978; total **3,678**

APP-WRITTEN

Ⓐ Appendix — how to write the consolidation answer

This appendix is my exam method (working-note order, passbook for reserves, adjustment tables, self-checks), not study-material text. Every figure in it is checked against ICAI's own answers.

Ⓐ Every answer = 5 working notes, in this order

WN	What	Formula
1	S's reserves: pre & post	Pre = balance on acq. date · Post = Closing − Pre − adjustments
2	Net assets on acq. date	S's share capital + Pre-acq reserves ± FV changes − S's own goodwill
3	Goodwill / capital reserve	Consideration + NCI + FV of old stake − WN 2
4	NCI at year end	NCI on acq. date + NCI% × Post − NCI% × GW impairment (FV method only)
5	Group other equity	P's reserves + P% × Post ± items P bears alone

Balance sheet line = P + S ± FV change ± intra-group cancellation. **Only P's share capital** appears. Investment in S disappears.

Ⓐ Splitting S's reserves — the passbook

Write S's RE like a **bank passbook**: events in **date order** with a running balance.

1. Profit earned in the year = **Closing − Opening + Dividend paid** (dividend went out, so put it back).
2. Spread it evenly over the months (unless told it's seasonal).
3. Put each dividend on **its date**. The running balance must end at the closing RE ✓.
4. **Pre-acq = balance on acquisition date.** Post-acq = Closing − Pre-acq. Do **each reserve separately**.

SM TYK 5 — Ram buys 60% of Krishan on 1 Oct; dividend ₹40,000 paid 1 Nov

Earned = 1,64,000 − 60,000 + 40,000 = 1,44,000 → 72,000 per half year.

Date	Event	Change	Balance
1 Apr	Opening		60,000
Apr–Sep	Profit	+72,000	1,32,000
1 Oct	**Ram buys**		**1,32,000 = PRE**
1 Nov	Dividend	−40,000	92,000
Oct–Mar	Profit	+72,000	1,64,000 ✓

Post-acq = 1,64,000 − 1,32,000 = **32,000**. Ram's ₹24,000 dividend: **leave it in Ram's RE**. Check: 24,000 + 60% × 32,000 = 43,200 = 60% × 72,000 ✓ nothing lost, nothing double. Same dividend paid in **May** (before Ram bought) → pre-acq 92,000, post-acq 72,000.

Ⓐ Dividends — only the date matters

Situation	Treatment
Paid **before** P bought	Before "P buys" in the passbook → lowers pre-acq. P got nothing.
Paid **after** P bought (any profit)	After "P buys" → lowers post-acq. **Keep** P's dividend income.
Declared, **unpaid** at year end	As above + cancel P's receivable vs P's share of payable. **NCI's share stays** as a liability.
Proposed, approved **after** year end	**Ignore** (Ind AS 10 · 12). Not in the passbook.
Declared but "not accounted" by anyone	State assumption: ignore / declared unpaid / paid. ICAI accepted all three (PYQ May 2024).
Bonus issue by S	No effect — reserves move to share capital inside S (PYQ May 2024).

APP-WRITTEN

> **⚠ TRAP**
> ICAI's printed answers write it another way: take the dividend out of **pre-acq** and take P's share out of **P's RE**. Same final figures. **Pick one way — never both.**

Ⓐ Fair value changes — each goes to 3 places

FV change = FV − Book value, both on the acquisition date

Item	Net assets (WN 2)	Post-acq profit (WN 1)	Balance sheet line
PPE worth more	+ increase	− extra dep (months held)	+ increase − extra dep
PPE overvalued	− decrease	+ dep saved	− decrease + dep saved
Land worth more	+ increase	nothing	+ increase
Brand not in S's books	+ value	− amortisation	New intangible
Goodwill in S's own books	− remove	nothing	Not shown
Inventory, still unsold	± change	nothing	± change
Inventory, sold in year	± change	reverse (cost of sales)	nothing
Liability worth more	− increase	nothing till settled	+ to liability
Contingent liability	− FV	reverse if no payment	Liability / nil
Deferred tax (if rate given)	− DTL on FV increases	+ DTL reversal on extra dep	DTL line

ICAI: PYQ Nov 2024 (PPE +300, dep 30; inventory −300 kept) · SM TYK 8 (building 300 ÷ 20 = 15; inventory sold → reversed) · PYQ Sep 2025 (machinery overvalued; S's goodwill removed) · PYQ Jan 2026 (brand ₹8 lakh ÷ 10) · RTP Nov 2023 (contingent liability reversed; DT at 20%) · SM TYK 9 (deferred tax on FV adjustment).

Ⓐ FV given as a total value on a mid-year date

"FV of P&M on 1 Oct was ₹4,00,000; depreciation 10%." Only the 31 Mar book value (₹2,70,000) is given. — SM TYK 5

1. Book value on 1 Oct: opening 2,70,000 + 30,000 = 3,00,000 − 6 months' dep 15,000 = **2,85,000**
2. Increase = 4,00,000 − 2,85,000 = **1,15,000**
3. Extra dep = dep on FV for 6 months (20,000) − dep S charged (15,000) = **5,000**

> **⚠ TRAP**
> 4,00,000 − 2,70,000 is **wrong**: it compares a 1 Oct value with a 31 Mar value.

Ⓐ Intra-group items — cancel, then ask who bears it

Item	Do	Who bears
Goods **P** → **S** in S's stock	Remove profit from inventory	**P only**
Goods **S** → **P** in P's stock	Remove profit from inventory	S's post-acq (P + NCI)
Machine sold in group	Remove gain; add back extra dep on it	The seller
Receivable / payable	Cancel what both show; cash in transit → add to cash first	Nobody
Bills	Cancel bills still held; **discounted** bills stay (owed to bank)	Nobody
P holds S's debentures / pref. shares	Cancel at face value; excess paid = loss	Group RE; outside pref. → NCI
Goods P → associate	Remove only P%, from the investment	Group RE
Deferred tax on unrealised profit	DTA at buyer's rate, if a rate is given (SM Illus. 16–17)	Same as the profit

APP-WRITTEN

"Cost + 25%" → price × 25/125 · "20% on sales" → price × 20% *SM Illus. 14–15: unrealised profit 15 → upstream split 60:40; downstream all P. Illus. 18: PPE sold 120 (cost 100), 10 years → PPE −18, depreciation −2.*

Ⓐ NCI and group equity

NCI at year end

NCI on acq. date + NCI% × post-acq profit

− NCI% × GW impairment ***(FV method only)***

+ S's pref. shares held by outsiders

Can go ***negative*** *— losses still go to NCI* B94 *(Illus. 19)*

Items P bears alone (WN 5)

Profit on goods/machines ***P sold*** *to S*

GW impairment (all, or P% under FV)

Loss on S's debentures/pref. held by P

Interest on deferred consideration

+ Gain on old stake · + share of associate

ICAI ·

Illus. 20 (four cases, proportionate NCI): *Case 1 — 90% for 1,40,000; net assets 1,50,000 → NCI 15,000;* ***goodwill 5,000****. Case 2 — 85% for 1,04,000; net assets 1,30,000 → NCI 19,500;* ***capital reserve 6,500****. Holding's RE adds 90% × (70,000 − 50,000) = 18,000 in case 1; deducts 85% × 10,000 = 8,500 in case 2 (post-acq loss).*

Ⓐ Special structures

Structure	Rule
Chain *P → S → T*	*P in T = P% × S%; NCI in T = rest. T's goodwill uses S's cost × P%. S's NCI reduced by S's cost of T × S's NCI%. If S bought T after P bought S, split T's reserves at the date S bought T. (SM Illus. 29: 80% × 75% = 60%; capital reserve 105 + 83 = 188; NCI 166.2)*
Indirect goodwill	*S (80% owned) buys T outright → group shows* ***100%*** *of T's goodwill, 20% attributed to NCI (SM Illus. 27).*
Associate *inside the group*	*One line, equity method: cost + P% × post-acq profit − P% × unrealised profit. Cost below P% of net assets → capital reserve. S's associate: group takes S's equity-accounted figure; NCI of S shares it (SM TYK 2: 75; profit 9 to M, 1 to NCI).*
Different year ends	*Max 3 months gap; adjust for big transactions.*

Ⓐ Five checks before you move on

#	Check	Proof on ICAI's PYQ Nov 2024 (₹ Lakh)
1	*Every point used (tick a tracker; scan the balance sheet for "in S", "due from", "dividend", "bills")*	*7 points + debentures found only in the balance sheet*
2	*Balance sheet agrees*	*34,875 = 34,875*
3	***NCI = NCI% × (S's closing equity + FV changes left − upstream profit) + NCI's goodwill***	*20% × (9,000 + 270 − 300) = 1,794 + (1,450 − 1,400) − 20 =* ***1,824*** ✓
4	*Goodwill split: P's = Cost − P% × WN 2*	*(5,800 − 5,600) + (1,450 − 1,400) =* ***250*** ✓
5	*Each cancellation equal on both sides*	*Receivable 160 = payable 120 + cheque 40* ✓

Check 3 passes → your pre/post split, dividend, FV and NCI are ***all right****. (Also proves SM TYK 5: 40% × 10,84,000 = 4,33,600.)*

APP-WRITTEN

→ **Stuck?** Unticked tracker rows = what's left. Unclear fact → **one assumption line**, move on. Doesn't agree after 3 min → finish the rest. **Never force a balancing figure.**

Ⓐ SM TYK 5 – Ram Ltd. (60%) & Krishan Ltd., acquired 1 Oct 20X1

Krishan 31 Mar: share capital 4,00,000 · other reserves 2,00,000 (unchanged) · RE 1,64,000 (60,000 on 1 Apr; 10% dividend paid 1 Nov; Ram credited its share to RE) · P&M 2,70,000 (FV 4,00,000 on 1 Oct; dep 10%) · FV increases on 1 Oct: L&B 2,00,000, inventory 30,000, trade payables 20,000 (both still outstanding) · Ram's cost 8,00,000 · Ram's RE 1,14,400 · NCI proportionate.

WN	Working	₹
1 Passbook	Pre = 60,000 + 72,000 (dividend 1 Nov is after 1 Oct)	1,32,000
	Post = 1,64,000 − 1,32,000 − extra dep 5,000	27,000
2 Net assets	4,00,000 + 2,00,000 + 1,32,000 + FV (2,00,000 + 1,15,000 + 30,000 − 20,000)	10,57,000
3 Goodwill	8,00,000 + NCI 40% × 10,57,000 (4,22,800) − 10,57,000	1,65,800
4 NCI	4,22,800 + 40% × 27,000	4,33,600
5 Group RE	1,14,400 + 60% × 27,000 (Ram's 24,000 kept)	1,30,600
Other equity	Other reserves 6,00,000 + RE 1,30,600	7,30,600

Consolidated balance sheet line	Working	₹
Land & Buildings	3,00,000 + 3,60,000 + 2,00,000	8,60,000
Plant & Machinery	4,80,000 + 2,70,000 + 1,15,000 − 5,000	8,60,000
Goodwill	WN 3	1,65,800
Inventories	2,40,000 + 72,800 + 30,000	3,42,800
Trade receivables · Cash	1,99,600 · 45,000	2,44,600
Total assets		**24,73,200**
Share capital (Ram) · Other equity · NCI	10,00,000 + 7,30,600 + 4,33,600	21,64,200
Trade payables · Bank overdraft	(94,200 + 34,800 + 20,000) + 1,60,000	3,09,000
Total		**24,73,200**

All figures match ICAI's printed answer. ICAI writes WN 5 as 1,14,400 − 24,000 + 60% × 67,000 = 1,30,600 (same result, other route).

Ⓐ Key figures to self-check other ICAI questions

Question	Key figures
PYQ Nov 2024 Q1	Goodwill 250 → 150 · NCI 1,824 · Other equity 16,292 (₹200 lakh = cost) / 16,297 (= sale price) · Total 34,875 / 34,880
SM TYK 4 (DEF/XYZ)	P&M uplift 5,75,000 · extra dep 25,000 · bargain purchase 18,85,000 · RE 7,07,000 · Total 1,15,37,000
SM TYK 8 (Blue Heavens, 75%)	Goodwill 975 → 877 · NCI 1,284 · Other equity 11,228 · Total 18,032 (₹ lakh)
PYQ Jan 2026 Q1	Consideration 32.50 · Goodwill 20 → 15 · NCI 7.56 · RE 11.79 · Total 150.80 (₹ lakh)
PYQ Sep 2025 Q1	Capital reserve 32,62,500 · NCI 1,07,53,125 · Other equity 3,79,96,875 · Total 14,44,50,000
PYQ May 2024 Q1 (alt. A)	Goodwill 70,000 (fully impaired) · Associate 2,05,600 · NCI 2,85,000 · Total 29,90,100
PYQ Nov 2022 Q1 (chain)	Capital reserve 658 · NCI 581.70 · Total 7,833 (₹ lakh)

Questions + full solutions

Ind AS 110 Consolidated Financial Statements — practice sheet

Every question comes with its full solution, straight after it. **Cover the solution, solve by hand, then check.** SM illustrations, SM Test Your Knowledge and ICAI Practice Questions are reproduced exactly as ICAI printed them (page images). RTP, MTP and past-paper questions are ICAI's text with ICAI's suggested answers. Where ICAI's answer is not available, the solution is marked **app-written**. Questions are grouped by concept; inside each concept: SM first, then Practice Questions, RTPs, MTPs and past papers.

Scope: Ind AS 110 (control, investment entities, consolidation procedure, changes in stake, loss of control). Ind AS 28 associates, Ind AS 111 joint arrangements and Ind AS 27/112 are not included.

Index

No.	Concept	Source	Type
Q1	Who must consolidate, the exemption and exceptions	SM Ch 13 Unit 3 · Illustration 1: Exception to prepare consolidated financial statements	Theory
Q2	Who must consolidate, the exemption and exceptions	SM Ch 13 Unit 3 · Illustration 2: Exception to prepare consolidated financial statements	Theory
Q3	Who must consolidate, the exemption and exceptions	ICAI Practice Questions · Ch 13 Q5	
Q4	Control: the three elements	MTP May 2023 S-II · Q6(c) Either	Numerical
Q5	Control: the three elements	MTP Nov 2026 S-I · Q1	Theory
Q6	Power: existing rights, current ability, relevant activities	SM Ch 13 Unit 3 · Illustration 3: Different investors have ability to direct different relevant activities	Theory
Q7	Power: existing rights, current ability, relevant activities	SM Ch 13 Unit 3 · Illustration 4: Determining the relevant activities	Theory
Q8	Power: existing rights, current ability, relevant activities	SM Ch 13 Unit 3 · Illustration 5: Current ability to direct the relevant activities	Theory
Q9	Substantive vs protective rights	SM Ch 13 Unit 3 · Illustration 5: Voting rights are substantive or not	Theory
Q10	Substantive vs protective rights	SM Ch 13 Unit 3 · Illustration 6: Potential voting rights are substantive or not	Theory
Q11	Substantive vs protective rights	SM Ch 13 Unit 3 · Illustration 7: Removal rights are substantive or not	Theory
Q12	Substantive vs protective rights	SM Ch 13 Unit 3 · Illustration 8: Protective rights of a franchisor	Theory
Q13	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 9: Voting rights of investor are sufficient to give it power	Theory
Q14	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 10: Voting rights of investor are sufficient to give it power	Theory
Q15	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 11: Voting patterns at previous shareholders' meetings	Theory
Q16	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 12: Potential voting rights	Theory
Q17	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 13: Purpose and design of the investee	Theory
Q18	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 14: Rights contingent upon future events	Theory
Q19	Power through voting rights, de facto control and potential voting rights	SM Ch 13 Unit 3 · Illustration 15: Commitment to ensure that an investee operates as designed	Theory
Q20	Power through voting rights, de facto control and potential voting rights	ICAI Practice Questions · Ch 13 Q8	

No.	Concept	Source	Type
Q21	Power through voting rights, de facto control and potential voting rights	MTP Nov 2022 S-II · Q1(b)	Theory
Q22	Power through voting rights, de facto control and potential voting rights	MTP May 2023 S-II · Q6(c) Or	Theory
Q23	Variable returns, principal vs agent, de facto agents	SM Ch 13 Unit 3 · Illustration 16: Link between power and returns	Theory
Q24	Variable returns, principal vs agent, de facto agents	SM Ch 13 Unit 3 · Illustration 17: Link between power and returns	Theory
Q25	Variable returns, principal vs agent, de facto agents	SM Ch 13 Unit 3 · Illustration 18: Link between power and returns	Theory
Q26	Variable returns, principal vs agent, de facto agents	SM Ch 13 Unit 3 · Illustration 19: Link between power and returns	Theory
Q27	Investment entities	SM Ch 13 Unit 3 · Illustration 20: Business purpose of an investment entity	Theory
Q28	Investment entities	SM Ch 13 Unit 3 · Illustration 21: Exit strategies of an investment entity	Theory
Q29	Investment entities	SM Ch 13 Unit 3 · Illustration 22: Earnings from investments of an investment entity	Theory
Q30	Investment entities	SM Ch 13 Unit 3 · Illustration 23	Theory
Q31	Investment entities	SM Ch 13 Unit 4 · Illustration 35: An entity ceases to be an investment entity	Numerical
Q32	Investment entities	SM Ch 13 Unit 4 · Illustration 36: An entity becomes an investment entity	Numerical
Q33	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 Unit 4 · Illustration 1: Determination of goodwill	Numerical
Q34	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 Unit 4 · Illustration 2: Determination of goodwill	Numerical
Q35	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 Unit 4 · Illustration 3: Determination of gain on bargain purchase	Numerical
Q36	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 Unit 4 · Illustration 4: Determination of goodwill when there is no non-controlling interest	Theory
Q37	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 · Test Your Knowledge Q4	Numerical
Q38	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 · Test Your Knowledge Q5	Theory
Q39	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 · Test Your Knowledge Q6	Numerical
Q40	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 · Test Your Knowledge Q7	Numerical

No.	Concept	Source	Type
Q41	Goodwill / capital reserve and NCI at the date control is obtained	SM Ch 13 · Test Your Knowledge Q8	Theory
Q42	Goodwill / capital reserve and NCI at the date control is obtained	ICAI Practice Questions · Ch 13 Q10	
Q43	Goodwill / capital reserve and NCI at the date control is obtained	ICAI Practice Questions · Ch 13 Q12	
Q44	Goodwill / capital reserve and NCI at the date control is obtained	ICAI Practice Questions · Ch 13 Q14	
Q45	Goodwill / capital reserve and NCI at the date control is obtained	RTP Nov 2023 · Q4	Numerical
Q46	Goodwill / capital reserve and NCI at the date control is obtained	RTP Nov 2024 · Q19	Numerical
Q47	Goodwill / capital reserve and NCI at the date control is obtained	MTP May 2026 S-I · Part II Q1	Numerical
Q48	Goodwill / capital reserve and NCI at the date control is obtained	MTP May 2026 S-II · Part II Q1	Numerical
Q49	Goodwill / capital reserve and NCI at the date control is obtained	MTP Nov 2026 S-I · Q2	Theory
Q50	Goodwill / capital reserve and NCI at the date control is obtained	PYQ Nov 2024 · Q1 · 14 marks	Numerical
Q51	Goodwill / capital reserve and NCI at the date control is obtained	PYQ Jan 2026 · Q1 · 14 marks	Numerical
Q52	Step acquisition and control without consideration in consolidation	SM Ch 13 Unit 4 · Illustration 5: Step acquisition	Numerical
Q53	Step acquisition and control without consideration in consolidation	PYQ Sep 2025 · Q1 · 14 marks	Numerical
Q54	Uniform policies, reporting dates, potential voting rights in allocation	SM Ch 13 Unit 4 · Illustration 6: Uniform accounting policies	Theory
Q55	Uniform policies, reporting dates, potential voting rights in allocation	SM Ch 13 Unit 4 · Illustration 7: Uniform accounting policies	Theory
Q56	Uniform policies, reporting dates, potential voting rights in allocation	SM Ch 13 Unit 4 · Illustration 8: Different reporting dates	Theory
Q57	Uniform policies, reporting dates, potential voting rights in allocation	SM Ch 13 Unit 4 · Illustration 9: Different reporting dates	Theory
Q58	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 10: Dividend proposed by subsidiary	Numerical
Q59	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 11: Dividend proposed by subsidiary	Numerical
Q60	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 12: Dividend proposed by subsidiary	Numerical

No.	Concept	Source	Type
Q61	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 13: Dividend proposed by subsidiary	Numerical
Q62	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 14: Elimination of intra-group profit on sale of assets by a subsidiary to its	Numerical
Q63	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 15: Elimination of intra-group profit on sale of assets by a parent to its	Numerical
Q64	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 16: Inventories of subsidiary out of purchases from the parent	Numerical
Q65	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 17: Inventories of parent out of purchases from the subsidiary	Theory
Q66	Intra-group balances, transactions and unrealised profits	SM Ch 13 Unit 4 · Illustration 18: Property, plant and equipment (PPE) sold by parent to subsidiary	Numerical
Q67	Intra-group balances, transactions and unrealised profits	ICAI Practice Questions · Ch 13 Q1	
Q68	Intra-group balances, transactions and unrealised profits	ICAI Practice Questions · Ch 13 Q11	
Q69	Intra-group balances, transactions and unrealised profits	RTP Nov 2023 · Q3	Numerical
Q70	Intra-group balances, transactions and unrealised profits	RTP May 2026 · Q6	Numerical
Q71	Intra-group balances, transactions and unrealised profits	MTP Sep 2025 S-II · Part II Q1	Numerical
Q72	Intra-group balances, transactions and unrealised profits	MTP Sep 2025 S-II · Q3(b)	Numerical
Q73	Intra-group balances, transactions and unrealised profits	MTP May 2026 S-II · Q3(b) Either	Numerical
Q74	Intra-group balances, transactions and unrealised profits	PYQ May 2022 · Q3(c) · 6 marks	Numerical
Q75	Attributing profit, OCI and losses to NCI	SM Ch 13 Unit 4 · Illustration 19: Attribution of profit / loss to non-controlling interest	Theory
Q76	Attributing profit, OCI and losses to NCI	SM Ch 13 Unit 4 · Illustration 20: Non-controlling interest and goodwill	Theory
Q77	Attributing profit, OCI and losses to NCI	PYQ Sep 2025 · MCQ 15 · 2 marks	Theory
Q78	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 21: Sale of 20% interest in a wholly- owned subsidiary	Numerical
Q79	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 22: Acquisition of additional stake in a subsidiary	Numerical
Q80	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 23: Acquisition of additional stake in a subsidiary	Numerical

No.	Concept	Source	Type
Q81	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 24: Acquisition of additional stake in a subsidiary	Numerical
Q82	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 25: Reduction in interest in subsidiary	Numerical
Q83	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 26: Reduction in interest in subsidiary	Numerical
Q84	Changes in ownership without loss of control	SM Ch 13 Unit 4 · Illustration 27: Treatment of goodwill and non-controlling interest where a parent holds an	Theory
Q85	Chain holding and sub-subsidiaries	SM Ch 13 Unit 4 · Illustration 29: Chain holding	Numerical
Q86	Chain holding and sub-subsidiaries	SM Ch 13 · Test Your Knowledge Q2	Theory
Q87	Chain holding and sub-subsidiaries	MTP Nov 2022 S-II · Q5(a)	Numerical
Q88	Chain holding and sub-subsidiaries	PYQ Nov 2022 · Q1(a) · 15 marks	Numerical
Q89	Loss of control	SM Ch 13 Unit 4 · Illustration 30: Subsidiary issues shares to a third party and parent loses control	Numerical
Q90	Loss of control	SM Ch 13 Unit 4 · Illustration 31: Calculation of gain on outright sale of subsidiary	Numerical
Q91	Loss of control	SM Ch 13 Unit 4 · Illustration 32: Partial disposal when subsidiary becomes an associate	Numerical
Q92	Loss of control	SM Ch 13 Unit 4 · Illustration 33: Partial disposal when 10% investment in former subsidiary is retained	Numerical
Q93	Loss of control	SM Ch 13 Unit 4 · Illustration 34: Loss control of a subsidiary in two transactions	Numerical
Q94	Loss of control	SM Ch 13 · Test Your Knowledge Q1	Theory
Q95	Loss of control	SM Ch 13 · Test Your Knowledge Q9	Theory
Q96	Loss of control	SM Ch 13 · Test Your Knowledge Q10	Theory
Q97	Loss of control	ICAI Practice Questions · Ch 13 Q2	
Q98	Loss of control	RTP May 2024 · Q19	Theory
Q99	Loss of control	PYQ May 2023 · Q6(d) · 5 marks	Numerical
Q100	Loss of control	PYQ May 2026 · MCQ 3 · 2 marks	Theory

Ⓐ Scope and exemption

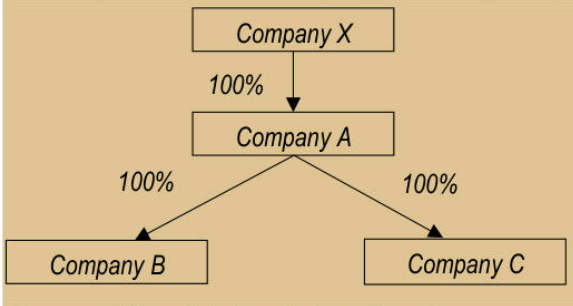
Q1 · Who must consolidate, the exemption and exceptions

SM Ch 13 Unit 3 · Illustration 1: Exception to prepare consolidated financial statements · Theory

Illustration 1: Exception to prepare consolidated financial statements

Scenario A:

Following is the structure of a group headed by Company X:



Company X is a listed entity in India and prepares consolidated financial statements as per the requirements of Ind AS. Company A is an unlisted entity and it is not in the process of listing any of its instruments in public market. Company X does not object to Company A not preparing consolidated financial statements.

Whether Company A is required to prepare consolidated financial statements as per the requirements of Ind AS 110?

Scenario B:

Assume the same facts as per Scenario A except, Company X is a foreign entity and is listed in stock exchange of a foreign country and it prepares its financial statements as per the generally accepted accounting principles (GAAP) applicable to that country.

Will your answer be different in this case?

Scenario C:

Assume the same facts as per Scenario A except, 100% of the investment in Company A is held by Mr. X (an individual) instead of Company X.

Will your answer be different in this case?

Solution — ICAI

Solution:

Scenario A:

In this case, Company A satisfies all the conditions for not preparing consolidated financial statements i.e. it is not a listed entity nor it is in the process of listing, the parent of Company A prepares consolidated financial statements as per Ind AS which is available for public use and parent of Company A does not object Company A not preparing consolidated financial statements.

Hence, Company A is not required to prepare consolidated financial statements.

Scenario B:

In this case, the consolidated financial statements of parent of Company A are not prepared under Ind AS. Hence Company A cannot avail the exemption from preparation of consolidated financial statements.

Scenario C:

In this case, Mr. X (an individual) would not be preparing its financial statements as per the requirements of Ind AS which is available for public use.

Hence Company A cannot avail the exemption from preparation of consolidated financial statements.

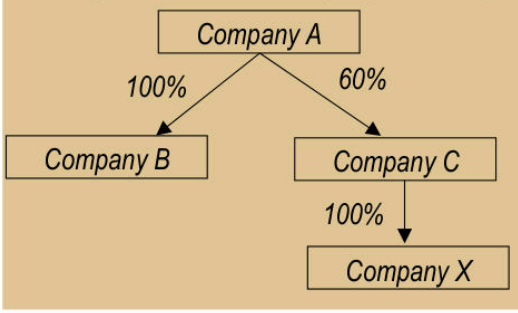
Q2 · Who must consolidate, the exemption and exceptions

SM Ch 13 Unit 3 · Illustration 2: Exception to prepare consolidated financial statements · Theory

Illustration 2: Exception to prepare consolidated financial statements

Scenario A:

Following is the structure of a group headed by Company A.



Company A is a listed entity in India and prepares consolidated financial statements as per the requirements of Ind AS. Company C is an unlisted entity and it is not in the process of listing any of its instruments in public market. 60% of the equity share capital of Company C is held by Company A and balance 40% equity share capital is held by other outside investors. Company A does not object to Company C not preparing consolidated financial statements.

Whether Company C is required to prepare consolidated financial statements as per the requirements of Ind AS 110?

Scenario B:

Assume the same facts as per Scenario A except, the balance 40% of the equity share capital of Company C is held by Company B.

State whether C Limited is required to inform its other owner B Limited (owning 40%) of its intention to not prepare consolidated financial statements as mentioned in paragraph 4(a)(i)?

Solution — ICAI

Solution:

Scenario A:

Company C is a partly owned subsidiary of Company A. In such case, Company C should inform the other 40% equity shareholders about Company C not preparing consolidated financial statements and if they do not object then only Company C can avail the exemption from preparing consolidated financial statements.

Scenario B:

In this scenario, Company C is 100% held by Company A (60% direct investment and 40% investment through Company B). Hence, Company C is not required to inform to Company B of not preparing consolidated financial statements and can avail the exemption from preparing the consolidated financial statements.

Q3 · Who must consolidate, the exemption and exceptions

ICAI Practice Questions · Ch 13 Q5

5. Gamma Limited, a parent company, is engaged in manufacturing and retail activities. The group holds investments in different entities as follows:

- Gamma Limited holds 100% Investment in G Limited and D Limited;

- G Limited and D Limited hold 60% and 40% in GD Limited respectively;
- Delta Limited is a 100% subsidiary of GD Limited

Firstly, Gamma Limited wants you to suggest whether GD Limited can avail the exemption from the preparation and presentation of consolidated financial statements as per applicable Ind AS?

Secondly, if all other facts remain the same as above except that G Limited and D Limited are both owned by an Individual (say, Mr. X) instead of Gamma Limited, then explain whether GD Limited can avail the exemption from the preparation and presentation of consolidated financial statements.

Solution — ICAI

5. As per paragraph 4(a) of Ind AS 110, an entity that is a parent shall present consolidated financial statements. This Ind AS applies to all entities, except as follows:

A parent need not present consolidated financial statements if it meets all the following conditions:

(i) it is a wholly-owned subsidiary or is a partially-owned subsidiary of another entity and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements;

(ii) its debt or equity instruments are not traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets);

(iii) it did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market; and

(iv) its ultimate or any intermediate parent produces financial statements that are available for public use and comply with Ind ASs, in which subsidiaries are consolidated or are measured at fair value through profit or loss in accordance with this Ind AS.

In accordance with the above, it may be noted that as per paragraph 4(a)(i) above, a parent need not present consolidated financial statements if it is a:

— wholly-owned subsidiary; or

— is a partially-owned subsidiary of another entity and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements.

Although GD Limited is a partly-owned subsidiary of G Limited, it is the wholly-owned subsidiary of Gamma Limited (and therefore satisfies the condition 4(a)(i) of Ind AS 110 without regard to the relationship with its immediate owners, i.e. G Limited and D Limited). Thus, GD Limited being the wholly owned subsidiary fulfils the conditions as mentioned under paragraph 4(a)(i) and is not required to inform its other owner D Limited of its intention not to prepare the consolidated financial statements.

Thus, in accordance with the above, GD Limited may take the exemption given under paragraph 4(a) of Ind AS 110 from presentation of consolidated financial statements.

In Alternative Scenario, where both G Limited and D Limited are owned by an individual Mr. X, then GD Limited is ultimately wholly in control of Mr. X (i.e., an individual) and hence it cannot be considered as a wholly owned subsidiary of an entity.

This is because Ind AS 110 makes use of the term ‘entity’ and the word 'entity' includes a company as well as any other form of entity. Since, Mr. X is an ‘individual’ and not an ‘entity’, therefore, GD Limited cannot be considered as wholly owned subsidiary of an entity.

Therefore, in the given case, GD Limited is a partially-owned subsidiary of another entity. Accordingly, in order to avail the exemption under paragraph 4(a), its other owner, D Limited should be informed about and do not object to GD Limited not presenting consolidated financial statements. Further, for the purpose of consolidation of G Limited and D Limited, GD Limited will be required to provide relevant financial information as per Ind AS.

Ⓑ Control

Q4 · Control: the three elements

MTP May 2023 S-II · Q6(c) Either · Numerical

Solar Limited has an 80% interest in its subsidiary, Mars Limited. Solar Limited holds a direct interest of 25% in Venus Limited. Mars Limited also holds a 30% interest in Venus Limited. The decisions concerning relevant activities of Venus Limited require a simple majority of votes. How should Solar Limited account for its investment in Venus Limited in its consolidated financial statements?

Solution — ICAI

In the present case, Solar Limited controls Mars Limited (since it holds 80% of its voting rights). Consequently, it also controls the voting rights associated with 30% equity interest held by Mars Limited in Venus Limited. Solar Limited also has 25% direct equity interest and related voting power in Venus Limited. Thus, Solar Limited controls 55% (30% + 25%) voting power of Venus Limited. As the decisions concerning relevant activities of Venus Limited require a simple majority of votes. Solar Limited controls Venus Limited and should therefore consolidate it in accordance with Ind AS 110.

Although, Solar Limited controls Venus Limited, its entitlement to the subsidiary's economic benefits is determined on the basis of its actual ownership interest. For the purposes of the consolidated financial statements, Solar Limited's share in Venus Limited is determined as 49% [25% + (80% × 30%)]. As a result, 51% of profit or loss, other comprehensive income and net assets of Venus Limited shall be attributed to the non-controlling interests in the consolidated financial statements (this comprises 6% attributable to holders of non-controlling interests in Mars Limited [reflecting 20% interest of non-controlling shareholders of Mars Limited in 30% of Venus Limited] and 45% to holders of non-controlling interests in Venus Limited).

Q5 · Control: the three elements

MTP Nov 2026 S-I · Q1 · Theory

1. The question paper comprises two parts, Part I and Part II.

Solution — ICAI

Answer key: Option (C)

ICAI answer text: A Ltd. may have control because, in addition to its majority shareholding, it has power over activities such as structural design, cheque approvals, pricing and marketing that significantly affect C Ltd.'s returns.

Q6 · Power: existing rights, current ability, relevant activities

SM Ch 13 Unit 3 · Illustration 3: Different investors have ability to direct different relevant activities · Theory

Illustration 3: Different investors have ability to direct different relevant activities

A Ltd. and B Ltd. set up a new company C Ltd. to construct and operate a toll road. A Ltd. is responsible for the construction of the toll road, which is expected to take two years. Thereafter, B Ltd. has authority on all matters related to toll road operation.

Is it possible for B Ltd. to have power over C Ltd. during the construction phase, even though A Ltd. is responsible for construction and has authority to make decisions that need to be made during the construction phase?

Solution — ICAI

Solution

B Ltd. may power during the construction phase, even though it cannot yet exercise its decision-making rights during construction. The investor that has the ability to direct the activities that most significantly affect the returns of the investee has power over the investee. Consideration should be given to the factors that determine profit margin, revenue and valuation of C Ltd. For example, the construction of the road may be under the strict supervision and precise requirements of the regulator say State Road Transport Corporation (SRTC).

A Ltd. will recover its costs plus a fixed percentage of margin. That margin will be returned through adjustment of the amount of tolls that will flow to A Ltd., so that A Ltd. has first call on the cash flows generated by tolls. B Ltd. will manage the toll road operations, including maintenance, and will be able to claim a management fee equivalent to any residual cash in the entity after all operating expenses have been paid, including payments to A Ltd.

Assume that B Ltd. has the ability to set tolls (and not SRTC). In this scenario, A Ltd. merely works like a contractor, earning a fixed margin, and probably a financing income for financing the construction. A Ltd. does not take much of a risk on the cash flows, because the residual risks and rewards belong to B Ltd. Consequently, B Ltd. controls C Ltd. from its inception.

Q7 · Power: existing rights, current ability, relevant activities

SM Ch 13 Unit 3 · Illustration 4: Determining the relevant activities · Theory

Illustration 4: Determining the relevant activities

A Ltd. is an asset manager of a venture capital fund i.e. Fund X. Out of the total outstanding units of the fund, 10% units are held by A Ltd. and balance 90% units are held by other investors. Majority of the unitholders of the fund have right to appoint a committee which will manage the day-to-day administrative activities of the fund. However, the decisions related to the investments / divestments to be done by Fund X is taken by asset manager i.e. A Ltd. Based on above, who has power over Fund X?

Solution — ICAI

Solution:

In this case, A Ltd. is able to direct the activities that can most significantly affect the returns of Fund X. Hence, A Ltd. has power over the investee. However, this does not mean that A Ltd. has control over the fund and consideration will have to be given to other elements of control evaluation as well i.e. exposure to variable returns and link between power and exposure to variable returns.

Q8 · Power: existing rights, current ability, relevant activities

SM Ch 13 Unit 3 · Illustration 5: Current ability to direct the relevant activities · Theory

Illustration 5: Current ability to direct the relevant activities

An investment vehicle (the investee) is created and financed with a debt instrument held by an investor (the debt investor) and equity instruments held by a number of other investors. The equity tranche is designed to absorb the first losses and to receive any residual return from the investee. One of the equity investors who holds 30 per cent of the equity is also the asset manager.

The investee uses its proceeds to purchase a portfolio of financial assets, exposing the investee to the credit risk associated with the possible default of principal and interest payments of the assets. The transaction is marketed to the debt investor as an investment with minimal exposure to the credit risk associated with the possible default of the assets in the portfolio because of the nature of these assets and because the equity tranche is designed to absorb the first losses of the investee.

The returns of the investee are significantly affected by the management of the investee's asset portfolio, which includes decisions about the selection, acquisition and disposal of the assets within portfolio guidelines and the management upon default of any portfolio assets. All those activities are managed by the asset manager until defaults reach a specified proportion of the portfolio value (ie when the value of the portfolio is such that the equity tranche of the investee has been consumed). From that time, a third-party trustee manages the assets according to the instructions of the debt investor.

Based on the above, who has power over the investment vehicle?

Solution — ICAI

Solution:

Managing the investee's asset portfolio is the relevant activity of the investee.

The asset manager has the ability to direct the relevant activities until defaulted assets reach the specified proportion of the portfolio value; the debt investor has the ability to direct the relevant activities when the value of defaulted assets surpasses that specified proportion of the portfolio value.

The asset manager and the debt investor each need to determine whether they are able to direct the activities that most significantly affect the investee's returns, including considering the purpose and design of the investee as well as each party's exposure to variability of returns.

Q9 · Substantive vs protective rights

SM Ch 13 Unit 3 · Illustration 5: Voting rights are substantive or not · Theory

Illustration 5: Voting rights are substantive or not

Scenario A:

Following is the voting power holding pattern of B Ltd.

- *10% voting power held by A Ltd.*
- *90% voting power held by 9 other investor each holding 10%*

All the investors have entered into a management agreement whereby they have granted the decision-making powers related to the relevant activities of B Ltd. to A Ltd. for a period of 5 years.

After 2 years of the agreement, the investors holding 90% of the voting powers have some disputes with A Ltd. and they want to take back the decision-making rights from A Ltd. This can be done by passing a resolution with majority of the investors voting in favour of the removal of rights from A Ltd. However, as per the termination clause of the management agreement, B Ltd. will have to pay a huge penalty to A Ltd. for terminating the agreement before its stated term.

Whether the rights held by investors holding 90% voting power are substantive?

Scenario B:

Assume the same facts as per Scenario A except, there is no penalty required to be paid by B Ltd. for termination of agreement before its stated term. However, instead of all other investors, there are only 4 investors holding total 40% voting power that have disputes with A Ltd. and want to take back decision-making rights from A Ltd.

Whether the rights held by investors holding 40% voting power are substantive?

Solution — ICAI

Solution:

Scenario A:

If the investors holding 90% of the voting power exercise their right to terminate the management agreement, then it will result in B Ltd. having to pay huge penalty which will affect the returns of B Ltd. This is a barrier that prevents such investors from exercising their rights and hence such rights are not substantive.

Scenario B:

To take back the decision-making rights from A Ltd., investors holding majority of the voting power need to vote in favour of removal of rights from A Ltd. However, the investors having disputes with A Ltd. do not have majority voting power and hence the rights held by them are not substantive.

Q10 · Substantive vs protective rights

SM Ch 13 Unit 3 · Illustration 6: Potential voting rights are substantive or not · Theory

Illustration 6: Potential voting rights are substantive or not

Scenario A:

An investor is holding 30% of the voting power in ABC Ltd. The investor has been granted an option to purchase 30% more voting power from other investors. However, the exercise price of the option is too high compared to the current market price of ABC Ltd. because ABC Ltd. is incurring losses since last 2 years and it is expected to continue to incur losses in future period as well. Whether the right held by the investor to exercise purchase option is substantive?

Scenario B:

Assume the same facts as per Scenario A except, the option price is in line with the current market price of ABC Ltd. and ABC Ltd. is making profits. However, the option can be exercised in next 1 month only and the investor is not in a position to arrange for the require

amount in 1 month's time to exercise the option. Whether the right held by the investor to exercise purchase option is substantive?

Scenario C:

Assume the same facts as per Scenario A except, ABC Ltd. is making profits. However, the current market price of ABC Ltd. is not known since the ABC Ltd. is a relatively new company, business of the company is unique and there are no other companies in the market doing similar business. Hence the investor is not sure whether to exercise the purchase option. Whether the right held by the investor to exercise purchase option is substantive?

Solution — ICAI

Solution:

Scenario A:

The right to exercise purchase option is not substantive since the option exercise price is too high as compared to current market price of ABC Ltd.

Scenario B:

The right to exercise purchase option is not substantive since the time period for the investor to arrange for the requisite amount for exercising the option is too narrow.

Scenario C:

The right to exercise purchase option is not substantive. This is because the investor is not able to obtain information about the market value of ABC Ltd. which is necessary in order to compare the option exercise price with market price so that it can decide whether the exercise of purchase option would be beneficial or not.

Q11 · Substantive vs protective rights

SM Ch 13 Unit 3 · Illustration 7: Removal rights are substantive or not · Theory

Illustration 7: Removal rights are substantive or not

A venture capital fund is managed by an asset manager who has right to take the investment and divestments decisions related to the fund corpus. The asset manager is also holding some stake in the fund. The other investors of the fund have right to remove the asset manager.

However, in the present scenario, there is absence of other managers who are willing or able to provide specialised services that the current asset manager is providing and purchase the stake that the current asset manager is holding in the fund. Whether the removal rights available with other investors are substantive?

Solution — ICAI

Solution:

If the other investors exercise their removal rights, then it will impact the operations of the fund and ultimately the returns of the fund since there is no substitute of the current asset manager available who can manage the corpus of the fund. Hence the removal rights held by other investors are not substantive.

Q12 · Substantive vs protective rights

SM Ch 13 Unit 3 · Illustration 8: Protective rights of a franchisor · Theory

Illustration 8: Protective rights of a franchisor

ABC Ltd. is a manufacturer of branded garments and is the owner of Brand X. PQR Ltd. has entered into a franchise agreement with ABC Ltd. to allow PQR Ltd. to set up a retail outlet to sell the products of Brand X.

As per the agreement, PQR Ltd. will set up the retail outlet from its own funds, decide the capital structure of the entity, hire employees and their remuneration, select vendors for acquiring capital items, etc. However, ABC Ltd. will give certain operating guidelines like the interior of the retail outlet, uniform of the employees and other such guidelines to protect the brand name of ABC Ltd.

Whether the rights held by ABC Ltd. protective or substantive?

Solution — ICAI

Solution:

The activities that most significantly affect the returns of PQR Ltd. are the funding and capital structure of PQR Ltd., hiring of employees and their remuneration, vendors for capital items, etc. which are exercisable by PQR Ltd. Further, the retails outlet is being set up by PQR Ltd. without any financial support from ABC Ltd. The rights available with ABC Ltd. are to protect the brand name of ABC Ltd. and such rights do not affect the ability of PQR Ltd. to take decisions about relevant activities. Hence, the rights held by ABC Ltd. are protective rights.

Q13 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 9: Voting rights of investor are sufficient to give it power · Theory

Illustration 9: Voting rights of investor are sufficient to give it power

An investor holds 45% of the voting rights of an investee. The remaining voting rights are held by thousands of shareholders, none individually holding more than 1% of the voting rights. None of the shareholders has any arrangements to consult any of the others or make collective decisions. Whether the investor holding 45% voting right have power over the investee?

Solution — ICAI

Solution:

On the basis of the absolute size of its holding by the investor and the relative size of the voting rights held by other shareholders, it is more likely that the investor would have power over the investee.

Q14 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 10: Voting rights of investor are sufficient to give it power · Theory

Illustration 10: Voting rights of investor are sufficient to give it power

ABC Ltd. holds 40% of the voting rights of XYZ Ltd. The remaining voting rights are held by 6 other shareholders, each individually holding 10% each. Whether the investor holding 40% voting right have power over the investee?

Solution — ICAI

Solution:

In this case, it is less likely that ABC Ltd. will have power over XYZ Ltd. since the size of the number of shareholders required to outvote ABC Ltd. is not so high. Additional facts and circumstances should also be considered to determine whether ABC Ltd. has power or not.

Q15 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 11: Voting patterns at previous shareholders' meetings · Theory

Illustration 11: Voting patterns at previous shareholders' meetings

An investor holds 35% of the voting rights of an investee. Three other shareholders each hold 5% of the voting rights of the investee. The remaining voting rights are held by numerous other shareholders, none individually holding more than 1% of the voting rights. None of the shareholders has arrangements to consult any of the others or make collective decisions. Decisions about the relevant activities of the investee require the approval of a majority of votes cast at relevant shareholders' meetings — 75% of the voting rights of the investee have been cast at recent relevant shareholders' meetings.

Whether the investor's voting rights are sufficient to give it power to direct the relevant activities of the investee?

Solution — ICAI

Solution:

In this case, the active participation of the other shareholders at recent shareholders' meetings indicates that the investor would not have the practical ability to direct the relevant activities unilaterally, regardless of whether the investor has directed the relevant activities because a sufficient number of other shareholders voted in the same way as the investor.

Q16 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 12: Potential voting rights · Theory

Illustration 12: Potential voting rights

Investor A and two other investors each hold a third of the voting rights of an investee. The investee's business activity is closely related to investor A. In addition to its equity instruments, investor A also holds debt instruments that are convertible into ordinary shares of the investee at any time for a fixed price. The conversion rights are substantive. If the debt were converted, investor A would hold 60% of the voting rights of the investee. Investor A would benefit from realising synergies if the debt instruments were converted into ordinary shares. Whether investor A has power over the investee?

Solution — ICAI

Solution:

Investor A has power over the investee because it holds voting rights of the investee together with substantive potential voting rights that give it the current ability to direct the relevant activities.

Q17 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 13: Purpose and design of the investee · Theory

Illustration 13: Purpose and design of the investee

PQR Ltd. has entered into a contract with a state government to construct a power plant and distribute the electricity generated from the plant to the households of the state. For this, PQR Ltd. has set up a new entity XYZ Ltd. PQR Ltd. was involved in the design of XYZ Ltd. The decisions related to the relevant activities of XYZ Ltd. i.e. how much electricity to generate or the price at which units of electricity to be sold to customers, etc. are not determined by the voting rights. Whether PQR Ltd. has power over XYZ Ltd.?

Solution — ICAI

Solution:

PQR Ltd. was involved in the design of XYZ Ltd. Accordingly, its involvement in the design may indicate that the investor had the opportunity to obtain rights that are sufficient to give it power over the investee. However, being involved in the design of XYZ Ltd. alone is not sufficient to give PQR Ltd. control over XYZ Ltd. and hence other facts and circumstances, such as other contractual arrangements, should also be considered.

Q18 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 14: Rights contingent upon future events · Theory

Illustration 14: Rights contingent upon future events

An investee's only business activity, as specified in its founding documents, is to purchase receivables and service them on a day-to-day basis for its investors. Following is the relevant fact pattern:

- *The servicing on a day-to-day basis includes the collection and passing on of principal and interest payments as they fall due.*
- *Upon default of a receivable the investee automatically puts the receivable to an investor as agreed separately in an agreement between the investee and the investor.*
- *The only relevant activity is managing the receivables upon default because it is the only activity that can significantly affect the investee's returns.*
- *Managing the receivables before default is not a relevant activity because the activities before default are predetermined and amount only to collecting cash flows as they fall due and passing them on to investors.*

Whether the investor has power over the investee?

Solution — ICAI

Solution:

In this question, the design of the investee ensures that the investor has decision-making power only in case of default of a receivable. The terms of the agreement between investee and investor are integral to the overall transaction and the establishment of the investee. Therefore, the terms of the agreement together with the founding documents of the investee lead to the conclusion that the investor has power over the investee even though the investor takes ownership of the receivables only upon default and manages the defaulted receivables outside the legal boundaries of the investee.

Q19 · Power through voting rights, de facto control and potential voting rights

SM Ch 13 Unit 3 · Illustration 15: Commitment to ensure that an investee operates as designed · Theory

Illustration 15: Commitment to ensure that an investee operates as designed

A Ltd. is a manufacturer of pharmaceutical products. A Ltd. has invested in share capital of B Ltd. which is a manufacturer of packing material for pharmaceutical products. A Ltd.'s requirements of packing materials for its products are entirely supplied by B Ltd. A Ltd. is not purchasing the packing materials from any other vendors because the materials supplied by other vendors are of inferior quality. Whether A Ltd. has power over B Ltd.?

Solution — ICAI

Solution:

A Ltd. would be the most affected by the operations of B Ltd. since it is dependent on B Ltd. for the supply of packing materials. Therefore A Ltd. would be committed to ensure that B Ltd. operates as designed. This can be an indicator of A Ltd. having power over B Ltd. But it has to consider other facts and circumstances as well to conclude whether it control B Ltd. or not.

Q20 · Power through voting rights, de facto control and potential voting rights

ICAI Practice Questions · Ch 13 Q8

8. Solar Limited has an 80% interest in its subsidiary, Mars Limited. Solar Limited holds a direct interest of 25% in Venus Limited. Mars Limited also holds a 30% interest in Venus Limited. The decisions concerning relevant activities of Venus Limited require a simple majority of votes. How should Solar Limited account for its investment in Venus Limited in its consolidated financial statements?

Solution — ICAI

8. In the present case, Solar Limited controls Mars Limited (since it holds 80% of its voting rights). Consequently, it also controls the voting rights associated with 30% equity interest held by Mars Limited in Venus Limited. Solar Limited also has 25% direct equity interest and related voting power in Venus Limited. Thus, Solar Limited controls 55% (30% + 25%) voting power of Venus Limited. As the decisions concerning relevant activities of Venus Limited require a simple majority of votes. Solar Limited controls Venus Limited and should therefore consolidate it in accordance with Ind AS 110.

Although, Solar Limited controls Venus Limited, its entitlement to the subsidiary's economic benefits is determined on the basis of its actual ownership interest. For the purposes of the consolidated financial statements, Solar Limited's share in Venus Limited is determined as 49% [25% + (80% × 30%)]. As a result, 51% of profit or loss, other comprehensive income and net assets of Venus Limited shall be attributed to the non-controlling interests in the consolidated financial statements (this comprises 6% attributable to holders of non-controlling interests in Mars Limited [reflecting 20% interest of non-controlling shareholders of Mars Limited in 30% of Venus Limited] and 45% to holders of non-controlling interests in Venus Limited).

Q21 · Power through voting rights, de facto control and potential voting rights

MTP Nov 2022 S-II · Q1(b) · Theory

(b) High Speed Ltd. has entered into a Share Purchase Agreement ("SPA") with the shareholders of Fast Move Limited to purchase 30% stake in Fast Move Limited as at 1st June, 20X1 at a price of ₹ 30 per share. As per the terms of SPA, High Speed Ltd. has an option to purchase additional 25% stake in Fast Move Limited on or before 15th June, 20X1 at a price of ₹ 30 per share. Similarly, the selling shareholder has an option to sell additional 25% stake in Fast Move Limited on or before 15.6.20X1 to High Speed Ltd. at a price of ₹ 30 per share. The decisions on relevant activities of Fast Move Limited are made in Annual General Meeting / Extraordinary General Meeting (AGM / EGM). A resolution in AGM / EGM is passed when more than 50% votes are casted in favor of the resolution. An AGM / EGM can be called by giving atleast 21 days advance notice to all shareholders.

With respect to the SPA entered by High Speed Ltd., you are required to determine whether High Speed Ltd. has control over Fast Move Limited as at 1st June, 20X1. (5 Marks)

Solution — ICAI

(b) Paragraph 10 of Ind AS 110 'Consolidated Financial Statements', states that an investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities, i.e. the activities that significantly affect the investee's returns.

As per the facts given in the question, High Speed Ltd. has 15 days to exercise the option to purchase 25% additional stake in Fast Move Ltd. which will give it majority voting rights of 55% (30% + 25%). This is a substantive potential voting rights which is currently exercisable.

Further, the decisions on relevant activities of Fast Move Ltd. are made in AGM / EGM. An AGM/ EGM can be called by giving atleast 21 days advance notice. A resolution in AGM / EGM is passed when more than 50% votes are casted in favour of the resolution. Thus, the existing shareholders of Fast Move Ltd. are unable to change the existing policies over the relevant activities before the exercise of option by High Speed Ltd.

High Speed Ltd. can exercise the option and get voting rights of more than 50% at the date of AGM/ EGM. Accordingly, the option contract gives High Speed Ltd. the current ability to direct the relevant activities even before the option contract is settled. Therefore, High Speed Ltd. controls Fast Move Ltd. as at 1st June, 20X1.

Study-material link: variant of SM Example 3 (Ch 13 unit 3: 30% + option for 40% within 25 days)

Q22 · Power through voting rights, de facto control and potential voting rights

MTP May 2023 S-II · Q6(c) Or · Theory

Company P Ltd., a manufacturer of textile products, acquires 40,000 equity shares of Company X (a manufacturer of complementary products) out of 1,00,000 shares in issue. As part of the same agreement, the Company P purchases an option to acquire an additional 25,000 shares. The option is exercisable at any time in the next 12 months. The exercise price includes a small premium to the market price at the transaction date.

After the above transaction, the shareholdings of Company X's two other original shareholders are 35,000 and 25,000. Each of these shareholders also has currently exercisable options to acquire 2,000 additional shares. Assess whether control is acquired by Company P. (5 Marks)

Solution — ICAI

In assessing whether it has obtained control over Company X, Company P should consider not only the 40,000 shares it owns but also its option to acquire another 25,000 shares (a so-called potential voting right). In this assessment, the specific terms and conditions of the option agreement and other factors are considered as follows:

• the options are currently exercisable and there are no other required conditions before such options can be exercised

• if exercised, these options would increase Company P's ownership to a controlling interest of over 50% before considering other shareholders' potential voting rights (65,000 shares out of a total of 1,25,000 shares)

• although other shareholders also have potential voting rights, if all options are exercised Company P will still own a majority (65,000 shares out of 1,29,000 shares)

• the premium included in the exercise price makes the options out-of-the-money. However, the fact that the premium is small and the options could confer majority ownership indicates that the potential voting rights have economic substance.

By considering all the above factors, Company P concludes that with the acquisition of the 40,000 shares together with the potential voting rights, it has obtained control of Company X.

Study-material link: variant of SM Illustration 4 (Ch 12, Potential voting rights), same facts

Q23 · Variable returns, principal vs agent, de facto agents

SM Ch 13 Unit 3 · Illustration 16: Link between power and returns · Theory

Illustration 16: Link between power and returns

A decision maker (fund manager) establishes, markets and manages a publicly traded, regulated fund according to narrowly defined parameters set out in the investment mandate as required by its local laws and regulations. The fund was marketed to investors as an investment in a diversified portfolio of equity securities of publicly traded entities. Following is the relevant fact pattern related to fund manager:

- *Within the defined parameters, the fund manager has discretion about the assets in which to invest.*
- *The fund manager has made a 10% pro rata investment in the fund and receives a market-based fee for its services equal to 1% of the net asset value of the fund.*
- *The fees are commensurate with the services provided.*
- *The fund manager does not have any obligation to fund losses beyond its 10% investment.*

The fund is not required to establish, and has not established, an independent board of directors. The investors do not hold any substantive rights that would affect the decision-making authority of the fund manager but can redeem their interests within particular limits set by the fund.

Whether the fund manager controls the fund?

Solution — ICAI

Solution:

Although operating within the parameters set out in the investment mandate and in accordance with the regulatory requirements, the fund manager has decision-making rights that give it the current ability to direct the relevant activities of the fund — the investors do not hold substantive rights that could affect the fund manager's decision-making authority. The fund manager receives a market-based fee for its services that is commensurate with the services provided and has also made a pro rata investment in the fund. The remuneration and its investment expose the fund manager to variability of returns from the activities of the fund without creating exposure that is of such significance that it indicates that the fund manager is a principal.

In this case, consideration of the fund manager's exposure to variability of returns from the fund together with its decision-making authority within restricted parameters indicates that the fund manager is an agent. Thus, the fund manager concludes that it does not control the fund.

Q24 · Variable returns, principal vs agent, de facto agents

SM Ch 13 Unit 3 · Illustration 17: Link between power and returns · Theory

Illustration 17: Link between power and returns

A decision maker establishes, markets and manages a fund that provides investment opportunities to a number of investors. The decision maker (fund manager) must make decisions in the best interests of all investors and in accordance with the fund's governing agreements. Nonetheless, the fund manager has wide decision-making discretion. The fund manager receives a market-based fee for its services equal to 1% of assets under management and 20% of all the fund's profits if a specified profit level is achieved. The fees are commensurate with the services provided.

Although it must make decisions in the best interests of all investors, the fund manager has extensive decision-making authority to direct the relevant activities of the fund. The fund manager is paid fixed and performance-related fees that are commensurate with the services provided. In addition, the remuneration aligns the interests of the fund manager with those of the other investors to increase the value of the fund, without creating exposure to variability of returns from the activities of the fund that is of such significance that the remuneration, when considered in isolation, indicates that the fund manager is a principal.

The above fact pattern and analysis applies to various scenarios described below. Each scenario is considered in isolation. Determine whether the fund manager control the fund?

Scenario A

The fund manager also has a 2% investment in the fund that aligns its interests with those of the other investors. The fund manager does not have any obligation to fund losses beyond its 2% investment. The investors can remove the fund manager by a simple majority vote, but only for breach of contract.

Scenario B

The fund manager has a more substantial pro rata investment in the fund but does not have any obligation to fund losses beyond that investment. The investors can remove the fund manager by a simple majority vote, but only for breach of contract.

Scenario C

The fund manager has a 20% pro rata investment in the fund but does not have any obligation to fund losses beyond its 20% investment. The fund has a board of directors, all of whose members are independent of the fund manager and are appointed by the other investors. The board appoints the fund manager annually. If the board decided not to renew the fund manager's contract, the services performed by the fund manager could be performed by other managers in the industry.

Solution — ICAI

Solution:

Scenario A

The fund manager's 2% investment increases its exposure to variability of returns from the activities of the fund without creating exposure that is of such significance that it indicates that the fund manager is a principal. The other investors' rights to remove the fund manager are considered to be protective rights because they are exercisable only for breach of contract. In this example, although the fund manager has extensive decision-making authority and is exposed to variability of returns from its interest and remuneration, the fund manager's exposure indicates that the fund manager is an agent. Thus, the fund manager concludes that it does not control the fund.

Scenario B

In this scenario, the other investors' rights to remove the fund manager are considered to be protective rights because they are exercisable only for breach of contract. Although the fund manager is paid fixed and performance-related fees that are commensurate with the services provided, the combination of the fund manager's investment together with its remuneration could create exposure to variability of returns from the activities of the fund that is of such significance that it indicates that the fund manager is a principal. The greater the magnitude of, and variability associated with, the fund manager's economic interests (considering its remuneration and other interests in aggregate), the more emphasis the fund manager would place on those economic interests in the analysis, and the more likely the fund manager is a principal.

For example, having considered its remuneration and the other factors, the fund manager might consider a 20% investment to be sufficient to conclude that it controls the fund. However, in different circumstances (i.e. if the remuneration or other factors are different), control may arise when the level of investment is different.

Scenario C

Although the fund manager is paid fixed and performance-related fees that are commensurate with the services provided, the combination of the fund manager's 20% investment together with its remuneration creates exposure to variability of returns from the activities of the fund that is of such significance that it indicates that the fund manager is a principal. However, the investors have substantive rights to remove the fund manager — the board of directors provides a mechanism to ensure that the investors can remove the fund manager if they decide to do so.

In this scenario, the fund manager places greater emphasis on the substantive removal rights in the analysis. Thus, although the fund manager has extensive decision-making authority and is exposed to variability of returns of the fund from its remuneration and investment, the substantive rights held by the other investors indicate that the fund manager is an agent. Thus, the fund manager concludes that it does not control the fund.

Q25 · Variable returns, principal vs agent, de facto agents

SM Ch 13 Unit 3 · Illustration 18: Link between power and returns · Theory

Illustration 18: Link between power and returns

An investee is created to purchase a portfolio of fixed rate asset-backed securities, funded by fixed rate debt instruments and equity instruments. The equity instruments are designed to provide first loss protection to the debt investors and receive any residual returns of the investee.

The transaction was marketed to potential debt investors as an investment in a portfolio of asset-backed securities with exposure to the credit risk associated with the possible default of the issuers of the asset-backed securities in the portfolio and to the interest rate risk associated with the management of the portfolio.

On formation, the equity instruments represent 10% of the value of the assets purchased. A decision maker (the asset manager) manages the active asset portfolio by making investment decisions within the parameters set out in the investee's prospectus. For those services, the asset manager receives a market-based fixed fee (i.e. 1% of assets under management) and performance-related fees (i.e. 10% of profits) if the investee's profits exceed a specified level. The fees are commensurate with the services provided. The asset manager holds 35% of the equity in the investee. The remaining 65% of the equity, and all the debt instruments, are held by a large number of widely dispersed unrelated third-party investors. The asset manager can be removed, without cause, by a simple majority decision of the other investors.

Does the asset manager control the investee?

Solution — ICAI

Solution:

The asset manager is paid fixed and performance-related fees that are commensurate with the services provided. The remuneration aligns the interests of the fund manager with those of the other investors to increase the value of the fund. The asset manager has exposure to variability of returns from the activities of the fund because it holds 35% of the equity and from its remuneration.

Although operating within the parameters set out in the investee's prospectus, the asset manager has the current ability to make investment decisions that significantly affect the investee's returns -the removal rights held by the other investors receive little weighting in the analysis because those rights are held by a large number of widely dispersed investors. In this example, the asset manager places greater emphasis on its exposure to variability of returns of the fund from its equity interest, which is subordinate to the debt instruments. Holding 35% of the equity creates subordinated exposure to losses and rights to returns of the investee, which are of such significance that it indicates that the asset manager is a principal. Thus, the asset manager concludes that it controls the investee.

Q26 · Variable returns, principal vs agent, de facto agents

SM Ch 13 Unit 3 · Illustration 19: Link between power and returns · Theory

Illustration 19: Link between power and returns

A decision maker (the sponsor) sponsors a fund, which issues short-term debt instruments to unrelated third-party investors. The transaction was marketed to potential investors as an investment in a portfolio of highly rated medium-term assets with minimal exposure to the credit risk associated with the possible default by the issuers of the assets in the portfolio. Various transferors sell high quality medium-term asset portfolios to the fund. Each transferor services the portfolio of assets that it sells to the fund and manages receivables on default for a market-based servicing fee. Each transferor also provides first loss protection against credit losses from its asset portfolio through over-collateralisation of the assets transferred to the fund. The sponsor establishes the terms of the fund and manages the operations of the fund for a market-based fee. The fee is commensurate with the services provided. The sponsor approves the sellers permitted to sell to the fund, approves the assets to be purchased by the fund and makes decisions about the funding of the fund. The sponsor must act in the best interests of all investors.

The sponsor is entitled to any residual return of the fund and also provides credit enhancement and liquidity facilities to the fund. The credit enhancement provided by the sponsor absorbs losses of up to 5% of all of the fund's assets, after losses are absorbed by the transferors. The liquidity facilities are not advanced against defaulted assets. The investors do not hold substantive rights that could affect the decision-making authority of the sponsor. Whether the sponsor has control over the fund?

Solution — ICAI

Solution:

Even though the sponsor is paid a market-based fee for its services that is commensurate with the services provided, the sponsor has exposure to variability of returns from the activities of the fund because of its rights to any residual returns of the fund and the provision of credit enhancement and liquidity facilities (i.e. the fund is exposed to liquidity risk by using short-term debt instruments to fund medium-term assets). Even though each of the transferors has decision-making rights that affect the value of the assets of the fund, the sponsor has extensive decision-making authority that gives it the current ability to direct the activities that most significantly affect the fund's returns (i.e. the sponsor established the terms of the fund, has the right to make decisions about the assets (approving the assets purchased and the transferors of those assets) and the funding of the fund (for which new investment must be found on a regular basis)). The right to residual returns of the fund and the provision of credit enhancement and liquidity facilities expose the sponsor to variability of returns from the activities of the fund that is different from that of the other investors. Accordingly, that exposure indicates that the sponsor is a principal and thus the sponsor concludes that it controls the fund. The sponsor's obligation to act in the best interest of all investors does not prevent the sponsor from being a principal.

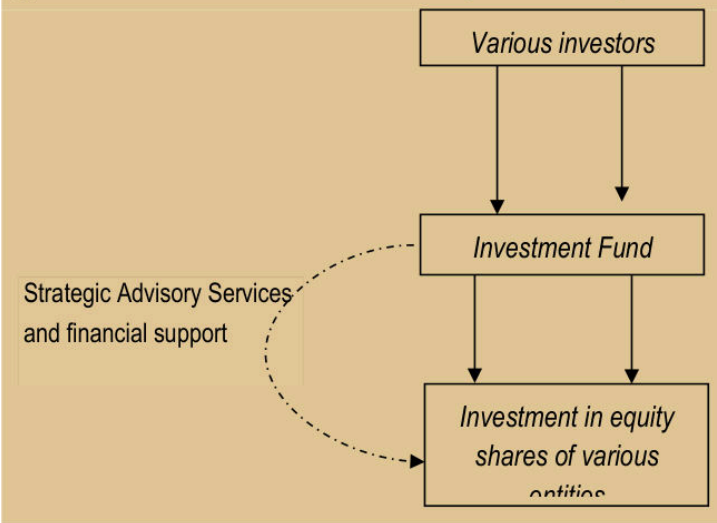
© Investment entities

Q27 · Investment entities

SM Ch 13 Unit 3 · Illustration 20: Business purpose of an investment entity · Theory

Illustration 20: Business purpose of an investment entity

An asset manager has set up and investment fund for the purpose of acquiring capital contributions from various investors (by issuing them units in the fund) and investing those contributions in the equity share capital of various entities for the purpose of earning capital appreciation on those investments. Following is the existing structure of the fund.



Apart from the investments in various entities, the investment fund also provides its investee the strategic advisory services so that it can result in increase in the capital appreciation from investments in those investees. It also provides its investees financial support in the form of loan to provide them with funds for acquiring capital assets. The investment fund does not hold such investments for a period longer than 5 years. The investment fund measures and evaluate the performance of the investments on fair value basis.

Whether the investment fund can be treated as an investment entity?

Solution — ICAI

Solution:

Out of the three elements of the definition of an investment entity, the investment fund fulfils the two elements very clearly i.e. it obtains fund from more than one investor for providing investment management services and measures and evaluates its investments on fair value basis.

The typical characteristics of an investment entity are also present in the structure of the investment fund i.e. more than one investment, more than one investor, investors are unrelated and investment fund issues units in the fund to the investors.

With respect to the business objective of the investment fund, the objective is to earn capital appreciation from its investments. The strategic advisory services and financial support provided to investees are extended with the intention of earning higher capital appreciation from the investees. However, judgement should to be applied that these do not represent substantial business activity or a separate substantial source of income for the investment fund. If the investment fund concludes that these services and financial support to investees are not substantial business activity and substantial source of income for the investment fund, then only the investment fund can be treated as an investment entity.

Q28 · Investment entities

SM Ch 13 Unit 3 · Illustration 21: Exit strategies of an investment entity · Theory

Illustration 21: Exit strategies of an investment entity

ABC Ltd. Is established with primary objective of investing in the equity shares of various entities across various industries based on the detailed research about each industry and entities within that industry being done by the investment manager of the company.

The investment manager decides the timing as to when the investments should be made considering the current market situation. Sometimes, the investment manager decides to invest the idle funds into short-term to medium-term debt instruments with fixed maturity. The exit strategies are in place for the investments done in equity shares but the same is not there for investments done in debt instruments.

Determine whether the entity fulfils the exit strategy condition of being classified as investment entity?

Solution — ICAI

Solution:

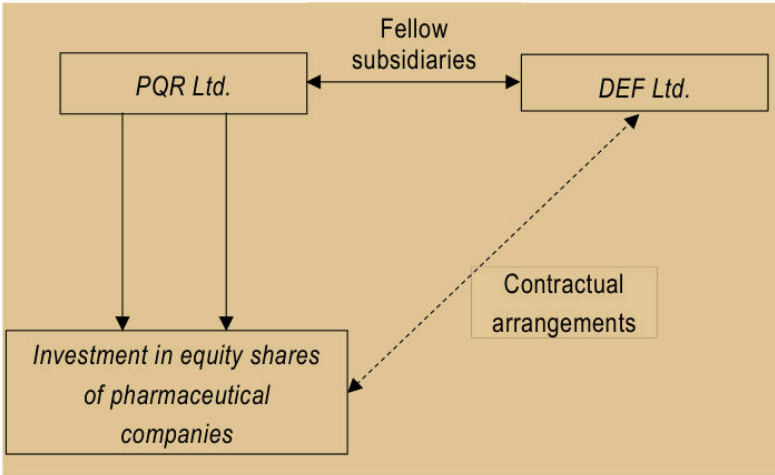
The exit strategies are in place for investments done in equity shares. But not in place for investments done in debt instruments. However, it should be noted that the debt instruments have fixed maturity period and they cannot be held for indefinite period. Hence, there is no need for having exit strategies for such instruments. Accordingly, the exit strategy condition is fulfilled for being classified as investment entity.

Q29 · Investment entities

SM Ch 13 Unit 3 · Illustration 22: Earnings from investments of an investment entity · Theory

Illustration 22: Earnings from investments of an investment entity

PQR Ltd. is established with primary objective of investing in the equity shares of various pharmaceutical companies which are involved in the research and development of medicine for a critical illness. DEF Ltd. is a fellow subsidiary of PQR Ltd. and DEF Ltd. has entered into contractual arrangements with all the investees of PQR Ltd. that in case they are successful in developing the medicine then they will transfer the patent and distribution rights for that medicine to DEF Ltd. at less then market price. This arrangement is explained in following diagram:



Determine whether PQR Ltd. can be classified as investment entity?

Solution — ICAI

Solution:

PQR Ltd. and DEF Ltd. are part of same group. Further, DEF Ltd. have exclusive right to acquire the patent and distributions rights from the investees of PQR Ltd. and that too at less than the market price. Hence, the related party of PQR Ltd. is in position to obtain benefits other than capital appreciation and investment income from the investees that are not available to other parties unrelated to the investee. Accordingly, PQR Ltd. cannot be classified as investment entity.

Q30 · Investment entities

SM Ch 13 Unit 3 · Illustration 23 · Theory

Illustration 23

HTF Ltd. was formed by T Ltd. to invest in technology start-up companies for capital appreciation. T Ltd. holds 70 percent interest in HTF Ltd. and controls HTF Ltd. The other 30 percent ownership interest in HTF Ltd. is owned by 10 unrelated investors. T Ltd. holds options to acquire investments held by HTF Ltd., at their fair value, which would be exercised if the technology developed by the investees would benefit the operations of T Ltd. No plans for exiting the investments have been identified by HTF Ltd. HTF Ltd. is managed by an investment adviser that acts as agent for the investors in HTF Ltd.

Determine whether HTF Ltd. is an investment entity or not.

Solution — ICAI

Solution:

Even though HTF Ltd.'s business purpose is investing for capital appreciation and it provides investment management services to its investors, HTF Ltd. is not an investment entity because of the following arrangements and circumstances:

(a) T Ltd., the parent of HTF Ltd. holds options to acquire investments in investees held by HTF Ltd. if the assets developed by the investees would benefit the operations of T Ltd. This provides a benefit in addition to capital appreciation or investment income; and

(b) the investment plans of HTF Ltd. do not include exit strategies for its investments, which are equity investments. The options held by T Ltd. are not controlled by HTF Ltd. and do not constitute an exit strategy.

Q31 · Investment entities

SM Ch 13 Unit 4 · Illustration 35: An entity ceases to be an investment entity · Numerical

Illustration 35: An entity ceases to be an investment entity

A Limited ceased to be in investment entity from 1st April 20X1 on which date it was holding 80% of B Limited. The carrying value of such investment in B Limited (which was measured at fair value through profit or loss) was ₹ 4,00,000. The fair value of non-controlling interest on the date of change in status was ₹ 1,00,000. The value of subsidiary's identifiable net assets as per Ind AS 103 was ₹ 4,50,000 on the date of change in status. Determine the value of goodwill and pass the journal entry on the date of change in status of investment entity. (Assume that non-controlling interest is measured at fair value method)

Solution — ICAI

Solution:

Goodwill calculation:	₹
Deemed consideration (i.e. fair value of subsidiary on the date of change in status)	4,00,000
Fair value of non-controlling interest	1,00,000
	5,00,000
Value of subsidiary's identifiable net assets as per Ind AS 103	(4,50,000)
Goodwill	**50,000**

Journal Entry		₹	
		Dr.	Cr.
Net identifiable assets	Dr.	4,50,000	
Goodwill	Dr.	50,000	
To Investment in B Limited (on date of change in status)			4,00,000
To Non-controlling interest			1,00,000

Q32 · Investment entities

SM Ch 13 Unit 4 · Illustration 36: An entity becomes an investment entity · Numerical

Illustration 36: An entity becomes an investment entity

CD Ltd. purchased a 100% subsidiary for ₹ 20,00,000 on 31st March 20X1 when the fair value of the net assets of KL Ltd. was ₹ 16,00,000. Therefore, goodwill was ₹ 4,00,000. CD Ltd. becomes an investment entity on 31st March 20X3 when the carrying value of its investment in KL Ltd. (measured at fair value through profit or loss) was ₹ 25,00,000. At the date of change in status, the carrying value of net assets of KL Ltd. excluding goodwill was ₹ 19,00,000.

Calculate gain or loss with respect to investment in KL Ltd. on the date of change in investment entity status of CD Ltd.

Solution — ICAI

Solution:

The gain on the disposal will be calculated as follows:

	₹
Fair value of retained interest (100%)	25,00,000
Less: Net assets disposed, including goodwill (19,00,000 + 4,00,000)	(23,00,000)
Gain on the date of change in investment entity status of CD Ltd.	2,00,000

Ⓓ Consolidation procedure

Q33 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 Unit 4 · Illustration 1: Determination of goodwill · Numerical

Illustration 1: Determination of goodwill

A Limited acquires 80% of B Limited by paying cash consideration of ₹ 120 crore. The fair value of non-controlling interest on the date of acquisition is ₹ 30 crore. The value of subsidiary's identifiable net assets as per Ind AS 103 is ₹ 130 crore. Determine the value of goodwill and pass the journal entry.

Solution — ICAI

Solution:

The amount of non-controlling interest can be measured as per i) Fair value method or ii) Proportionate share method (i.e. proportionate share in the net identifiable assets of the acquiree). The value of goodwill will be different under both the methods. The goodwill is calculated as per both the methods below:

Fair value method	**₹ crore**
Fair value of consideration transferred	120
Fair value of non-controlling interest	30
	150
Value of subsidiary's identifiable net assets as per Ind AS 103	(130)
Goodwill	**20**
Proportionate share method	**₹ crore**
Fair value of consideration transferred	120
Proportional share of non-controlling interest in the net identifiable assets of acquiree (130 x 20%)	26
	146
Value of subsidiary's identifiable net assets as per Ind AS 103	(130)
Goodwill	**16**

Journal Entries

Fair value method		**₹ crore**	
		Dr.	Cr.
Net identifiable assets	Dr.	130	
Goodwill	Dr.	20	
To Cash			120
To Non-controlling interest			30
Proportionate share method		**₹ crore**	
		Dr.	Cr.
Net identifiable assets	Dr.	130	
Goodwill	Dr.	16	
To Cash			120
To Non-controlling interest			26

Q34 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 Unit 4 · Illustration 2: Determination of goodwill · Numerical

Illustration 2: Determination of goodwill

Ram Ltd. acquires 60% of Raja Ltd. by paying cash consideration of ₹ 750 lakh (including control premium). The fair value of non-controlling interest on the date of acquisition is ₹ 480 lakh. The value of subsidiary's identifiable net assets as per Ind AS 103 is ₹ 1,000 lakh. Determine the value of goodwill and pass the journal entry.

Solution — ICAI

Solution:

The amount of non-controlling interest can be measures wither as per i) Fair value method or ii) Proportionate share method (i.e. proportionate share in the net identifiable assets of the acquiree). The value of goodwill will be different under both the methods. The goodwill is calculated as per both the methods below:

Fair value method	₹ lakh
Fair value of consideration transferred	750
Fair value of non-controlling interest	480
	1,230
Value of subsidiary's identifiable net assets as per Ind AS 103	(1,000)
Goodwill	**230**

Proportionate share method	₹ lakh
Fair value of consideration transferred	750
Proportional share of non-controlling interest in the net identifiable assets of acquiree (1,000 x 40%)	400
	1,150
Value of subsidiary's identifiable net assets as per Ind AS 103	(1,000)
Goodwill	**150**

Journal Entries

Fair value method		₹ lakh	
		Dr.	Cr.
Net identifiable assets	Dr.	1,000	
Goodwill	Dr.	230	
To Cash			750
To Non-controlling interest			480
Proportionate share method		**₹ lakh**	
		Dr.	Cr.
Net identifiable assets	Dr.	1,000	
Goodwill	Dr.	150	
To Cash			750
To Non-controlling interest			400

Q35 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 Unit 4 · Illustration 3: Determination of gain on bargain purchase · Numerical

Illustration 3: Determination of gain on bargain purchase

X Ltd. acquires 80% of Y Ltd. by paying cash consideration of ₹ 400 lakh. The fair value of non-controlling interest on the date of acquisition is ₹ 100 lakh. The value of subsidiary's identifiable net assets as per Ind AS 103 is ₹ 520 lakh. Determine the value of gain on bargain purchase and pass the journal entry.

Solution — ICAI

Solution:

The amount of non-controlling interest can be measured as per i) Fair value method or ii) Proportionate share method (i.e. proportionate share in the net identifiable assets of the acquiree). The value of gain on bargain purchase will be different under both the methods. The gain is calculated as per both the methods below:

Fair value method	**₹ lakh**
Fair value of consideration transferred	400
Fair value of non-controlling interest	100
	500
Value of subsidiary's identifiable net assets as per Ind AS 103	(520)
Gain on bargain purchase	**(20)**
Proportionate share method	**₹ lakh**
Fair value of consideration transferred	400
Proportional share of non-controlling interest in the net identifiable assets of acquiree (520 x 20%)	104
	504
Value of subsidiary's identifiable net assets as per Ind AS 103	(520)
Gain on bargain purchase	**(16)**

Journal Entries

Fair value method		**₹ lakh**	
		Dr.	Cr.
Net identifiable assets	Dr.	520	
To Cash			400
To Gain on bargain purchase*			20
To Non-controlling interest			100

Proportionate share method		**₹ lakh**	
		Dr.	Cr.
Net identifiable assets	Dr.	520	
To Cash			400
To Gain on bargain purchase*			16
To Non-controlling interest			104

* Gain on bargain purchase is either recognised in OCI or is recognised directly in equity as a capital reserve.

Q36 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 Unit 4 · Illustration 4: Determination of goodwill when there is no non-controlling interest · Theory

Illustration 4: Determination of goodwill when there is no non-controlling interest

M Ltd. acquires 100% of N Ltd. by paying cash consideration of ₹ 100 lakh. The value of subsidiary's identifiable net assets as per Ind AS 103 is ₹80 lakh. Determine the value of goodwill.

Solution — ICAI

Solution:

The value of goodwill is calculated as follows:

Determination of goodwill	₹ lakh
Fair value of consideration transferred	100
Value of subsidiary's identifiable net assets as per Ind AS 103	(80)
Goodwill	**20**

Q37 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 · Test Your Knowledge Q4 · Numerical

4. DEF Ltd. acquired 100% ordinary shares of ₹ 100 each of XYZ Ltd. on 1st October 20X1. On March 31, 20X2 the summarised Balance Sheets of the two companies were as given below:

	DEF Ltd.	XYZ Ltd.
Assets		
Property Plant Equipment		
Land & Buildings	15,00,000	18,00,000

Plant & Machinery	24,00,000	13,50,000
Investment in XYZ Ltd.	34,00,000	-
Inventory	12,00,000	3,64,000
Financial Assets		
Trade Receivable	5,98,000	4,00,000
Cash	1,45,000	80,000
Total	**92,43,000**	**39,94,000**
Equity & Liabilities		
Equity Capital (Shares of ₹ 100 each fully paid)	50,00,000	20,00,000
Other Equity		
Other reserves	24,00,000	10,00,000
Retained Earnings	5,72,000	8,20,000
Financial Liabilities		
Bank Overdraft	8,00,000	-
Trade Payable	4,71,000	1,74,000
Total	**92,43,000**	**39,94,000**

The retained earnings of XYZ Ltd. showed a credit balance of ₹ 3,00,000 on 1st April 20X1 out of which a dividend of 10% was paid on 1st November; DEF Ltd. has recognised the dividend received to profit or loss account; Fair Value of P&M as on 1st October 20X1 was ₹ 20,00,000. The rate of depreciation on plant & machinery is 10%.

Following are the increases on comparison of Fair value as per respective Ind AS with Book value as on 1st October 20X1 which are to be considered while consolidating the Balance Sheets.

Liabilities	Amount	Assets	Amount
Trade Payables	1,00,000	Land & Buildings	10,00,000
		Inventories	1,50,000

Notes:

I. It may be assumed that the inventory is still unsold on balance sheet date and the Trade Payables are also not yet settled.

II. Also assume that the Other Reserves of both the companies as on 31st March 20X2 are the same as was on 1st April 20X1.

III. All fair value adjustments have not yet started impacting consolidated post-acquisition profits.

Prepare consolidated Balance Sheet as at March 31, 20X2.

Solution — ICAI

4. Consolidated Balance Sheet of DEF Ltd. and its subsidiary, XYZ Ltd. as at 31st March, 20X2

Particulars	Note No.	₹
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	86,00,000
(2) Current Assets		
(i) Inventories	2	17,14,000
(ii) Financial Assets		
(a) Trade Receivables	3	9,98,000
(b) Cash & Cash equivalents	4	2,25,000
Total Assets		**1,15,37,000**
II. Equity and Liabilities		

(1) Equity		
(i) Equity Share Capital	5	50,00,000
(ii) Other Equity	6	49,92,000
(2) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	7	7,45,000
(b) Short term borrowings	8	8,00,000
Total Equity & Liabilities		**1,15,37,000**

Notes to Accounts

			₹
1.	**Property Plant & Equipment**		
	Land & Building	43,00,000	
	Plant & Machinery	43,00,000	86,00,000
2.	**Inventories**		
	DEF Ltd.	12,00,000	
	XYZ Ltd.	5,14,000	17,14,000
3.	**Trade Receivables**		
	DEF Ltd.	5,98,000	
	XYZ Ltd.	4,00,000	9,98,000
4.	**Cash & Cash equivalents**		
	DEF Ltd.	1,45,000	
	XYZ Ltd.	80,000	2,25,000
7.	**Trade payable**		
	DEF Ltd.	4,71,000	
	XYZ Ltd.	2,74,000	7,45,000
8.	**Shorter-term borrowings**		
	Bank overdraft		8,00,000

Statement of Changes in Equity:

5. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
50,00,000	0	50,00,000

6. Other Equity

	Share application money pending allotment	Equity component of compound financial instrument	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Other Reserves	
Balance at the beginning				0	24,00,000	24,00,000
Total comprehensive income for the year			0	5,72,000		5,72,000
Dividends			0	(2,00,000)		(2,00,000)
Total comprehensive income attributable to parent			0	3,35,000		3,35,000
Gain on Bargain purchase			18,85,000			18,85,000
Balance at the end of reporting period			18,85,000	7,07,000	24,00,000	49,92,000

It is assumed that there exists no clear evidence for classifying the acquisition of the subsidiary as a bargain purchase and, hence, the bargain purchase gain has been recognized directly in capital reserve. If, however, there exists such a clear evidence, the bargain purchase gain would be recognized in other comprehensive income and

then accumulated in capital reserve. In both the cases, closing balance of capital reserve will be ₹ 18,85,000.

Working Notes:

1. Adjustments of Fair Value

The Plant & Machinery of XYZ Ltd. would stand in the books at ₹ 14,25,000 on 1st October, 20X1, considering only six months' depreciation on ₹ 15,00,000 total depreciation being ₹ 1,50,000. The value put on the assets being ₹ 20,00,000 there is an appreciation to the extent of ₹ 5,75,000.

2. Acquisition date profits of XYZ Ltd. ₹

Reserves on 1.4. 20X1	10,00,000
Profit & Loss Account Balance on 1.4. 20X1	3,00,000
Profit for 20X2:	
Total ₹ 8,20,000 less ₹ 1,00,000 (3,00,000 – 2,00,000) i.e. ₹ 7,20,000; for 6 months i.e. up to 1.10.20X1	3,60,000
Total Appreciation including machinery appreciation (10,00,000 1,50,000 + 5,75,000 – 1,00,000)	16,25,000
Share of DEF Ltd.	32,85,000

3. Post-acquisition profits of XYZ Ltd. ₹

Profit after 1.10. 20X1 [8,20,000-1,00,000]x 6/12	3,60,000
Less: 10% depreciation on ₹ 20,00,000 for 6 months less depreciation already charged for 2nd half of 20X1-20X2 on ₹ 15,00,000 (1,00,000-75,000)	(25,000)
Share of DEF Ltd.	3,35,000

4. Consolidated total comprehensive income ₹

DEF Ltd.	
Retained earnings on 31.3.20X2	5,72,000
Less: Retained earnings as on 1.4.20X1	(0)
Profits for the year 20X1-20X2	5,72,000
Less: Elimination of intra-group dividend	(2,00,000)
Adjusted profit for the year	
XYZ Ltd.	3,72,000

Adjusted profit attributable to DEF Ltd. (W.N.3)	3,35,000
Consolidated profit or loss for the year	7,07,000

5. **No Non-controlling Interest as 100% shares of XYZ Ltd. are held by DEF Ltd.**

6. **Gain on Bargain Purchase** ₹

Amount paid for 20,000 shares		34,00,000
Par value of shares	20,00,000	
DEF Ltd.'s share in acquisition date profits of XYZ Ltd.	32,85,000	(52,85,000)
Gain on Bargain Purchase		18,85,000

7. **Value of Plant & Machinery** ₹

DEF Ltd.		24,00,000
XYZ Ltd.	13,50,000	
Add: Appreciation on 1.10. 20X1	5,75,000	
	19,25,000	
Add: Depreciation for 2nd half charged on pre-revalued value	75,000	
Less: Depreciation on ₹ 20,00,000 for 6 months	(1,00,000)	19,00,000
		43,00,000

8. **Consolidated retained earnings** ₹

	DEF Ltd.	XYZ Ltd.	Total
As given	5,72,000	8,20,000	13,92,000
Consolidation Adjustments:			
(i) Elimination of pre-acquisition element [3,00,000 + 3,60,000]	0	(6,60,000)	(6,60,000)
(ii) Elimination of intra-group dividend	(2,00,000)	2,00,000	0
(iii) Impact of fair value adjustments	0	(25,000)	(25,000)
Adjusted retained earnings consolidated	3,72,000	3,35,000	7,07,000

Assumptions:

1. Investment in XYZ Ltd is carried at cost in the separate financial statements of DEF Ltd.
2. Appreciation of ₹10 lakhs in land & buildings is entirely attributable to land element only.
3. Depreciation on plant and machinery is on WDV method.
4. Acquisition-date fair value adjustment to inventories of XYZ Ltd. existing at the balance sheet date does not result in need for any write-down.

Q38 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 · Test Your Knowledge Q5 · Theory

5. Ram Ltd. acquired 60% ordinary shares of ₹ 100 each of Krishan Ltd. on 1st October 20X1. On March 31, 20X2 the summarised Balance Sheets of the two companies were as given below:

	Ram Ltd.	Krishan Ltd.
Assets		
Property, Plant and Equipment		
Land & Buildings	3,00,000	3,60,000
Plant & Machinery	4,80,000	2,70,000
Investment in Krishan Ltd.	8,00,000	-
Inventory	2,40,000	72,800
Financial Assets		
Trade Receivables	1,19,600	80,000
Cash	29,000	16,000
Total	**19,68,600**	**7,98,800**
Equity & Liabilities		
Equity Capital (Shares of ₹ 100 each fully paid)	10,00,000	4,00,000
Other Equity		
Other Reserves	6,00,000	2,00,000
Retained earnings	1,14,400	1,64,000
Financial Liabilities		
Bank Overdraft	1,60,000	-
Trade Payable	94,200	34,800
Total	**19,68,600**	**7,98,800**

The Retained earnings of Krishan Ltd. showed a credit balance of ₹ 60,000 on 1st April 20X1 out of which a dividend of 10% was paid on 1st November; Ram Ltd. has credited the dividend received to its Retained earnings; Fair Value of P&M as on 1st October 20X1 was ₹ 4,00,000; The rate of depreciation on plant & machinery is 10%.

Following are the increases on comparison of Fair value as per respective Ind AS with book value as on 1st October 20X1 which are to be considered while consolidating the Balance Sheets.

Liabilities	Amount	Assets	Amount
Trade Payables	20,000	Land & Buildings	2,00,000
		Inventories	30,000

Notes:

I. It may be assumed that the inventory is still unsold on balance sheet date and the Trade Payables are also not yet settled.

II. Also assume that the Other Reserves as on 31st March 20X2 are the same as was on 1st April 20X1.

Prepare consolidated Balance Sheet as at March 31, 20X2.

Solution — ICAI

5. Consolidated Balance Sheet of Ram Ltd. and its subsidiary, Krishan Ltd. as at 31st March, 20X2

Particulars	Note No.	₹
I. Assets		
(1) Non-current assets		
(i) Property, Plant & Equipment	1	17,20,000
(ii) Goodwill	2	1,65,800
(2) Current Assets		
(i) Inventories	3	3,42,800
(ii) Financial Assets		
(a) Trade Receivables	4	1,99,600
(b) Cash & Cash equivalents	5	45,000
Total Assets		**24,73,200**
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	6	10,00,000
(ii) Other Equity	7	7,30,600
(2) Non-controlling Interest (WN 4)		4,33,600
(3) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	8	1,49,000
(b) Short term borrowings	9	1,60,000
Total Equity & Liabilities		**24,73,200**

Notes to accounts

			₹
1.	**Property Plant & Equipment**		
	Land & Building	8,60,000	

	Plant & Machinery	8,60,000	17,20,000
2.	Goodwill		1,65,800
3.	**Inventories**		
	Ram Ltd.	2,40,000	
	Krishan Ltd.	1,02,800	3,42,800
4.	**Trade Receivables**		
	Ram Ltd.	1,19,600	
	Krishan Ltd.	80,000	1,99,600
5.	**Cash & Cash equivalents**		
	Ram Ltd.	29,000	
	Krishan Ltd.	16,000	45,000
8.	**Trade Payables**		
	Ram Ltd.	94,200	
	Krishan Ltd.	54,800	1,49,000
9.	**Short-term borrowings**		
	Bank overdraft		1,60,000

Statement of Changes in Equity:

6. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
10,00,000	0	10,00,000

7. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Other Reserves	
Balance at the beginning of the reporting period				0	6,00,000	6,00,000
Total comprehensive income for the year			0	1,14,400		1,14,400

Dividends			0	(24,000)		(24,000)
Total comprehensive income attributable to parent			0	40,200		40,200
Gain on Bargain purchase				0		0
Balance at the end of reporting period				1,30,600	6,00,000	7,30,600

Working Notes:

1. Adjustments of Fair Value

The Plant & Machinery of Krishan Ltd. would stand in the books at ₹ 2,85,000 on 1st October, 20X1, considering only six months' depreciation on ₹ 3,00,000 total depreciation being ₹ 30,000. The value put on the assets being ₹ 4,00,000 there is an appreciation to the extent of ₹ 1,15,000.

2. Acquisition date profits of Krishan Ltd.

Reserves on 1.4. 20X1		2,00,000
Profit & Loss Account Balance on 1.4. 20X1		60,000
Profit for 20X1-20X2: Total (₹ 1,64,000 less ₹ 20,000) x 6/12 i.e. ₹ 72,000; upto 1.10. 20X1		72,000
Total Appreciation		3,25,000
		6,57,000
Holding Co. Share (60%)		3,94,200

3. Post-acquisition profits of Krishan Ltd.

Profit after 1.10. 20X1 [1,64,000-20,000]x 6/12	72,000
Less: 10% depreciation on ₹ 4,00,000 for 6 months less depreciation already charged for 2nd half of 20X1-20X2 on ₹ 3,00,000 (20,000-15,000)	(5,000)
Total	67,000
Share of holding Co. (60%)	40,200

4. Non-controlling Interest

Par value of 1600 shares	160,000
Add: 2/5 Acquisition date profits (6,57,000 – 40,000)	2,46,800
Add: 2/5 Post-acquisition profits [WN 3]	26,800
	4,33,600

5. Goodwill:

Amount paid for 2,400 shares		8,00,000
Par value of shares	2,40,000	
Acquisition date profits share of Ram Ltd.	3,94,200	(6,34,200)
Goodwill		1,65,800

6. Value of Plant & Machinery:

Ram Ltd.		4,80,000
Krishan Ltd.	2,70,000	
Add: appreciation on 1.10. 20X1	1,15,000	
	3,85,000	
Add: Depreciation for 2nd half charged on pre-revalued value	15,000	
Less: Depreciation on ₹ 4,00,000 for 6 months	(20,000)	3,80,000
		8,60,000

7. Profit & Loss account consolidated

Ram Ltd. (as given)	1,14,400	
Less: Dividend	(24,000)	90,400
Share of Ram Ltd. in post-acquisition profits		40,200
		1,30,600

Q39 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 · Test Your Knowledge Q6 · Numerical

6. On 31 March 20X2, Blue Heavens Ltd. acquired 100% ordinary shares carrying voting rights of Orange County Ltd. for ₹ 6,000 lakh in cash and it controlled Orange County Ltd. from that date. The acquisition-date statements of financial position of Blue Heavens Ltd. and Orange County Ltd. and the fair values of the assets and liabilities recognised on Orange County Ltd. balance sheet were:

	Blue Heavens Ltd.	Orange County Ltd.	
	Carrying Amount (₹ in lakh)	Carrying Amount (₹ in lakh)	Fair Value (₹ in lakh)
Assets			
Non-current assets			
Building and other PPE	7,000	3,000	3,300
Investment in Orange County Ltd.	6,000		
Current assets			
Inventories	700	500	600
Trade receivables	300	250	250
Cash	1,500	700	700
Total assets	**15,500**	**4,450**	

Equity and liabilities			
Equity			
Share capital	5,000	2,000	
Retained earnings	10,200	2,300	
Current liabilities			
Trade payables	300	150	150
Total liabilities and equity	**15,500**	**4,450**	

Prepare the Consolidated Balance Sheet as at March 31, 20X2 of group of entities Blue Heavens Ltd. and Orange County Ltd.

Solution — ICAI

6. Blue Heavens Ltd. consolidated balance sheet at 31 March 20X2 will be calculated as follows: **(in lakhs)**

	Blue Heavens Ltd.	Orange County Ltd.	Consolidation adjustments	Consolidated Blue Heavens Ltd.
	Carrying amount	Carrying amount		
Assets				
Non-current assets				
Goodwill			1,300 (WN 1)	1,300

Buildings and other PPE	7,000	3,000	300	10,300
Financial Assets				
Investment in Orange County Ltd.	6,000		(6,000)	
Current assets				
Inventories	700	500	100	1,300
Financial Assets				
Trade receivables	300	250		550
Cash	1,500	700		2,200
Total assets	**15,500**	**4,450**		**15,650**
Equity and liabilities				
Equity				
Share capital	5,000	2,000	(2,000)	5,000
Other Equity	10,200	2,300	(2,300)	10,200
Trade payable	300	150		450
Total liabilities and equity	**15,500**	**4,450**		**15,650**

Consolidation involves:

- Adding the balance sheet of the parent and its subsidiary together line by line.
- Eliminating the carrying amount of the parent's investment in the subsidiary (because it is replaced by the goodwill and the fair value of the assets, liabilities and contingent liabilities acquired) and the pre-acquisition equity of the subsidiary (because that equity was not earned or contributed by the group but is part of what was purchased) and recognising the fair value adjustments together with the goodwill asset that arose on acquisition of the subsidiary.

1. Working for goodwill: (₹ in lakhs)

Consideration paid	6,000
Less: Acquisition date fair value of Orange County Ltd. net assets	(4,700)
Goodwill	1,300

2. Working for the acquisition date fair value of Orange County Ltd. net assets: Acquisition date fair value of acquiree (Orange County Ltd.) assets

Buildings and other PPE	3,300
Inventories	600
Trade receivables	250
Cash	700
Less: fair value of trade payables	(150)
Fair value of net assets acquired	4,700

Q40 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 · Test Your Knowledge Q7 · Numerical

7. The facts are the same as in Question 6 above. However, Blue Heavens Ltd. acquires only 75% of the ordinary shares, to which voting rights are attached of Orange County Ltd. Blue Heavens Ltd. pays ₹ 4,500 lakhs for the shares. Prepare the Consolidated Balance Sheet as at March 31, 20X2 of group of entities Blue Heavens Ltd. and Orange County Ltd.

Solution — ICAI

7. Non-controlling interest

= 25 % × Orange County Ltd. identifiable net assets at fair value of ₹ 4,700 = ₹ 1,175.

Blue Heavens Ltd.'s consolidated balance sheet at 31 March 20X2 will be calculated as follows: **(in lakhs)**

	Blue Heavens Ltd.	Orange County Ltd.	Consolidation adjustments	Consolidated Blue Heavens Ltd.
	Carrying amount	Carrying amount		
Assets				
Non-current assets				
Goodwill			975 (WN 1)	975
Buildings and other PPE	7,000	3,000	300	10,300
Financial Assets				
Investment in Orange County Ltd.	4,500		(4,500)	
Current assets				
Inventories	700	500	100	1,300
Financial Assets				
Trade receivables	300	250		550
Cash	3,000	700		3,700
Total assets	**15,500**	**4,450**		**16,825**
Equity and liabilities				
Equity				
Share capital	5,000	2,000	(2,000)	5,000
Other Equity	10,200	2,300	(2,300)	10,200

Non-controlling interest			1,175	1,175
Current liabilities				
Financial Liabilities				
Trade payables	300	150		450
Total liabilities and equity	**15,500**	**4,450**		**16,825**

Note: In this question, Blue Heavens Ltd.'s (and consequently the group's) cash balance is ₹ 1,500 lakh higher than in Question above because, here Blue Heavens Ltd. paid ₹ 1,500 less to acquire Orange County Ltd. (i.e. ₹ 6,000 less ₹ 4,500).

1. **Working for goodwill:**

	(₹ in lakhs)
Consideration paid	4,500
Non- controlling interest	1,175
Less: Acquisition date fair value of Orange County Ltd. net assets (cal. as above)	4,700
Goodwill	975

(Goodwill recognized in the consolidated balance sheet relates solely to the acquirer's proportion of the subsidiary; it does not include the non-controlling interest's share).

Q41 · Goodwill / capital reserve and NCI at the date control is obtained

SM Ch 13 · Test Your Knowledge Q8 · Theory

8. Facts are same as in Question 6 &7, Blue Heavens Ltd. acquires 75% of Orange County Ltd. Blue Heavens Ltd. pays ₹ 4,500 lakhs for the shares. At 31 March 20X3, i.e one year after Blue Heavens Ltd. acquired Orange County Ltd., the individual statements of financial position and statements of comprehensive income of Blue Heavens Ltd. and Orange County Ltd. are:

	Blue Heavens Ltd. Carrying Amount (₹ in lakh)	Orange County Ltd. Carrying Amount (₹ in lakh)
Assets		
Non-current assets		
PPE (Building and others)	6,500	2,750
Investment in Orange County Ltd.	4,500	
	11,000	2,750
Current assets		
Inventories	800	550
Financial Asset - Trade receivables	380	300
Cash	4,170	1,420
	5,350	2,270
Total assets	**16,350**	**5,020**

Equity and liabilities		
Equity		
Share capital	5,000	2,000
Retained earnings	11,000	2,850
	16,000	4,850
Current liabilities		
Financial Liabilities-Trade payables	350	170
	350	170
Total liabilities and equity	**16,350**	**5,020**

Statements of Profit and Loss for the year ended 31 March 20X3:

	Blue Heavens Ltd. Carrying Amount (₹ in lakh)	Orange County Ltd. Carrying Amount (₹ in lakh)
Revenue	3,000	1,900
Cost of sales	(1,800)	(1,000)
Administrative expenses	(400)	(350)
Profit for the year	**800**	**550**

Note: Blue Heavens Ltd. estimates that goodwill has impaired by 98. The fair value adjustment to buildings and other PPE is in respect of a building; all buildings have an estimated remaining useful life of 20 years from 31 March 20X2 and estimated residual values of zero. Blue Heavens Ltd. uses the straight-line method for depreciation of PPE. All the inventory held by Orange County Ltd. at 31 March 20X2 was sold during 20X3.

Prepare the Consolidated Balance Sheet as at March 31, 20X3 of group of entities Blue Heavens Ltd. and Orange County Ltd.

Solution — ICAI

8. Alternative I for calculation of Non-controlling Interest:

The Non-controlling Interest proportion of Orange County Ltd. is 25%.

At 31 March 20X3, the NCI in the consolidated balance sheet would be calculated as:

	₹ (lakh)
NCI at date of acquisition (31 March 20X2) (see solution to Question 7)	1,175
NCI's share of profit for the year ended 31 March 20X3, being 25% Of ₹ 435 lakh (being ₹ 550 profit of Orange County Ltd. as per Orange County Ltd. financial statements less ₹ 100 group inventory Fair value adjustment less ₹ 15 group depreciation on building fair value adjustment)*	109
NCI as at 31 March 20X3	1,284

*In calculating the NCI's share of profit for the year ended 31 March 20X3, no deduction is made for goodwill amortization because, as explained above, the goodwill arising on

consolidation relates solely to the acquirer's proportion of the subsidiary and does not include the non-controlling interest's share.

Alternative II for calculation of Non-controlling Interest:

As an alternative to the above three-step approach, at 31 March 20X3 the NCI in the consolidated balance sheet is calculated as 25% (the NCI's proportion) of ₹ 5,135, which is ₹ 1,284. ₹ 5,135 is Orange County Ltd. net assets at 31 March 20X3 as shown in Orange County Ltd. balance sheet (₹ 4,850, being ₹ 5,020 assets less ₹ 170 liabilities) plus the fair value adjustment to those assets as made in preparing the group balance sheet (₹ 285, being the fair value adjustment in respect of Orange County Ltd. building, ₹ 300, less one year's depreciation of that adjustment, ₹ 15).

Blue Heavens Ltd. consolidated statement of comprehensive income for the year ended 31 March 20X3 will be computed as follows:

	Blue Heavens Ltd.	Orange County Ltd.	Consolidate adjustments	Consolidated
Revenue	3,000	1,900		4,900
Cost of sales	(1,800)	(1,000)	(100) (WN 1)	(2,900)
Profit for the year	1,200	900		2,000
Administrative expenses	(400)	(350)	(113) (WN 2)	(863)
Total comprehensive income for the year	800	550		1,137

Total comprehensive income attributable to:

Owners of the parent (75%)	1,028
Non-controlling interest (25%)	109
	1,137

Consolidation involves:

- Adding the statement of comprehensive income of the parent and its subsidiary together line by line
- Recognising the fair value adjustments and/ or amortisation thereof together with amortisation of the goodwill asset that arose on acquisition of the subsidiary.

Blue Heavens Ltd. consolidated balance sheet at 31 March 20X3 will be computed as follows: **(₹ in lakh)**

	Blue Heavens Ltd.	Orange County Ltd.	Consolidation adjustments	Consolidated Blue Heavens Ltd.
	Carrying amount	Carrying amount		
Assets				
Non-current assets				
Goodwill			975-98 (WN 3)	877
Buildings and other PPE	6,500	2,750	285 (WN 4)	9,535
Financial Assets				
Investment in Entity B	4,500		(4,500)	
Current assets				
Inventories	800	550		1,350
Financial Assets				
Trade receivables	380	300		680
Cash	4,170	1420		5,590
Total assets	**16,350**	**5,020**		**18,032**
Equity and liabilities Equity				
Share capital	5,000	2,000	(2,000)	5,000
Other Equity	11,000	2,850	(2,622) (WN 5)	11,228
Non-controlling interest			1,284	1,284
Current liabilities Financial Liabilities				
Trade payables	350	170		520
Total liabilities and equity	**16,350**	**5,020**		**18,032**

Consolidation involves:

- Adding the balance sheet of the parent and its subsidiary together line by line.
- Eliminating the carrying amount of the parent's investment in the subsidiary (because it is replaced by the goodwill and the fair value of the assets, liabilities and contingent liabilities acquired) and the pre-acquisition equity of the subsidiary (because that equity was not earned or contributed by the group but is part of what was purchased), and recognising the fair value adjustments together with the goodwill asset that arose on acquisition of the subsidiary as adjusted to reflect the first year post-acquisition
- Recognising the non-controlling interest in the net assets of Entity B.

Working Notes:

(1) Cost of sales adjustment:

₹ 100 = fair value adjustment in respect of inventories at 31 March 20X2.

(2) Administrative expenses adjustment:

₹ 113 = Impairment of goodwill ₹ 98 (WN 3) + additional depreciation on building ₹ 15 (WN 4).

For simplicity it is assumed that all the goodwill impairment and the additional depreciation on buildings (on account of fair value adjustment) is adjusted against administrative expenses.

(3) Working for goodwill:

Goodwill at the acquisition date, ₹ 975, less accumulated impairment, ₹ 98 = ₹ 877.

(4) Working for building consolidation adjustment:

The fair value adjustment at 31 March 20X2 in respect of Orange County Ltd. building was ₹ 300, that is, the carrying amount at 31 March 20X2 was ₹ 300 lower than was recognized in the group's consolidated balance sheet. The building is being depreciated over 20 years from 31 March 20X2. Thus, at 31 March 20X3 the adjustment required on consolidation to the balance sheet will be ₹ 285, being ₹ 300 × 19/20 years' estimated useful life remaining. The additional depreciation recognized in the consolidated statement of comprehensive income is ₹ 15 (being ₹ 300 x 1/20).

(5) Reserves adjustment:

₹ 2,300 adjustment at the acquisition date (Question 7)

plus ₹ 98 (WN 3) impairment of goodwill

plus ₹ 15 (WN 4) additional depreciation on building

plus ₹ 100 (WN 1) fair value adjustment in respect of inventories

plus ₹ 109 NCI's share of Orange County Ltd. profit for the year (as included in the consolidated statement of comprehensive income)

= ₹ 2,622.

Q42 · Goodwill / capital reserve and NCI at the date control is obtained

ICAI Practice Questions · Ch 13 Q10

10. 'High Speed Limited' manufactures and sells cars. The Company wants to foray into the two-wheeler business and therefore it acquires 30% interest in Quick Bikes Limited for ₹ 5,00,000 as at 1st November, 20X1 and an additional 25% stake as at 1st January, 20X2 for ₹ 5,00,000 at its fair value.

Following is the Balance Sheet of Quick Bikes Limited as at 1st January, 20X2:

Liabilities	Carrying value	Fair value	Assets	Carrying value	Fair value
Share capital	1,00,000		Plant and equipment	3,50,000	7,50,000
Reserves	5,50,000		Investment in bonds	4,00,000	5,00,000
Trade payables	1,50,000	1,50,000	Trade Receivables	50,000	50,000
Total	8,00,000		Total	8,00,000	

Quick Bikes Limited sells the motorcycles under the brand name 'Super Start' which has a fair value of ₹ 3,50,000 as at 1st January, 20X2. This is a self- generated brand therefore

Quick Bikes Limited has not recognized the brand in its books of accounts. Following is the separate balance sheet of High Speed Limited as at 1st January, 20X2:

Liabilities	Amount	Assets	Amount
Share capital	5,00,000	Plant and equipment	13,50,000
Reserves	15,00,000	Investment in Quick Bike	10,00,000
Short term loans	4,00,000	Trade Receivables	80,000
Trade payables	3,00,000	Cash and bank balances	5,20,000
Other liabilities	2,50,000		
Total	29,50,000	Total	29,50,000

In relation to the acquisition of Quick Bikes Limited, you are required to:

(i) Pass the necessary journal entries to give effect of business combination in accordance with Ind AS 103 as at acquisition date 1st January, 20X2. NCI is measured by the entity at fair value. Provide working notes, Ignore deferred tax implication; and

(ii) Prepare a consolidated balance sheet of High Speed Limited as at 1st January, 20X2.

Solution — ICAI

10. (i) Journal Entry

		₹	₹
Plant and Equipment	Dr.	7,50,000	
Investment in bonds	Dr.	5,00,000	
Trade Receivables	Dr.	50,000	
Brand	Dr.	3,50,000	
Goodwill (balancing figure)	Dr.	5,00,000	
To Investment in Quick Bikes			10,00,000
To Profit or loss A/c (W.N.1)			1,00,000
To Trade Payables			1,50,000
To NCI (W.N.3)			9,00,000
(Being assets and liabilities acquired at fair value and previous investment considered at fair value on the acquisition date)			

Working Notes:

1. Calculation of fair value of shares on the acquisition date 1st January, 20X2

25% Shares purchase on 1st January, 20X2 (fair value)	₹ 5,00,000
30% Shares purchase on 1st November, 20X1 at ₹ 5,00,000	
Fair value = [(5,00,000 / 25%) x 30%]	₹ 6,00,000
Total consideration at fair value on acquisition date	₹ 11,00,000
Less: Cost of investment (5,00,000 + 5,00,000)	(₹ 10,00,000)
Gain recognised to Profit or Loss/OCI (as appropriate)	₹ 1,00,000

2. Computation of Net Identifiable Assets at fair value

	₹
Plant and Equipment	7,50,000
Investment in bonds	5,00,000
Trade Receivables	50,000
Self-generated Brand	3,50,000
	16,50,000
Less: Trade Payables	(1,50,000)
Net Identifiable Assets at fair value	15,00,000

3. Measurement of Non-controlling Interest (on fair value basis)

Share of NCI (100- 30-25)	45%
Taking fair value of shares on 1st January, 20X2 as a base [(11,00,000/ 55%) x 45%]	₹ 9,00,000

(ii) Consolidated Balance Sheet of High Speed Limited as at 1st January, 20X2

	Note No.	₹
Assets		
Non-current assets		
(a) Property, plant and equipment	1	21,00,000
(b) Intangible asset	2	8,50,000
(c) Investment in bonds		5,00,000
Current Assets		
(a) Financial assets		
(i) Trade receivables	3	1,30,000
(ii) Cash and cash equivalents	4	5,20,000
		41,00,000
Equity and Liabilities		
Equity		
(a) Equity share capital		5,00,000
(b) Other Equity	5	16,00,000
Non-controlling Interest (W.N.3)		9,00,000

Current Liabilities		
(a) Financial liabilities		
(i) Borrowings	6	4,00,000
(ii) Trade Payables	7	4,50,000
(b) Other Current Liabilities	8	2,50,000
		41,00,000

Notes to Accounts

S. No.		₹	₹
1.	Property, plant and equipment		
	High Speed Ltd.	13,50,000	
	Quick Bikes Ltd.	7,50,000	21,00,000
2.	Intangible asset		
	Goodwill	5,00,000	
	Brand value of Quick Bikes Ltd.	3,50,000	8,50,000
3.	Trade Receivables		
	High Speed Ltd.	80,000	
	Quick Bikes Ltd.	50,000	1,30,000
4.	Cash and cash equivalents		
	Quick Bikes Ltd.		5,20,000
5.	Other Equity - Reserves		
	High Speed Ltd.	15,00,000	
	Add: Gain on investment in Quick Bikes Ltd.	1,00,000	16,00,000
6.	Borrowings		
	Short term loans of High Speed Ltd.		4,00,000
7.	Trade Payables		
	High Speed Ltd.	3,00,000	
	Quick Bikes Ltd.	1,50,000	4,50,000
8.	Other Current Liabilities		
	High Speed Ltd.		2,50,000

Q43 · Goodwill / capital reserve and NCI at the date control is obtained

ICAI Practice Questions · Ch 13 Q12

12. Ishwar Ltd. holds investments in Vinayak Ltd. The draft balance sheets of two entities at 31st March, 20X4 were as follows:

Particulars	Ishwar Ltd. ₹ in '000s	Vinayak Ltd. ₹ in '000s
Assets		
Non-current Assets		
Property, Plant and Equipment	26,20,000	18,50,000
Investment	21,15,000	NIL

Total non-current assets	47,35,000	18,50,000
Current Assets		
Inventories	6,00,000	3,75,000
Trade Receivables	4,50,000	3,30,000
Cash and Cash Equivalents	75,000	60,000
Total current assets	11,25,000	7,65,000
TOTAL ASSETS	**58,60,000**	**26,15,000**
Equity and Liabilities		
Equity		
Share Capital (₹ 1 shares)	7,00,000	5,00,000
Retained Earnings	28,65,000	10,50,000
Other Components of Equity	12,50,000	50,000
Total Equity	48,15,000	16,00,000
Non-current Liabilities		
Provisions	6,250	NIL
Long-term Borrowings	4,13,750	4,50,000
Deferred Tax	2,25,000	1,40,000
Total Non-current Liabilities	6,45,000	5,90,000
Current Liabilities		
Trade and Other Payables	3,00,000	2,50,000
Short-term Borrowings	1,00,000	1,75,000
Total Current Liabilities	4,00,000	4,25,000
TOTAL EQUITY AND LIABILITIES	**58,60,000**	**26,15,000**

Additional Information:

Ishwar Ltd.'s investment in Vinayak Ltd.

On 1st April, 20X1, Ishwar Ltd. acquired 400 million shares in Vinayak Ltd. by means of a share exchange of one share in Ishwar Ltd. for every two shares acquired in Vinayak Ltd. On 1st April, 20X1, the market value of one share of Ishwar Ltd. was ₹ 7.

Ishwar Ltd. appointed a professional firm for conducting due diligence for acquisition of Vinayak Ltd., the cost of which amounted to ₹ 15 million. Ishwar Ltd. included these acquisition costs in the carrying amount of the investment in Vinayak Ltd. in the draft balance sheet of Ishwar Ltd. There has been no change to the carrying amount of this investment in Ishwar Ltd.'s own balance sheet since 1st April, 20X1.

On 1st April, 20X1, the individual financial statements of Vinayak Ltd. showed the following balances:

- Retained earnings ₹ 750 million
- Other components of equity ₹ 25 million

The directors of Ishwar Ltd. carried out a fair value exercise to measure the identifiable assets and liabilities of Vinayak Ltd. at 1st April, 20X1. The following matters emerged:

- Property having a carrying amount of ₹ 800 million (land component ₹ 350 million, buildings component ₹ 450 million) had an estimated fair value of ₹ 1,000 million (land component ₹ 400 million, buildings component ₹ 600 million). The buildings component of the property had an estimated useful life of 30 years at 1st April, 20X1.
- Plant and equipment having a carrying amount of ₹ 600 million had an estimated fair value of ₹ 700 million. The estimated remaining useful life of this plant at 1st April, 20X1 was four years. None of this plant and equipment had been disposed of between 1st April, 20X1 and 31st March, 20X4.
- On 1st April, 20X1, the notes to the financial statements of Vinayak Ltd. disclosed contingent liability. On 1st April, 20X1, the fair value of this contingent liability was reliably measured at ₹ 30 million. The contingency was resolved in the year ended 31st March, 20X2 and no payments were required to be made by Vinayak Ltd. in respect of this contingent liability.
- The fair value adjustments have not been reflected in the individual financial statements of Vinayak Ltd. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

The directors of Ishwar Ltd. used the proportion of net assets method when measuring the non-controlling interest in Vinayak Ltd. in the consolidated balance sheet.

Impairment review of goodwill on acquisition of Vinayak Ltd.

No impairment of the goodwill on acquisition of Vinayak Ltd. was evident when the reviews were carried out on 31st March, 20X2 and 20X3. On 31st March, 20X4, the directors of Ishwar Ltd. carried out a further review and concluded that the recoverable amount of the net assets of Vinayak Ltd. at that date was ₹ 2,000 million. Vinayak Ltd. is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

Provision

On 1st April, 20X3, Ishwar Ltd. completed the construction of a non-current asset with an estimated useful life of 20 years. The costs of construction were recognised in property, plant and equipment and depreciated appropriately. Ishwar Ltd. has a legal obligation to restore the site on which the non-current asset is located on 31st March, 2X43. The estimated cost of this restoration work, at 31st March, 2X43 prices, is ₹ 125 million. The directors of Ishwar Ltd. have made a provision of ₹ 6.25 million (1/20 x ₹ 125 million) in the draft balance sheet at 31st March, 20X4.

An appropriate annual discount rate to use in any relevant calculations is 6% and at this rate the present value of ₹ 1 payable in 20 years is 31.2 paise.

Prepare the consolidated balance sheet of Ishwar Ltd. at 31st March, 20X4. Consider deferred tax implications.

Solution — ICAI

12. Consolidated Balance Sheet of Ishwar Ltd. at 31st March, 20X4

Particulars	₹ in '000s
Assets	
Non-current Assets:	
Property, Plant and Equipment	
[(26,20,000 + 18,50,000) + {(2,00,000 (W.N.1) – 15,000 (W.N.1)) + (1,00,000 (W.N.1) – 75,000 (W.N.1)) + (39,000 – 1,950) (WN 7)}]	47,17,050
Investment (21,15,000 – 14,00,000 – 15,000)	7,00,000
Goodwill (W.N.2)	1,85,600
Total non-current assets	**56,02,650**
Current Assets:	
Inventories (6,00,000 + 3,75,000)	9,75,000
Trade Receivables (4,50,000 + 3,30,000)	7,80,000
Cash and Cash Equivalents (75,000 + 60,000)	1,35,000
Total current assets	**18,90,000**
TOTAL ASSETS	**74,92,650**
Equity and Liabilities	
Equity attributable to equity holders of the parent	
Share Capital	7,00,000
Retained Earnings (W.N.5)	30,31,960
Other Components of Equity (W.N.6)	12,70,000
	50,01,960
Non-controlling Interest (W.N.4)	3,53,600
Total equity	**53,55,560**
Non-current Liabilities	
Provisions (39,000 + 2,340 (W.N.7))	41,340
Long-term Borrowings (4,13,750 + 4,50,000)	8,63,750
Deferred Tax (W.N.8)	4,07,000
Total non-current liabilities	**13,12,090**
Current Liabilities	
Trade and Other Payables (3,00,000 + 2,50,000)	5,50,000
Short-term Borrowings (1,00,000 + 1,75,000)	2,75,000
Total Current Liabilities	**8,25,000**
TOTAL EQUITY AND LIABILITIES	**74,92,650**

Working Notes:

1. Computation of Net Assets of Vinayak Ltd.

	1st April, 20X1 (Date of acquisition) ₹ in '000s	31st March, 20X4 (Date of consolidation) ₹ in '000s
Share Capital	5,00,000	5,00,000
Retained Earnings:		
Per accounts of Vinayak Ltd.	7,50,000	10,50,000
Fair Value Adjustments:		

Property (10,00,000 – 8,00,000)*	#2,00,000	$2,00,000
Extra depreciation due to Buildings appreciation* ((6,00,000 – 4,50,000) x 3/30)		$(15,000)
Plant and Equipment (7,00,000 – 6,00,000)*	#1,00,000	$1,00,000
Extra depreciation due to Plant and Equipment appreciation* (1,00,000 x ¾)		$(75,000)
Contingent Liability*	#(30,000)	$NIL
Other Components of Equity	25,000	50,000
Deferred Tax on Fair Value Adjustments*:		
Date of acquisition (20% x #2,70,000 (from above))	(54,000)	
Date of Consolidation (20% x $2,10,000 (from above))		(42,000)
Net Assets for Consolidation	14,91,000	17,68,000
The post-acquisition increase in Net Assets is ₹ 2,77,000 (₹ 17,68,000 – ₹ 14,91,000). ₹ 25,000 of this increase is due to changes in Other Components of Equity and the remaining ₹ 2,52,000 due to changes in retained earnings.		

2. Computation of Goodwill on Consolidation

	Vinayak Ltd. ₹ in '000s
Cost of Investment:	
Shares issued to acquire Vinayak Ltd. (4,00,000 x ½ x ₹ 7)	14,00,000
Non-controlling Interests at the date of acquisition:	
Vinayak Ltd. – 20% x ₹ 1,491,000 (from W.N.1)	2,98,200
	16,98,200
Net Assets at the date of acquisition:	
Vinayak Ltd. (W.N.1)	(14,91,000)
Goodwill before Impairment	2,07,200
Less: Impairment of Goodwill (refer W.N.3)	(21,600)
Goodwill reported in Consolidated Balance Sheet	1,85,600

3. Impairment of Goodwill on acquisition of Vinayak Ltd.

	Vinayak Ltd. ₹ in '000s
Net Assets of Vinayak Ltd. at 31st March, 20X4 (W.N.1)	17,68,000
Grossed up Goodwill on acquisition (100/80 x ₹ 2,07,200) (Refer Note 1 below)	2,59,000
	20,27,000
Recoverable amount of Vinayak Ltd. as a CGU	(20,00,000)
Therefore, gross impairment will be	27,000
Impairment attributed to Parent (refer Note 2 below)	21,600

Note 1: Grossing up of Goodwill

As per **Para C4 of Appendix C to Ind AS 36 *Impairment of Assets*** – If an entity measures non-controlling interests at its proportionate interest in the net identifiable assets of a subsidiary at the acquisition date, rather than at fair value, goodwill attributable to non-controlling interests is included in the recoverable amount of the related Cash Generating Unit but is not recognised in the parent's consolidated financial statements. As a consequence, an **entity shall gross up the carrying amount of goodwill allocated to the unit** to include the goodwill attributable to the non-controlling interest. This **adjusted carrying amount is then compared with the recoverable amount of the unit** to determine whether the cash-generating unit is impaired.

Note 2: Allocation of Impairment of Goodwill

Since the non-controlling interests of Vinayak Ltd. are measured at proportionate share of identifiable net assets of Vinayak Ltd., the goodwill computed is entirely attributable only to the parent of Vinayak Ltd. Accordingly, the impairment also would be attributed entirely to the parent of Vinayak Ltd., and not to the non-controlling interest.

4. Computation of Non-controlling Interest (NCI)

	Vinayak Ltd. ₹ in '000s
NCI at the date of acquisition (W.N.2)	2,98,200
Share of post-acquisition increase in net assets (20% x ₹ 2,77,000 (from W.N.1))	55,400
	3,53,600

5. Computation of consolidated Retained Earnings

	₹ in '000s
Balance as per accounts of Ishwar Ltd.	28,65,000
Adjustments:	
Acquisition costs	(15,000)
Restoration Provision (W.N.7)	1,960
Share of Vinayak Ltd.'s post-acquisition profits (80% x ₹ 2,52,000 (W.N.1))	2,01,600
Impairment of Goodwill (W.N.3)	(21,600)
	30,31,960

6. Other Components of Equity

	₹ in '000s
Balance as per accounts of Ishwar Ltd.	12,50,000
Share of Vinayak Ltd.'s post-acquisition balance (80% x ₹ 25,000 (W.N.1))	20,000
	12,70,000

7. Computation of Restoration Provision

		₹ in '000s
Provision for Restoration originally required (₹ 1,25,000 x 0.312)		39,000
One year's unwinding of discount (₹ 39,000 x 6%)	A	(2,340)
One year's depreciation of capitalized cost (₹ 39,000 x 1/20)	B	(1,950)
Original provision incorrectly made	C	6,250
So retained earnings adjustment equals	[C -A – B]	1,960

8. Computation of Deferred Tax

	₹ in '000s
Ishwar Ltd. + Vinayak Ltd.	3,65,000
Fair value adjustments in Vinayak Ltd. (from W.N.1)	42,000
	4,07,000

Q44 · Goodwill / capital reserve and NCI at the date control is obtained

ICAI Practice Questions · Ch 13 Q14

14. On 1st April 20X1, A Limited acquired 80% of the share capital of S Limited. On the acquisition date the share capital and reserves of S Ltd. stood at ₹ 5,00,000 and ₹ 1,25,000 respectively. A Limited paid initial cash consideration of ₹ 10,00,000. Additionally, A Limited issued 2,00,000 equity shares with a nominal value of ₹ 1 per share at current market value of ₹ 1.80 per share.

It was also agreed that A Limited would pay a further sum of ₹ 5,00,000 after three years. A Limited's cost of capital is 10%. The appropriate discount factor for ₹ 1 @ 10% receivable at the end of

1st year: 0.91

2nd year: 0.83

3rd year: 0.75

The shares and deferred consideration have not yet been recorded by A limited.

Below are the Balance Sheet of A Limited and S Limited as at 31st March, 20X3:

	A Limited (₹ 000)	S Limited (₹ 000)
Non-current assets:		
Property, plant & equipment	5,500	1,500
Investment in S Limited at cost	1,000	
Current assets:		
Inventory	550	100
Receivables	400	200
Cash	200	50
	7,650	1,850
Equity:		
Share capital	2,000	500
Retained earnings	1,400	300
	3,400	800
Non-current liabilities	3,000	400
Current liabilities	1,250	650
	7,650	1,850

Further information:

(i) On the date of acquisition, the fair values of S Limited's plant exceeded its book value by ₹ 2,00,000. The plant had a remaining useful life of five years at this date;

(ii) The consolidated goodwill has been impaired by ₹ 2,58,000; and

(iii) The A Limited Group, values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was ₹ 3,80,000.

You are required to prepare Consolidated Balance Sheet of A Limited as at 31st March, 20X3. (Notes to Account on Consolidated Balance Sheet is not required).

Solution — ICAI

14. Consolidated Balance Sheet of A Ltd. and its subsidiary, S Ltd. as at 31st March, 20X3

Particulars				₹ in 000s
I.	**Assets**			
	(1)	Non-current assets		
		(i)	Property Plant & Equipment (W.N.4)	7,120.00
		(ii)	Intangible asset – Goodwill (W.N.3)	1,032.00
	(2)	Current Assets		
		(i)	Inventories (550 + 100)	650.00
		(ii)	Financial Assets	
			(a) Trade Receivables (400 + 200)	600.00
			(b) Cash & Cash equivalents (200 + 50)	250.00
Total Assets				9,652.00
II.	**Equity and Liabilities**			
	(1)	Equity		
		(i)	Equity Share Capital (2,000 + 200)	2,200.00
		(ii)	Other Equity	
			(a) Retained Earnings (W.N.6)	1190.85
			(b) Securities Premium	160.00
	(2)	Non-Controlling Interest (W.N.5)		347.40
	(3)	Non-Current Liabilities (3,000 + 400)		3,400.00
	(4)	Current Liabilities (W.N.8)		2,353.75
Total Equity & Liabilities				9,652.00

Notes:

1. Since the question required not to prepare Notes to Account, the column of Note to Accounts had not been drawn.
2. It is assumed that shares were issued during the year 20X2-20X3 and entries are yet to be made.

Working Notes:

1. Calculation of purchase consideration at the acquisition date i.e. 1st April, 20X1

	₹ in 000s
Payment made by A Ltd. to S Ltd.	
Cash	1,000.00
Equity shares (2,00,000 shares x ₹ 1.80)	360.00
Present value of deferred consideration (₹ 5,00,000 x 0.75)	375.00
Total consideration	1,735.00

2. Calculation of net assets i.e. net worth at the acquisition date i.e. 1st April, 20X1

	₹ in 000s
Share capital of S Ltd.	500.00
Reserves of S Ltd.	125.00
Fair value increase on Property, Plant and Equipment	200.00
Net worth on acquisition date	825.00

3. Calculation of Goodwill at the acquisition date i.e. 1st April, 20X1 and 31st March, 20X3

	₹ in 000s
Purchase consideration (W.N.1)	1,735.00
Non-controlling interest at fair value (as given in the question)	380.00
	2,115.00
Less: Net worth (W.N.2)	(825.00)
Goodwill as on 1st April 20X1	1,290.00
Less: Impairment (as given in the question)	258.00
Goodwill as on 31st March 20X3	1,032.00

4. Calculation of Property, Plant and Equipment as on 31st March 20X3

		₹ in 000s
A Ltd.		5,500.00
S Ltd.	1,500.00	
Add: Net fair value gain not recorded yet	200.00	
Less: Depreciation [(200/5) x 2]	(80.00)	
	120.00	1,620.00
		7,120.00

5. Calculation of post-acquisition gain (after adjustment of impairment on goodwill) and value of NCI as on 31st March 20X3

		₹ in 000s	₹ in 000s
		NCI (20%)	A Ltd. (80%)
Acquisition date balance		380.00	Nil
Closing balance of Retained Earnings	300.00		
Less: Pre-acquisition balance	(125.00)		
Post-acquisition gain	175.00		
Less: Additional Depreciation on PPE [(200/5) x 2]	(80.00)		
Share in post-acquisition gain	95.00	19.00	76.00
Less: Impairment on goodwill	258.00	(51.60)	(206.40)
		347.40	(130.40)

6. Consolidated Retained Earnings as on 31st March 20X3

	₹ in 000s
A Ltd.	1,400.00
Add: Share of post-acquisition loss of S Ltd. (W.N.5)	(130.40)
Less: Finance cost on deferred consideration (37.5+41.25)(W.N.7)	(78.75)
Retained Earnings as on 31st March 20X3	1,190.85

7. Calculation of value of deferred consideration as on 31st March 20X3

	₹ in 000s
Value of deferred consideration as on 1st April 20X1 (W.N.1)	375.00
Add: Finance cost for the year 20X1-20X2 (375 x 10%)	37.50
	412.50
Add: Finance cost for the year 20X2-20X3 (412.50 x 10%)	41.25
Deferred consideration as on 31st March 20X3	453.75

8. Calculation of current Liability as on 31st March 20X3

	₹ in 000s
A Ltd.	1,250.00
S Ltd.	650.00
Deferred consideration as on 31st March 20X3 (W.N.7)	453.75
Current Liability as on 31st March 20X3	2,353.75

Q45 · Goodwill / capital reserve and NCI at the date control is obtained

RTP Nov 2023 · Q4 · Numerical

4. Ishwar Ltd. holds investments in Vinayak Ltd. The draft balance sheets of two entities

at 31st March, 20X4 were as follows:

Particulars Ishwar Ltd. Vinayak Ltd.

₹ in '000s ₹ in '000s

Assets

Non-current Assets

Property, Plant and Equipment	26,20,000	18,50,000
Investment 21,15,000 NIL		
Total non-current assets	47,35,000	18,50,000
Current Assets		
Inventories	6,00,000	3,75,000
Trade Receivables	4,50,000	3,30,000
Cash and Cash Equivalents	75,000	60,000
Total current assets	11,25,000	7,65,000
TOTAL ASSETS	58,60,000	26,15,000

Equity and Liabilities

Equity

Share Capital (₹ 1 shares)	7,00,000	5,00,000
Retained Earnings	28,65,000	10,50,000
Other Components of Equity	12,50,000	50,000
Total Equity	48,15,000	16,00,000

Non-current Liabilities

Provisions 6,250 NIL

Long-term Borrowings	4,13,750	4,50,000
Deferred Tax	2,25,000	1,40,000
Total Non-current Liabilities	6,45,000	5,90,000
Current Liabilities		
Trade and Other Payables	3,00,000	2,50,000
Short-term Borrowings	1,00,000	1,75,000
Total Current Liabilities	4,00,000	4,25,000
TOTAL EQUITY AND LIABILITIES	58,60,000	26,15,000

Additional Information:

Ishwar Ltd.'s investment in Vinayak Ltd.

On 1st April, 20X1, Ishwar Ltd. acquired 400 million shares in Vinayak Ltd. by means of a share exchange of one share in Ishwar Ltd. for every two shares acquired in Vinayak Ltd. On 1st April, 20X1, the market value of one share of Ishwar Ltd. was ₹ 7. Ishwar Ltd. appointed a professional firm for conducting due diligence for acquisition of Vinayak Ltd., the cost of which amounted to ₹ 15 million. Ishwar Ltd. included these acquisition costs in the carrying amount of the investment in Vinayak Ltd. in the draft balance sheet of Ishwar Ltd. There has been no change to the carrying amount of this investment in Ishwar Ltd.'s own balance sheet since 1st April, 20X1.

On 1st April, 20X1, the individual financial statements of Vinayak Ltd. showed the following balances:

- Retained earnings ₹ 750 million
- Other components of equity ₹ 25 million

The directors of Ishwar Ltd. carried out a fair value exercise to measure the identifiable assets and liabilities of Vinayak Ltd. at 1st April, 20X1. The following matters emerged:

- Property having a carrying amount of ₹ 800 million (land component ₹ 350 million, buildings component ₹ 450 million) had an estimated fair value of ₹ 1,000 million (land component ₹ 400 million, buildings component ₹ 600 million). The buildings component of the property had an estimated useful life of 30 years at 1st April, 20X1.
- Plant and equipment having a carrying amount of ₹ 600 million had an estimated fair value of ₹ 700 million. The estimated remaining useful life of this plant at 1st April, 20X1 was four years. None of this plant and equipment had been disposed of between 1st April, 20X1 and 31st March, 20X4.
- On 1st April, 20X1, the notes to the financial statements of Vinayak Ltd. disclosed contingent liability. On 1st April, 20X1, the fair value of this contingent liability was reliably measured at ₹ 30 million. The contingency was resolved in the year ended 31st March, 20X2 and no payments were required to be made by Vinayak Ltd. in respect of this contingent liability.

- The fair value adjustments have not been reflected in the individual financial statements of Vinayak Ltd. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

The directors of Ishwar Ltd. used the proportion of net assets method when measuring the non-controlling interest in Vinayak Ltd. in the consolidated balance sheet.

Impairment review of goodwill on acquisition of Vinayak Ltd.

No impairment of the goodwill on acquisition of Vinayak Ltd. was evident when the reviews were carried out on 31st March, 20X2 and 20X3. On 31st March, 20X4, the directors of Ishwar Ltd. carried out a further review and concluded that the recoverable amount of the net assets of Vinayak Ltd. at that date was ₹ 2,000 million. Vinayak Ltd. is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

Provision

On 1st April, 20X3, Ishwar Ltd. completed the construction of a non-current asset with an estimated useful life of 20 years. The costs of construction were recognised in property, plant and equipment and depreciated appropriately. Ishwar Ltd. has a legal obligation to restore the site on which the non-current asset is located on 31st March, 2X43. The estimated cost of this restoration work, at 31st March, 2X43 prices, is ₹ 125 million. The directors of Ishwar Ltd. have made a provision of ₹ 6.25 million (1/20 x ₹ 125 million) in the draft balance sheet at 31st March, 20X4.

An appropriate annual discount rate to use in any relevant calculations is 6% and at this rate the present value of ₹ 1 payable in 20 years is 31.2 paise.

Prepare the consolidated balance sheet of Ishwar Ltd. at 31st March, 20X4. Consider deferred tax implications.

Solution — ICAI

4. Consolidated Balance Sheet of Ishwar Ltd. at 31st March, 20X4

Particulars ₹ in '000s

Assets

Non-current Assets:

Property, Plant and Equipment

[(26,20,000 + 18,50,000) + {(2,00,000 (W.N.1) – 15,000 (W.N.1)) +

(1,00,000 (W.N.1) – 75,000 (W.N.1)) + (39,000 – 1,950) (WN 7)}] 47,17,050

Investment (21,15,000 – 14,00,000 – 15,000) 7,00,000

Goodwill (W.N.2) 1,85,600

Total non-current assets 56,02,650

Current Assets:

Inventories (6,00,000 + 3,75,000)	9,75,000
Trade Receivables (4,50,000 + 3,30,000)	7,80,000
Cash and Cash Equivalents (75,000 + 60,000)	1,35,000
Total current assets	18,90,000
TOTAL ASSETS	74,92,650

Equity and Liabilities

Equity attributable to equity holders of the parent

Share Capital	7,00,000
Retained Earnings (W.N.5)	30,31,960
Other Components of Equity (W.N.6)	12,70,000
	50,01,960
Non-controlling Interest (W.N.4)	3,53,600
Total equity	53,55,560
Non-current Liabilities	
Provisions (39,000 + 2,340 (W.N.7))	41,340
Long-term Borrowings (4,13,750 + 4,50,000)	8,63,750
Deferred Tax (W.N.8)	4,07,000

Total non-current liabilities 13,12,090

Current Liabilities

Trade and Other Payables (3,00,000 + 2,50,000) 5,50,000

Short-term Borrowings (1,00,000 + 1,75,000) 2,75,000

Total Current Liabilities 8,25,000

TOTAL EQUITY AND LIABILITIES 74,92,650

Working Notes:

1. Computation of Net Assets of Vinayak Ltd.

1st April, 20X1 31st March, 20X4

(Date of (Date of

acquisition) consolidation)

₹ in '000s ₹ in '000s

Share Capital	5,00,000	5,00,000
Retained Earnings:		
Per accounts of Vinayak Ltd.	7,50,000	10,50,000

Fair Value Adjustments:

Property (10,00,000 – 8,00,000)* #2,00,000 $2,00,000

Extra depreciation due to Buildings

appreciation*

((6,00,000 – 4,50,000) x 3/30) $(15,000)

Plant and Equipment

(7,00,000 – 6,00,000)* #1,00,000 $1,00,000

Extra depreciation due to Plant and

Equipment appreciation*

(1,00,000 x ¾) $(75,000)

Contingent Liability* #(30,000) $NIL

Other Components of Equity 25,000 50,000

Deferred Tax on Fair Value Adjustments*:

Date of acquisition (20% x #2,70,000 (from

above))	(54,000)	
Date of Consolidation (20% x $2,10,000		
(from above))		(42,000)
Net Assets for Consolidation	14,91,000	17,68,000

The post-acquisition increase in Net Assets is ₹ 2,77,000 (₹ 17,68,000 –

₹ 14,91,000). ₹ 25,000 of this increase is due to changes in Other Components

of Equity and the remaining ₹ 2,52,000 due to changes in retained earnings.

2. Computation of Goodwill on Consolidation

Vinayak Ltd.

₹ in '000s

Cost of Investment:

Shares issued to acquire Vinayak Ltd. (4,00,000 x ½ x ₹ 7) 14,00,000

Non-controlling Interests at the date of acquisition:

Vinayak Ltd. – 20% x ₹ 1,491,000 (from W.N.1) 2,98,200

	16,98,200
Net Assets at the date of acquisition:	
Vinayak Ltd. (W.N.1)	(14,91,000)
Goodwill before Impairment	2,07,200
Less: Impairment of Goodwill (refer W.N.3)	(21,600)

Goodwill reported in Consolidated Balance Sheet 1,85,600

3. Impairment of Goodwill on acquisition of Vinayak Ltd.

Vinayak Ltd.

₹ in '000s

Net Assets of Vinayak Ltd. at 31st March, 20X4 (W.N.1) 17,68,000

Grossed up Goodwill on acquisition (100/80 x ₹ 2,07,200)

(Refer Note 1 below)	2,59,000
	20,27,000
Recoverable amount of Vinayak Ltd. as a CGU	(20,00,000)
Therefore, gross impairment will be	27,000

Impairment attributed to Parent (refer Note 2 below) 21,600

Note 1: Grossing up of Goodwill

As per Para C4 of Appendix C to Ind AS 36 Impairment of Assets – If an entity

measures non-controlling interests at its proportionate interest in the net identifiable assets of a subsidiary at the acquisition date, rather than at fair value, goodwill attributable to non-controlling interests is included in the recoverable amount of the related Cash Generating Unit but is not recognised in the parent's consolidated financial statements. As a consequence, an entity shall gross up the carrying amount of goodwill allocated to the unit to include the goodwill attributable to the non-controlling interest. This adjusted carrying amount is then compared with the recoverable amount of the unit to determine whether the cash-generating unit is impaired.

Note 2: Allocation of Impairment of Goodwill

Since the non-controlling interests of Vinayak Ltd. are measured at proportionate share of identifiable net assets of Vinayak Ltd., the goodwill computed is entirely attributable only to the parent of Vinayak Ltd. Accordingly, the impairment also would be attributed entirely to the parent of Vinayak Ltd., and not to the non-controlling interest.

4. Computation of Non-controlling Interest (NCI)

Vinayak Ltd.

₹ in '000s

NCI at the date of acquisition (W.N.2)	2,98,200
Share of post-acquisition increase in net assets	
(20% x ₹ 2,77,000 (from W.N.1))	55,400
	3,53,600

5. Computation of consolidated Retained Earnings

₹ in '000s

Balance as per accounts of Ishwar Ltd. 28,65,000

Adjustments:

Acquisition costs	(15,000)
Restoration Provision (W.N.7)	1,960
Share of Vinayak Ltd.'s post-acquisition profits	
(80% x ₹ 2,52,000 (W.N.1))	2,01,600
Impairment of Goodwill (W.N.3)	(21,600)
	30,31,960

6. Other Components of Equity

₹ in '000s

Balance as per accounts of Ishwar Ltd. 12,50,000

Share of Vinayak Ltd.'s post-acquisition balance

(80% x ₹ 25,000 (W.N.1))	20,000
	12,70,000

7. Computation of Restoration Provision

₹ in '000s

Provision for Restoration originally required (₹ 1,25,000 x 0.312) 39,000

One year's unwinding of discount (₹ 39,000 x 6%) A (2,340)

One year's depreciation of capitalized cost (₹ 39,000 x 1/20) B (1,950)

Original provision incorrectly made C 6,250

So retained earnings adjustment equals [C -A – B] 1,960

8. Computation of Deferred Tax

₹ in '000s

Ishwar Ltd. + Vinayak Ltd.	3,65,000
Fair value adjustments in Vinayak Ltd. (from W.N.1)	42,000
	4,07,000

Q46 · Goodwill / capital reserve and NCI at the date control is obtained

RTP Nov 2024 · Q19 · Numerical

19. On 1st April 20X1, A Limited acquired 80% of the share capital of

S Limited. On the acquisition date the share capital and reserves of

S Ltd. stood at ₹ 5,00,000 and ₹ 1,25,000 respectively. A Limited paid

initial cash consideration of ₹ 10,00,000. Additionally, A Limited issued

2,00,000 equity shares with a nominal value of ₹ 1 per share at current

market value of ₹ 1.80 per share.

It was also agreed that A Limited would pay a further sum of ₹ 5,00,000

after three years. A Limited's cost of capital is 10%. The appropriate

discount factor for ₹ 1 @ 10% receivable at the end of

1st year: 0.91

2nd year: 0.83

3rd year: 0.75

The shares and deferred consideration have not yet been recorded by

A limited.

Below are the Balance Sheet of A Limited and S Limited as at

31st March, 20X3:

A Limited S Limited

(₹ 000) (₹ 000)

Non-current assets:

Property, plant & equipment	5,500	1,500
Investment in S Limited at cost	1,000	
Current assets:		
Inventory	550	100
Receivables	400	200
Cash	200	50
	7,650	1,850
Equity:		
Share capital	2,000	500
Retained earnings	1,400	300
	3,400	800
Non-current liabilities	3,000	400
Current liabilities	1,250	650
	7,650	1,850

Further information:

(i) On the date of acquisition, the fair values of S Limited's plant exceeded its book value by ₹ 2,00,000. The plant had a remaining useful life of five years at this date;

(ii) The consolidated goodwill has been impaired by ₹ 2,58,000; and

(iii) The A Limited Group, values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was ₹ 3,80,000.

You are required to prepare Consolidated Balance Sheet of A Limited as at 31st March, 20X3. (Notes to Account on Consolidated Balance Sheet is not required).

Solution — ICAI

19. Consolidated Balance Sheet of A Ltd. and its subsidiary, S Ltd.

as at 31st March, 20X3

Particulars ₹ in 000s

I. Assets

(1) Non-current assets

(i) Property Plant & Equipment (W.N.4) 7,120.00

(ii) Intangible asset – Goodwill (W.N.3) 1,032.00

(2) Current Assets

(i) Inventories (550 + 100) 650.00

(ii) Financial Assets

(a) Trade Receivables (400 + 200) 600.00

(b) Cash & Cash equivalents (200 + 50) 250.00

Total Assets 9,652.00

II. Equity and Liabilities

(1) Equity

(i) Equity Share Capital (2,000 + 200) 2,200.00

(ii) Other Equity

(a) Retained Earnings (W.N.6)	1190.85
(b) Securities Premium	160.00
(2) Non-Controlling Interest (W.N.5)	347.40
(3) Non-Current Liabilities (3,000 + 400)	3,400.00
(4) Current Liabilities (W.N.8)	2,353.75
Total Equity & Liabilities	9,652.00

Notes:

1. Since the question required not to prepare Notes to Account, the

column of Note to Accounts had not been drawn.

2. It is assumed that shares were issued during the year 20X2-20X3

and entries are yet to be made.

Working Notes:

1. Calculation of purchase consideration at the acquisition date

i.e. 1st April, 20X1

₹ in 000s

Payment made by A Ltd. to S Ltd.

Cash	1,000.00
Equity shares (2,00,000 shares x ₹1.80)	360.00
Present value of deferred consideration	
(₹5,00,000 x 0.75)	375.00
Total consideration	1,735.00

2. Calculation of net assets i.e. net worth at the acquisition date

i.e. 1st April, 20X1

₹ in 000s

Share capital of S Ltd.	500.00
Reserves of S Ltd.	125.00
Fair value increase on Property, Plant and	
Equipment	200.00
Net worth on acquisition date	825.00

3. Calculation of Goodwill at the acquisition date i.e.

1st April, 20X1 and 31st March, 20X3

₹in 000s

Purchase consideration (W.N.1)	1,735.00
Non-controlling interest at fair value (as given in	
the question)	380.00
	2,115.00
Less: Net worth (W.N.2)	(825.00)
Goodwill as on 1st April 20X1	1,290.00
Less: Impairment (as given in the question)	(258.00)
Goodwill as on 31st March 20X3	1,032.00

4. Calculation of Property, Plant and Equipment as on

31st March 20X3

₹in 000s

A Ltd.	5,500.00
S Ltd.	1,500.00

Add: Net fair value gain

not recorded yet 200.00

Less: Depreciation

[(200/5) x 2]	(80.00)	120.00	1,620.00
			7,120.00

5. Calculation of post-acquisition gain (after adjustment of

impairment on goodwill) and value of NCI as on

31st March 20X3

₹ ₹

in 000s in 000s

NCI A Ltd.

(20%) (80%)

Acquisition date balance		380.00	Nil
Closing balance of Retained Earnings		300.00	
Less: Pre-acquisition balance	(125.00)		
Post-acquisition gain	175.00		
Less: Additional Depreciation			
on PPE [(200/5) x 2]	(80.00)		
Share in post-acquisition gain	95.00	19.00	76.00
Less: Impairment on goodwill	258.00	(51.60)	(206.40)
		347.40	(130.40)

6. Consolidated Retained Earnings as on 31st March 20X3

₹in 000s

A Ltd. 1,400.00

Add: Share of post-acquisition loss of S Ltd. (130.40)

(W.N.5)

Less: Finance cost on deferred consideration (37.5

+ 41.25) (W.N.7)	(78.75)
Retained Earnings as on 31st March 20X3	1,190.85

7. Calculation of value of deferred consideration as on

31st March 20X3

₹in 000s

Value of deferred consideration as on

1st April 20X1 (W.N.1)	375.00
Add: Finance cost for the year 20X1-20X2	
(375 x 10%)	37.50
	412.50
Add: Finance cost for the year 20X2-20X3	
(412.50 x 10%)	41.25

Deferred consideration as on 31st March 20X3 453.75

8. Calculation of current Liability as on 31st March 20X3

₹in 000s

A Ltd.	1,250.00
S Ltd.	650.00
Deferred consideration as on 31st March 20X3	
(W.N.7)	453.75
Current Liability as on 31st March 20X3	2,353.75

Q47 · Goodwill / capital reserve and NCI at the date control is obtained

MTP May 2026 S-I · Part II Q1 · Numerical

1. On 1st April 20X1, A Limited acquired 80% of the share capital of S Limited. On

acquisition date the share capital and reserves of S Ltd. stood at ₹ 5,00,000 and

₹ 1,25,000 respectively. A Limited paid initial cash consideration of ₹ 10,00,000.

Additionally, A Limited issued 2,00,000 equity shares with a nominal value of ₹ 1 per

share at current market value of ₹ 1.80 per share.

It was also agreed that A Limited would pay a further sum of ₹ 5,00,000 after three years.

A Limited's cost of capital is 10%. The appropriate discount factor for ₹ 1 @ 10%

receivable at the end of

1st year: 0.91

2nd year: 0.83

3rd year: 0.75

The shares and deferred consideration have not yet been recorded by A limited.

Below are the Balance Sheet of A Limited and S Limited as at 31st March, 20X3:

A Limited (₹ 000) S Limited (₹ 000)

Non-current assets:

Property, plant & equipment	5,500	1,500
Investment in S Limited at cost	1,000	
Current assets:		
Inventory	550	100
Receivables	400	200
Cash	200	50
	7,650	1,850
Equity:		
Share capital	2,000	500
Retained earnings	1,400	300
	3,400	800
Non-current liabilities	3,000	400
Current liabilities	1,250	650
	7,650	1,850

Further information:

(i) On the date of acquisition the fair values of S Limited's plant exceeded its book value by ₹ 2,00,000. The plant had a remaining useful life of five years at this date;

(ii) The consolidated goodwill has been impaired by ₹ 2,58,000; and

(iii) The A Limited Group, values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was ₹ 3,80,000.

You are required to prepare Consolidated Balance Sheet of A Limited as at 31st March, 20X3. (Notes to Account on Consolidated Balance Sheet is not required).

(14 Marks)

Solution — ICAI

1. Consolidated Balance Sheet of A Ltd. and its subsidiary, S Ltd.

as at 31st March, 20X3

Particulars ₹ in 000s

I. Assets

(1) Non-current assets

(i) Property Plant & Equipment (W.N.4) 7,120.00

(ii) Intangible asset – Goodwill (W.N.3) 1,032.00

(2) Current Assets

(i) Inventories (550 + 100) 650.00

(ii) Financial Assets

(a) Trade Receivables (400 + 200) 600.00

(b) Cash & Cash equivalents (200 + 50) 250.00

Total Assets 9,652.00

II. Equity and Liabilities

(1) Equity

(i) Equity Share Capital (2,000 + 200) 2,200.00

(ii) Other Equity

(a) Retained Earnings (W.N.6) 1190.85

(b) Securities Premium	160.00
(2) Non-Controlling Interest (W.N.5)	347.40
(3) Non-Current Liabilities (3,000 + 400)	3,400.00
(4) Current Liabilities (W.N.8)	2,353.75
Total Equity & Liabilities	9,652.00

Notes:

1. Since the question required not to prepare Notes to Account, the column of

Note to Accounts had not been drawn.

2. It is assumed that shares were issued during the year 20X2-20X3 and entries

are yet to be made.

Working Notes:

1. Calculation of purchase consideration at the acquisition date i.e.

1st April, 20X1

₹ in 000s

Payment made by A Ltd. to S Ltd.

Cash	1,000.00
Equity shares (2,00,000 shares x ₹ 1.80)	360.00

Present value of deferred consideration (₹ 5,00,000 x 0.75) 375.00

Total consideration 1,735.00

2. Calculation of net assets i.e. net worth at the acquisition date i.e.

1st April, 20X1

₹ in 000s

Share capital of S Ltd.	500.00
Reserves of S Ltd.	125.00
Fair value increase on Property, Plant and Equipment	200.00
Net worth on acquisition date	825.00

3. Calculation of Goodwill at the acquisition date i.e. 1st April, 20X1 and

31st March, 20X3

₹ in 000s

Purchase consideration (W.N.1) 1,735.00

Non-controlling interest at fair value (as given in the question) 380.00

	2,115.00
Less: Net worth (W.N.2)	(825.00)
Goodwill as on 1st April 20X1	1,290.00
Less: Impairment (as given in the question)	258.00
Goodwill as on 31st March 20X3	1,032.00

4. Calculation of Property, Plant and Equipment as on 31st March 20X3

₹ in 000s

A Ltd.	5,500.00		
S Ltd.	1,500.00		
Add: Net fair value gain not recorded yet		200.00	
Less: Depreciation [(200/5) x 2]	(80.00)	120.00	1,620.00
	7,120.00		

5. Calculation of Post-acquisition gain (after adjustment of impairment on

goodwill) and value of NCI as on 31st March 20X3

₹ in 000s ₹ in 000s

NCI A Ltd.

(20%) (80%)

Acquisition date balance	380.00	Nil
Closing balance of Retained Earnings		300.00
Less: Pre-acquisition balance	(125.00)	

Post-acquisition gain 175.00

Less: Additional Depreciation on PPE

[(200/5) x 2]	(80.00)		
Share in post-acquisition gain	95.00	19.00	76.00
Less: Impairment on goodwill	258.00	(51.60)	(206.40)
	347.40	(130.40)	

6. Consolidated Retained Earnings as on 31st March 20X3

₹ in 000s

A Ltd. 1,400.00

Add: Share of post-acquisition loss of S Ltd. (W.N.5) (130.40)

Less: Finance cost on deferred consideration (37.5 + 41.25)

(W.N.7)	(78.75)
Retained Earnings as on 31st March 20X3	1,190.85

7. Calculation of value of deferred consideration as on 31st March 20X3

₹ in 000s

Value of deferred consideration as on 1st April 20X1 (W.N.1) 375.00

Add: Finance cost for the year 20X1-20X2 (375 x 10%) 37.50

412.50

Add: Finance cost for the year 20X2-20X3 (412.50 x 10%) 41.25

Deferred consideration as on 31st March 20X3 453.75

8. Calculation of current Liability as on 31st March 20X3

₹ in 000s

A Ltd.	1,250.00
S Ltd.	650.00
Deferred consideration as on 31st March 20X3 (W.N.7)	453.75
Current Liability as on 31st March 20X3	2,353.75

Q48 · Goodwill / capital reserve and NCI at the date control is obtained

MTP May 2026 S-II · Part II Q1 · Numerical

1. On 1st April 20X1, A Limited acquired 80% of the share capital of S Limited. On the acquisition date the share capital and reserves of S Ltd. stood at ₹ 5,00,000 and ₹ 1,25,000 respectively. A Limited paid initial cash consideration of ₹ 10,00,000.

Additionally, A Limited issued 2,00,000 equity shares with a nominal value of ₹ 1 per share at current market value of ₹ 1.80 per share.

It was also agreed that A Limited would pay a further sum of ₹ 5,00,000 after three years. A Limited's cost of capital is 10%. The appropriate discount factor for ₹ 1 @ 10% receivable at the end of

1st year: 0.91

2nd year: 0.83

3rd year: 0.75

The shares and deferred consideration have not yet been recorded by A limited.

Below are the Balance Sheet of A Limited and S Limited as at 31st March, 20X3:

	A Limited (₹ 000)	S Limited (₹ 000)
Non-current assets:		
Property, plant & equipment	5,500	1,500
Investment in S Limited at cost	1,000	
Current assets:		
Inventory	550	100
Receivables	400	200
Cash	200	50
	7,650	1,850
Equity:		
Share capital	2,000	500
Retained earnings	1,400	300
	3,400	800
Non-current liabilities	3,000	400
Current liabilities	1,250	650
	7,650	1,850

Further information:

(i) On the date of acquisition, the fair values of S Limited's plant exceeded its book value by ₹ 2,00,000. The plant had a remaining useful life of five years at this date;

(ii) The consolidated goodwill has been impaired by ₹ 2,58,000; and

(iii) The A Limited Group, values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was ₹ 3,80,000.

You are required to prepare Consolidated Balance Sheet of A Limited as at

31st March, 20X3. (Notes to Account on Consolidated Balance Sheet is not required).

(14 Marks)

Solution — ICAI

1. Consolidated Balance Sheet of A Ltd. and its subsidiary, S Ltd.

as at 31st March, 20X3

Particulars ₹ in 000s

I. Assets

(1) Non-current assets

(i) Property, plant & equipment (W.N.4) 7,120.00

(ii) Goodwill (W.N.3)	1,032.00
(2) Current assets	
(i) Inventories (550 + 100)	650.00

(ii) Financial assets

(a) Trade receivables (400 + 200) 600.00

(b) Cash & cash equivalents (200 + 50) 250.00

Total Assets 9,652.00

II. Equity and Liabilities

(1) Equity

(i) Equity share capital (2,000 + 200) 2,200.00

(ii) Other equity

(a) Retained earnings (W.N.6) 1190.85

(b) Securities premium	160.00
(2) Non-controlling interest (W.N.5)	347.40
(3) Non-current liabilities (3,000 + 400)	3,400.00
(4) Current liabilities (W.N.8)	2,353.75
Total Equity & Liabilities	9,652.00

Notes:

1. Since the question required not to prepare Notes to Accounts, the column of

Notes to Accounts had not been drawn.

2. It is assumed that shares were issued during the year 20X2-20X3 and entries

are yet to be made.

Working Notes:

1. Calculation of purchase consideration at the acquisition date i.e.

1st April, 20X1

₹ in 000s

Payment made by A Ltd. to S Ltd.

Cash	1,000.00
Equity shares (2,00,000 shares x ₹ 1.80)	360.00

Present value of deferred consideration (₹ 5,00,000 x 0.75) 375.00

Total consideration 1,735.00

2. Calculation of net assets i.e. net worth at the acquisition date i.e.

1st April, 20X1

₹ in 000s

Share capital of S Ltd.	500.00
Reserves of S Ltd.	125.00
Fair value increase on Property, Plant and Equipment	200.00
Net worth on acquisition date	825.00

3. Calculation of Goodwill at the acquisition date i.e. 1st April, 20X1 and

31st March, 20X3

₹ in 000s

Purchase consideration (W.N.1) 1,735.00

Non-controlling interest at fair value (as given in the question) 380.00

	2,115.00
Less: Net worth (W.N.2)	(825.00)
Goodwill as on 1st April 20X1	1,290.00
Less: Impairment (as given in the question)	258.00
Goodwill as on 31st March 20X3	1,032.00

4. Calculation of Property, Plant and Equipment as on 31st March 20X3

₹ in 000s

A Ltd.	5,500.00
S Ltd.	1,500.00

Add: Net fair value gain

not recorded yet 200.00

Less: Depreciation [(200/5) x 2]	(80.00)	120.00	1,620.00
		7,120.00	

5. Calculation of post-acquisition gain (after adjustment of impairment on

goodwill) and value of NCI as on 31st March 20X3

₹ in 000s ₹ in 000s

NCI (20%) A Ltd. (80%)

Acquisition date balance	380.00	Nil
Closing balance of Retained Earnings		300.00
Less: Pre-acquisition balance	(125.00)	

Post-acquisition gain 175.00

Less: Additional Depreciation

on PPE [(200/5) x 2] (80.00)

Share in post-acquisition gain	95.00	19.00	76.00
Less: Impairment on goodwill	258.00	(51.60)	(206.40)
	347.40		(130.40)

6. Consolidated Retained Earnings as on 31st March 20X3

₹ in 000s

A Ltd. 1,400.00

Add: Share of post-acquisition loss of S Ltd. (W.N.5) (130.40)

Less: Finance cost on deferred consideration (37.5+41.25) (W.N.7) (78.75)

Retained Earnings as on 31st March 20X3 1,190.85

7. Calculation of value of deferred consideration as on 31st March 20X3

₹ in 000s

Value of deferred consideration as on 1st April 20X1 (W.N.1) 375.00

Add: Finance cost for the year 20X1-20X2 (375 x 10%) 37.50

412.50

Add: Finance cost for the year 20X2-20X3 (412.50 x 10%) 41.25

Deferred consideration as on 31st March 20X3 453.75

8. Calculation of current Liability as on 31st March 20X3

₹ in 000s

A Ltd.	1,250.00
S Ltd.	650.00
Deferred consideration as on 31st March 20X3 (W.N.7)	453.75
Current Liability as on 31st March 20X3	2,353.75

Q49 · Goodwill / capital reserve and NCI at the date control is obtained

MTP Nov 2026 S-1 · Q2 · Theory

2. Part I comprises Case Scenario based Multiple Choice Questions (MCQs)

Solution — ICAI

Answer key: Option (C)

ICAI answer text: A Ltd. has the exclusive authority over structural design and independently

determines pricing and marketing strategy.

Q50 · Goodwill / capital reserve and NCI at the date control is obtained

PYQ Nov 2024 · Q1 · 14 marks · Numerical

The balance sheets of H Ltd. and S Ltd. as on 31st March, 2024 were as follows:

Particulars	H Ltd. (₹ in Lakhs)	S Ltd. (₹ in Lakhs)
Assets:		
Non-Current Assets		
Property, plant and equipment	14,800	6,000
Financial Assets: Investment		
Investment in S Ltd.	5,800	
1,000 Debentures in S Ltd.	1,500	
Current Assets		
Inventories	2,600	2,000
Financial Assets: Trade receivables (due from S Ltd. ₹ 160 lakh)	4,000	3,000
Dividend receivable	320	-
Cash and cash equivalent	500	2,000
Total	29,520	13,000
Equity and Liabilities		
Equity: Equity Share Capital (₹ 10 per share)	10,000	4,000
Other Equity (Retained Earnings)	16,320	5,000
Non-current Liabilities: 13% Debentures of ₹ 100 each		3,000
Current Liabilities - Financial Liabilities: Trade Payables (due to H Ltd. ₹ 120 lakh)	1,700	600
Dividend Payable		400
Other Liabilities	1,500	
Total	29,520	13,000

Additional Information:

(i) On 1st April, 2023, S Ltd. had 400 lakh shares of ₹ 10 each and ₹ 3,000 lakh in its Retained Earnings in Other Equity. H Ltd. acquired 80% share of S Ltd. on 1st April, 2023 at a consideration of ₹ 5,800 lakh in cash.

(ii) The following changes in book value of identifiable net assets of S Ltd. as on 1st April, 2023 are to be considered for arriving the fair value of identifiable net assets and to record the changes in their fair value on the said date. These changes in fair values are to be considered while drawing consolidated Financial Statement of the Group.

Assets	Book value	Fair value
PPE	₹ 2,500 lakhs	₹ 2,800 lakhs
Inventory	₹ 500 lakhs	₹ 200 lakhs

The rate of depreciation on PPE is 10% p.a.

(iii) NCI was to be measured at fair value based on purchase consideration.

(iv) Goodwill was impaired by ₹ 100 lakh.

(v) H Ltd. sold goods worth ₹ 200 lakh to S Ltd. on credit at a profit of 20% on sales. 50% of the goods were still lying unsold.

(vi) S Ltd. issued a cheque of ₹ 40 lakh in favour of H Ltd. as a part payment of the goods purchased from it in March, 2024. The cheque is yet to be received by H Ltd.

(vii) Dividend payable represents the dividend declared out of pre-acquisition profit. H Ltd. credited its share of dividend from S Ltd. to its profits.

Prepare the Consolidated Balance Sheet of the Group as at 31st March, 2024. (14 Marks)

Solution — ICAI

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 2024

	Notes No.	₹ in Lakhs
Assets		
Non-current assets		
Property, plant and equipment	1	21,070
Goodwill	2	150
Current assets		
Inventory	3	4,275
Financial assets - Cash and cash equivalents	4	2,540
Trade receivables	5	6,840
Dividend receivable	6	Nil
Total		34,875
Equity and Liabilities		
Equity		
Share capital - Equity shares of ₹ 10 each		10,000
Other equity	7	16,292
Non-controlling interest (W.N.4)		1,824
Non-current liabilities - Financial liabilities - Borrowings - 13% Debentures	8	2,999
Current Liabilities - Financial liabilities - Trade payables	9	2,180
Dividend payable	10	80
Other liabilities		1,500
Total		34,875

Notes to Accounts (₹ in lakhs)

Particulars	₹	₹
1. Property, Plant and Equipment		
H Ltd.		14,800
S Ltd. 6,000; Add: Fair value gain 300; Less: Additional depreciation due to fair value gain (30)		6,270
		21,070
2. Goodwill		
Goodwill on acquisition of S Ltd. (Refer W.N.3)	250	
Less: Impairment	(100)	150
3. Inventory		
H Ltd.		2,600
S Ltd. 2,000; Less: Fair value loss (300); Less: Unrealised gain (200/80% x 20% x 50%) (25)	1,675	
		4,275
4. Cash and cash equivalent		
H Ltd. 500; Add: Cheque in Transit 40	540	
S Ltd.		2,000
		2,540
5. Trade Receivable		
H Ltd. 4,000; Less: Mutual transaction (160)	3,840	
S Ltd.	3,000	6,840
6. Dividend Receivable		
H Ltd.	320	
Less: Mutual transaction	(320)	Nil
7. Other Equity (Retained Earnings)		
H Ltd.	16,320	
Less: Share of pre-acquisition dividend (400 x 80%)	(320)	16,000
Post acquisition RE of S Ltd. (W.N.1)	2,370	
Less: Share of NCI in post-acquisition RE of S Ltd. (2,370 x 20%)	(474)	1,896

Particulars	₹	₹
Less: Impairment of goodwill (100 x 80%)		(80)
Less: Loss on cancellation of debentures (mutual holding) (W.N.5)		(1,499)
Less: Unrealised gain (W.N.6)		(25)
		16,292
8. Borrowings (13% Debentures)		
S Ltd.	3,000	
Less: Mutual holding by H Ltd. (1,000 Debentures x ₹ 100)	(1)	2,999
9. Trade Payables		
H Ltd.		1,700
S Ltd. 600; Less: Mutual transaction (120)	480	2,180
10. Dividend Payables		
S Ltd.	400	
Less: Mutual transaction	(320)	80

Working Notes:

1. Analysis of Retained Earnings of S Ltd. (₹ in lakhs)

Closing balance as on 31st March, 2024	5,000
Less: Pre-acquisition Retained Earnings as on 1st April, 2023 (3,000 – 400)	(2,600)
	2,400
Less: Additional depreciation	(30)
Post-acquisition Retained Earnings	2,370

2. Computation of net worth (net identifiable assets) as on 1st April, 2023 (₹ in lakhs)

Share Capital of S Ltd.	4,000
Pre-acquisition Retained Earnings	3,000
Fair value gain on PPE (2,800 – 2,500)	300
Fair value loss on inventory (500 - 200)	(300)
Net Worth or Net Identifiable Assets	7,000

3. Computation of Goodwill on acquisition date of S Ltd. (₹ in lakhs)

Purchase consideration	5,800
NCI (by fair value method) as on 1st April, 2023 [(5,800/80%) x 20%]	1,450
	7,250
Less: Net worth or Net Identifiable Assets (W.N.2)	(7,000)
Goodwill as on 1st April, 2023	250

4. Non-Controlling Interest as on 31st March, 2024 (₹ in lakhs)

NCI (by fair value method) as on 1st April, 2023	1,450
Less: Share of pre-acquisition dividend (400 x 20%)	(80)
Post-acquisition Retained Earnings (2,370 x 20%)	474
Less: Share of impairment of Goodwill (100 x 20%)	(20)
NCI as on 31st March, 2024	1,824

5. Loss on settlement of Debentures held by H Ltd. (₹ in lakhs)

Investment in Debentures by H Ltd.	1,500
Less: Nominal value of debentures held by H Ltd. (1,000 x ₹ 100)	(1)
Loss on settlement of investment in Debentures	1,499

6. Computation of unrealised gain by H Ltd. on sale of goods to S Ltd. (₹ in lakhs)

Cost price of the goods sold	200
Sales price of the goods sold (200/80%)	250
Profit on sale of such goods	50
Unrealized gain on 50% unsold goods (50 x 50%)	25

Note: In the above solution, it is assumed that in additional information (v), ₹ 200 lakh is the cost price of the goods for H Ltd. which is sold to S Ltd. at ₹ 250 lakhs i.e. after 20% profit on sales. However, alternatively it may be assumed that ₹ 200 lakhs is the sales price of the goods for H Ltd. profit will be ₹ 200 lakhs x 20% i.e. ₹ 40 lakhs. In such a situation, the answer will be as follows:

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 2024

	Notes No.	₹ in Lakhs
Assets		
Non-current assets		
Property, plant and equipment	1	21,070
Goodwill	2	150
Current assets		
Inventory	3	4,280
Financial assets - Cash and cash equivalents	4	2,540
Trade receivables	5	6,840
Dividend receivable	6	Nil
Total		34,880
Equity and Liabilities		
Equity		
Share capital - Equity shares of ₹ 10 each		10,000
Other equity	7	16,297
Non-controlling interest (W.N.4)		1,824
Non-current liabilities - Financial liabilities - Borrowings - 13% Debentures	8	2,999
Current Liabilities - Financial liabilities - Trade payables	9	2,180
Dividend payable	10	80
Other liabilities		1,500
Total		34,880

Notes to Accounts (₹ in lakhs)

Particulars	₹	₹
1. Property, Plant and Equipment		
H Ltd.		14,800
S Ltd. 6,000; Add: Fair value gain 300; Less: Additional depreciation due to fair value gain (30)		6,270
		21,070
2. Goodwill		
Goodwill on acquisition of S Ltd. (Refer W.N.3)	250	
Less: Impairment	(100)	150
3. Inventory		
H Ltd.		2,600
S Ltd. 2,000; Less: Fair value loss (300); Less: Unrealised gain (W.N.6) (20)	1,680	
		4,280
4. Cash and cash equivalent		
H Ltd. 500; Add: Cheque in Transit 40	540	
S Ltd.		2,000
		2,540
5. Trade Receivables		
H Ltd. 4,000; Less: Mutual transaction (160)	3,840	
S Ltd.	3,000	6,840
6. Dividend Receivables		
H Ltd.	320	
Less: Mutual transaction	(320)	Nil
7. Other Equity (Retained Earnings)		
H Ltd.	16,320	
Less: Share of pre-acquisition dividend (400 x 80%)	(320)	16,000
Post acquisition RE of S Ltd. (W.N.1)	2,370	
Less: Share of NCI in post-acquisition RE of S Ltd. (2,370 x 20%)	(474)	1,896

Particulars	₹	₹
Less: Impairment of goodwill (100 x 80%)		(80)
Less: Loss on cancellation of debentures (mutual holding) (W.N.5)		(1,499)
Less: Unrealised gain (W.N.6)		(20)
		16,297
8. Borrowings (13% Debentures)		
S Ltd.	3,000	
Less: Mutual holding by H Ltd. (1,000 Debentures x ₹ 100)	(1)	2,999
9. Trade Payables		
H Ltd.		1,700
S Ltd. 600; Less: Mutual transaction (120)	480	2,180
10. Dividend Payables		
S Ltd.	400	
Less: Mutual transaction	(320)	80

Working Notes:

1. Analysis of Retained Earnings of S Ltd. (₹ in lakhs)

Closing balance as on 31st March, 2024	5,000
Less: Pre-acquisition Retained Earnings as on 1st April, 2023 (3,000 – 400)	(2,600)
	2,400
Less: Additional depreciation	(30)
Post-acquisition Retained Earnings	2,370

2. Computation of net worth (net identifiable assets) as on 1st April, 2023 (₹ in lakhs)

Share capital of S Ltd.	4,000
Pre-acquisition Retained Earnings	3,000
Fair value gain on PPE (2,800 – 2,500)	300
Fair value loss on inventory (500 - 200)	(300)
Net Worth or Net Identifiable Assets	7,000

3. Computation of Goodwill on acquisition date of S Ltd. (₹ in lakhs)

Purchase consideration	5,800
NCI (by fair value method) as on 1st April, 2023 [(5,800 / 80%) x 20%]	1,450
	7,250
Less: Net worth or Net Identifiable Assets (W.N.2)	(7,000)
Goodwill as on 1st April, 2023	250

4. Non-controlling Interest as on 31st March, 2024 (₹ in lakhs)

NCI (by fair value method) as on 1st April, 2023	1,450
Less: Share of pre-acquisition dividend (400 x 20%)	(80)
Post-acquisition Retained Earnings (2,370 x 20%)	474
Less: Share of impairment of Goodwill (100 x 20%)	(20)
NCI as on 31st March, 2024	1,824

5. Loss on settlement of Debentures held by H Ltd. (₹ in lakhs)

Investment in Debentures by H Ltd.	1,500
Less: Nominal value of debentures held by H Ltd. (1,000 x ₹ 100)	(1)
Loss on settlement of investment in Debentures	1,499

6. Computation of unrealised gain by H Ltd. on sale of goods to S Ltd. (₹ in lakhs)

Sales price of the goods sold	200
Profit on sale of such goods (200 x 20%)	40
Unrealized gain on 50% unsold goods (40 x 50%)	20

QS1 · Goodwill / capital reserve and NCI at the date control is obtained

PYQ Jan 2026 · Q1 · 14 marks · Numerical

On 1st April 2024, A Limited acquired 80% of the equity share capital of S Limited. On the said date, the share capital and other equity (represented entirely by retained earnings) of S Limited were ₹ 10.00 lakhs and ₹ 2.50 lakhs respectively.

To the selling shareholders, A Limited:

• paid initial cash consideration of ₹ 20.00 lakhs;

• issued fresh 4,00,000 equity shares of a nominal value of ₹ 1 per share at current market price of ₹ 2 per share;

• agreed to pay a further ₹ 6.00 lakhs after 3 years i.e. on 31st March 2027.

A Limited's cost of capital is 10% per annum. The appropriate discount factor for ₹ 1 @ 10% per annum receivable at the end of:

• 1st year is 0.91;

• 2nd year is 0.83;

• 3rd year is 0.75.

Both A Limited and S Limited prepare their financial statements as per the Companies (Indian Accounting Standards) Rules, 2015.

The Balance Sheet of A Limited and S Limited as at 31st March 2025 is as under: (All amounts in ₹ in lakhs)

Particulars	A Limited	S Limited
ASSETS		
Non-current assets		
- Property, plant and equipment	60.00	30.00
- Financial assets: Investment (in S Limited at cost)	20.00	-
Current assets		
- Inventories	7.00	12.00
- Financial assets: Trade receivables	4.50	10.00
Cash and cash equivalents	2.00	4.00
Total Assets	93.50	56.00
EQUITY AND LIABILITIES		
EQUITY		
Equity share capital (₹ 1 per share)	40.00	10.00
Other equity - Retained earning	15.00	6.00
LIABILITIES		
Non-current liabilities - Financial liabilities: Borrowings	25.00	25.00
Current liabilities - Financial liabilities: Trade payables	13.50	15.00
Total Equity and Liabilities	93.50	56.00

The following additional information is provided:

• Since its incorporation, S Limited has been selling some of its products under the brand name 'BLISS'. At the acquisition date, A Limited valued this brand at ₹ 8.00 lakhs with a remaining life of 10 years with NIL residual value. A Limited amortizes its intangible assets on straight line method. The brand is not recognized in S Limited's Balance Sheet;

• As at 31st March 2025, goodwill recognized on consolidation is to be impaired by 25%;

• A Limited Group measures the non-controlling interest at fair value;

• Equity shares of S Limited were quoted at ₹ 4 per share on the date of acquisition;

• Immediately after acquisition i.e. on 1st April 2024, A Limited (which also sells capital equipment) sold a capital equipment costing ₹ 4.00 lakhs to S Limited at ₹ 5.00 lakhs. This capital equipment is recorded as Property, Plant and Equipment by S Limited. The useful life of the equipment on the date of transfer was 10 years with NIL residual value. The equipment is depreciated on straight line method.

• A Limited is yet to record issuance of shares and deferred consideration in its books of account.

You are required to prepare Consolidated Balance Sheet of A Limited as at 31st March 2025. Workings should form part of your answer. (14 Marks)

Solution — ICAI

Consolidated Balance Sheet of A Ltd. and its subsidiary, S Ltd. as at 31st March 2025

Particulars	Note No.	₹ in lakhs
I. Assets		
(1) Non-Current Assets		
(i) Property Plant & Equipment	1	89.10
(ii) Goodwill (W.N.3)		15.00
(ii) Intangible Asset - Brand	1	7.20
(2) Current Assets		
(i) Inventories	1	19.00
(ii) Financial Assets (a) Trade Receivables	1	14.50
(b) Cash & Cash Equivalents	1	6.00
Total Assets		150.80
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	2	44.00
(ii) Other Equity	3	15.79
(2) Non-Controlling Interest (W.N.5)		7.56
(3) Non-Current Liabilities		
(i) Financial Liabilities (a) Borrowings	1	50.00
(b) Other – Contingent Consideration	1	4.95
(4) Current Liabilities		
(i) Financial Liabilities (a) Trade Payables	1	28.50
Total Equity & Liabilities		150.80

Note: It is assumed that depreciation on capital equipment has already been accounted for by S Ltd. for the year 2024-2025 based on its purchase price.

Notes to Accounts

1. Assets and Liabilities (₹ in lakhs)

Particulars	A Ltd.	S Ltd.	Adjustments	Total
Property, Plant and Equipment	60.00	30.00	-1.00+0.10	89.10
Intangible Assets (Brand)	-	-	+8.00-0.80	7.20
Investments	20.00	-	- 20.00	-
Inventories	7.00	12.00		19.00
Trade Receivables	4.50	10.00		14.50
Cash and Cash Equivalents	2.00	4.00		6.00
Borrowings	25.00	25.00		50.00
Other Non-current financial liability (Deferred consideration) (W.N.7)	4.95	-		4.95
Trade Payables	13.50	15.00		28.50

2. Equity Share Capital (₹ in lakhs)

44 lakhs equity shares of ₹ 1 each, fully paid – (Out of which 4 lakh equity shares of ₹ 1 each, fully paid issued for consideration other than cash)	44.00
	44.00

3. Consolidated Other Equity (₹ in lakhs)

Retained Earnings (W.N.6)	11.79
Securities Premium (4,00,000 shares x ₹ 1)	4.00
	15.79

Working Notes:

1. Calculation of purchase consideration at the acquisition date i.e. 1st April 2024 (₹ in lakhs)

Payment made by A Ltd. to S Ltd.	
Cash	20.00
Equity shares (4,00,000 shares x ₹ 2.00)	8.00
Present value of deferred consideration (₹ 6,00,000 x 0.75)	4.50
Total consideration	32.50

2. Calculation of net assets i.e. net worth at the acquisition date i.e. 1st April, 2024 (₹ in lakhs)

Share capital of S Ltd.	10.00
Retained Earnings of S Ltd.	2.50
Fair value increase due to identifiable asset - Brand	8.00
Net worth on acquisition date	20.50

3. Calculation of Goodwill at the acquisition date (1st April 2024) and 31st March 2025 (₹ in lakhs)

Purchase consideration (W.N.1)	32.50
Non-controlling interest at fair value (10,00,000 x 20% x 4)	8.00
	40.50
Less: Net worth (W.N.2)	(20.50)
Goodwill as on 1st April 2024	20.00
Less: Impairment @ 25%	(5.00)
Goodwill as on 31st March 2025	15.00

4. Calculation of Property, Plant and Equipment as on 31st March 2025 (₹ in lakhs)

A Ltd.		60.00
S Ltd.	30.00	
Less: Elimination of gain on mutual transaction (5.00 – 4.00)	(1.00)	
	29.00	
Add: Excess depreciation on gain on mutual transaction [(5.00 – 4.00)/10 years]	0.10	29.10
		89.10

5. Calculation of post-acquisition gain (after adjustment of impairment on goodwill) and value of NCI as on 31st March 2025 (₹ in lakhs)

		NCI (20%)	A Ltd. (80%)
Acquisition date balance (10,00,000 shares x 20% x ₹ 4)		8.00	
Closing balance of Retained Earnings	6.00		
Less: Pre-acquisition balance	(2.50)		
Post-acquisition Retained Earnings before adjustments	3.50		
Less: Amortisation of Brand (8/10 years)	(0.80)		
Add: Excess depreciation on PPE (1.00 x 1/10) (W.N.4)	0.10		
Post-acq. Retained Earnings after adjustments	2.80	0.56	2.24
Less: Impairment on Goodwill (20 x 25%) in 20:80		(1.00)	(4.00)
		7.56	(1.76)

6. Consolidated Retained Earnings as on 31st March 2025 (₹ in lakhs)

A Ltd.	15.00
Less: A Ltd.'s share of post-acquisition loss in S Ltd. (W.N.5)	(1.76)
Less: Finance cost on deferred consideration (W.N.7)	(0.45)
Less: Gain on sale of capital equipment (5.00 – 4.00)	(1.00)
Retained Earnings as on 31st March 2025	11.79

7. Calculation of value of deferred consideration as on 31st March 2025 (₹ in lakhs)

Value of deferred consideration as on 1st April 2024 (W.N.1)	4.50
Add: Finance cost for the year 2024-2025 (4.50 x 10%)	0.45
Deferred consideration as on 31st March 2025	4.95

QS2 · Step acquisition and control without consideration in consolidation

SM Ch 13 Unit 4 · Illustration 5: Step acquisition · Numerical

Illustration 5: Step acquisition

RS Ltd. holds 30% stake in PQ Ltd. This investment in PQ Ltd. is accounted as an investment in associate in accordance with Ind AS 28 and the carrying value of such investment in ₹ 100 lakh. RS Ltd. purchases the remaining 70% stake for a cash consideration of ₹ 700 lakh. The fair value of previously held 30% stake is measured to be ₹ 300 lakh on the date of acquisition of 70% stake. The value of PQ Ltd.'s identifiable net assets as per Ind AS 103 on that date is ₹ 800 lakh. How should RS Ltd. account for the business combination?

Solution — ICAI

Solution:

The amount of goodwill is calculated as follows:

Determination of goodwill	₹ lakh
Fair value of consideration transferred	700
Fair value of previously held equity interest	300
	1,000
Value of subsidiary's identifiable net assets as per Ind AS 103	(800)
Goodwill	**200**

RS Ltd. should record the difference between the fair value of previously held equity interest in the subsidiary and the carrying value of that interest in the profit or loss i.e. ₹ 200 lakh (300 – 100) should be recognised in profit or loss.

Journal Entry

Fair value method		₹ lakh Dr.	₹ lakh Cr.
Net identifiable assets	Dr.	800	
Goodwill	Dr.	200	
To Cash			700
To Investment in associate			100
To Gain on fair valuation of previously held equity interest			200

QS3 · Step acquisition and control without consideration in consolidation

PYQ Sep 2025 · Q1 · 14 marks · Numerical

R Limited is a subsidiary of Z Limited. Their respective balance sheet as at 31st March, 2025 is as under:

	Note No.	Z Ltd. (₹ in Lakhs)	R Ltd. (₹ in Lakhs)
I. Assets			
Non-current assets			
(i) Property, plant and equipment	4	450	248
(ii) Intangible assets	5	75	45
(iii) Investments		375	68
Current assets			
(i) Inventories		75	75
(ii) Financial assets: a. Trade receivables	6	110	120
b. Cash and cash equivalents		85	135
Total Assets		1,170	691
II. Equity and Liabilities			
Equity			
(i) Share Capital	1	720	360
(ii) Other Equity	2	315	225
Liabilities			
Current Liabilities			
(i) Financial liabilities: a. Bank overdraft		45	30
b. Trade payables	3	90	76
Total Equity and Liabilities		1,170	691

Notes to the Balance Sheet:

Note No.		Z Ltd. (₹ in Lakhs)	R Ltd. (₹ in Lakhs)
1.	Share capital: (i) Equity shares of ₹ 10 each	600	300
	(ii) 10% Preference shares of ₹ 10 each	120	60
		720	360
2.	Other equity: (i) General reserve	120	75
	(ii) Retained earnings	195	150
		315	225
3.	Trade payables: (i) Sundry creditors	90	69
	(ii) Bills payable	Nil	7
		90	76
4.	Property, plant and equipment: (i) Machinery	210	135
	(ii) Furniture and fixture	240	113
		450	248
5.	Intangible asset: Goodwill	75	45
6.	Trade receivables: (i) Sundry debtors	106	120
	(ii) Bills receivable	4	Nil
		110	120

Additional Information

(a) Z Ltd. acquired 12,00,000 equity shares of R Ltd. on 1st April, 2024 and further acquired 13,50,000 equity shares of R Ltd. on 1st January, 2025 at a cost of ₹ 1,44,00,000 and ₹ 1,55,25,000 respectively.

(b) The Preference share capital of R Ltd. includes nominal value of ₹ 22,50,000 held by Z Ltd. acquired on 1st April, 2024 at a cost of ₹ 54,00,000.

(c) The retained earnings of R Ltd. had a credit balance of ₹ 45,00,000 as on 1st April, 2024 and that of General Reserve on that date was ₹ 30,00,000.

(d) R Ltd. had paid dividend @ 12% on its paid-up equity share capital out of its retained earnings' balance on 1st April, 2024 for the year 2023-2024. The entire dividend received by Z Ltd. in August 2024 has been credited to its retained earnings.

(e) On 1st October, 2024, machinery of R Ltd. was overvalued by ₹ 15,00,000 for which necessary adjustments are to be made. The Company charges depreciation @ 10% on W.D.V. basis.

(f) Bills receivables of Z Ltd. were drawn upon R Ltd. out of which bills amounting to ₹ 3,00,000 have been discounted with bank.

You are required to prepare consolidated balance sheet (In ₹ without rounding off) of Z Ltd. and its subsidiary R Ltd. as on 31st March, 2025 with the assumption that the group has adopted fair value method to measures NCI and the fair value of each equity share of R Ltd. is ₹ 14 per share as on the date of acquisition of control by Z Ltd. and also on 31st March 2025. Ignore taxation and adjustment, if any, of preference dividend. (14 Marks)

Solution — ICAI

Consolidated Balance Sheet of Z Ltd. as at 31st March 2025

	Notes No.	₹
Assets		
Non-current assets		
(i) Property, plant and equipment	1	6,83,75,000
(ii) Intangible assets	1	75,00,000
(iii) Financial assets: a. Investments	1	89,75,000
Current assets		
(i) Inventories	1	1,50,00,000
(ii) Financial assets: a. Trade receivables	1	2,26,00,000
b. Cash and cash equivalents	1	2,20,00,000
Total		14,44,50,000
Equity and Liabilities		
Equity		
(i) Share capital	2	7,20,00,000
(ii) Other equity	3	3,79,96,875
(iii) Non-controlling interest (W.N.3)		1,07,53,125
Current Liabilities		
(i) Financial liabilities: a. Bank overdraft	1	75,00,000
b. Trade payables	1	1,62,00,000
Total		14,44,50,000

Notes to Accounts

Note 1: Assets and Liabilities

Particulars	Z Ltd.	R Ltd.	Adjustments	₹
Property, Plant and Equipment	4,50,00,000	2,48,00,000	-15,00,000 + 75,000	6,83,75,000
Intangible Assets	75,00,000	45,00,000	-45,00,000	75,00,000
Investments	3,75,00,000	68,00,000	-1,44,00,000 -1,55,25,000 -54,00,000	89,75,000
Inventories	75,00,000	75,00,000		1,50,00,000
Trade Receivables	1,10,00,000	1,20,00,000	-4,00,000	2,26,00,000
Cash and Cash Equivalents	85,00,000	1,35,00,000		2,20,00,000
Bank Overdraft	45,00,000	30,00,000		75,00,000
Trade Payables	90,00,000	76,00,000	-4,00,000	1,62,00,000

Note 2: Share Capital

	₹
60 lakhs Equity shares of ₹ 10 each, fully paid	6,00,00,000
10%, 12 lakhs Preference Share of ₹ 10 each fully paid	1,20,00,000
	7,20,00,000

Note 3: Consolidated Other Equity

		₹
General Reserve	W.N.1	1,29,56,250
Retained Earnings	W.N.1	2,17,78,125
Capital Reserve	W.N.2	32,62,500
		3,79,96,875

Working Notes:

1. Consolidated Other Equity (₹)

Particulars	General Reserve	Retained Earnings
Standalone - Z Ltd.	1,20,00,000	1,95,00,000
Add: Fair Value gain of existing stake [(12 lakh x 14) – 144 lakhs]		24,00,000
Less: Loss on cancellation of preference shares (54 lakhs - 22.5 lakhs)		(31,50,000)
Add: Share in post-acquisition Profits (W.N.4(i)) / (W.N.4(ii))	9,56,250	30,28,125
	1,29,56,250	2,17,78,125

2. Computation of bargain purchase i.e. capital reserve

(i) Computation of net worth (net identifiable assets) as on 1st January 2025

	₹
Share Capital	3,00,00,000
Pre-acquisition Retained Earnings (after adjusting downward revaluation of machinery)	1,00,12,500
Pre-acquisition General Reserve	63,75,000
Adjustment for Goodwill since it has no fair value	(45,00,000)
Net worth or Net Identifiable assets	4,18,87,500

(ii) Computation of bargain purchase i.e. capital reserve

	₹	₹
Net worth or Net identifiable assets		4,18,87,500
Purchase consideration (155.25 lakhs + 168 lakhs)	3,23,25,000	
NCI [30 lakhs shares x 15% x ₹ 14]	63,00,000	(3,86,25,000)
Bargain purchase (capital reserve)		32,62,500

3. Non-Controlling Interest A/c (at Fair Value)

	₹
NCI at fair value as on 1st January 2025	63,00,000
Post-acquisition General Reserve (W.N.4(i))	1,68,750
Post-acquisition Retained Earnings (W.N.4(ii))	5,34,375
Preference share capital (60 lakh – 22.50 lakh)	37,50,000
NCI at fair value as on 31st March 2025	1,07,53,125

4. Analysis of Other Equity

(i) General Reserve

		₹
Closing balance as on 31st March 2025		75,00,000
Less: Opening Balance (45.00 - 36.00)	pre	(30,00,000)
Net Profit transferred during the year		45,00,000
For 9 months till 31st December 2024	pre	33,75,000
For 3 months from 1st Jan. 2025 to 31st Mar. 2025	post	11,25,000
Total pre-acquisition reserve (30.00 lakh + 33.75 lakh)	pre	63,75,000
Share of Z Ltd. in post-acquisition reserve (85%)	post	9,56,250
Share of NCI in post-acquisition reserve (15%)	post	1,68,750

(ii) Retained Earnings (RE)

		₹	₹
Closing balance as on 31st March, 2025			1,50,00,000
Less: Opening balance		45,00,000	
Less: Dividend @12% (300 lakh x 12%)		(36,00,000)	
	Pre		(9,00,000)
During the year			1,41,00,000
For 9 months till 31st December, 2024	Pre		1,05,75,000
For 3 months from 1st Jan. 2025 to 31st Mar. 2025	Post		35,25,000
Add: Saving in Depreciation for 3 months (from 1st January 2025 to March 2025)			37,500
Net post-acquisition RE	Post		35,62,500
Total pre-acquisition RE (9.00 + 105.75)	Pre		1,14,75,000
Less: Downward revaluation of machinery			(15,00,000)
Add: Saving in depreciation for 3 months (from 1st October 2024 to 31st December 2024)			37,500
	Pre		1,00,12,500
Share of Z Ltd. in post-acquisition RE (85%)	Post		30,28,125
Share of NCI in post-acquisition RE (15%)	Post		5,34,375

Note:

1. At page 4 of the Question Paper under additional information (a) the second acquisition of 13,50,000 equity shares on 1st January 2025 has been done at ₹ 1,55,25,000. This implies that fair value per share is ₹ 11.50 (1,55,25,000/13,50,000). However, in the last para of the question at the same page, the fair value of R Ltd.'s share is mentioned as ₹ 14 per share on the date of acquisition.

The above solution has been drawn considering fair value of R Ltd.'s share as ₹ 14 per share for the purpose of computation of gain or loss on existing stake and bargain purchase.

However, alternatively one can draw a solution considering fair value of R Ltd.'s share as ₹ 11.5 per share for the purpose of computation of gain or loss on existing stake and bargain purchase only. In such a case, the amount of consolidated retained earnings and bargain purchase i.e. capital reserve will be ₹ 1,87,78,125 and ₹ 62,62,500 respectively.

2. Furthermore, the above solution has been drawn considering goodwill being residuary in nature, has no fair value. However, one may draw a solution considering goodwill as an identifiable asset.

QS4 · Uniform policies, reporting dates, potential voting rights in allocation

SM Ch 13 Unit 4 · Illustration 6: Uniform accounting policies · Theory

Illustration 6: Uniform accounting policies

PQR Ltd. is the subsidiary company of MNC Ltd. In the individual financial statements prepared in accordance with Ind AS, PQR Ltd. has adopted Straight-line method (SLM) of depreciation and MNC Ltd. has adopted written-down value method (WDV) for depreciating its property, plant and equipment. As per Ind AS 110, Consolidated Financial Statements, a parent shall prepare consolidated financial statements using uniform accounting policies for like transactions and other events in similar circumstances.

How will these property, plant and equipment be depreciated in the consolidated financial statements of MNC Ltd. prepared as per Ind AS?

Solution — ICAI

Solution:

As per paragraph 60 and 61 of Ind AS 16, 'Property, Plant and Equipment', a change in the method of depreciation shall be accounted for as a change in an accounting estimate as per Ind AS 8 *'Accounting Policies, Changes in Accounting Estimates and Errors'*.

Therefore, the selection of the method of depreciation is an accounting estimate and not an accounting policy.

The entity should select the method that most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. That method should be applied consistently from period to period unless there is a change in the expected pattern of consumption of those future economic benefits in separate financial statements as well as consolidated financial statements.

Therefore, there can be different methods of estimating depreciation for property, plant and equipment, if their expected pattern of consumption is different. The method once selected in the individual financial statements of the subsidiary should not be changed while preparing the consolidated financial statements.

Accordingly, in the given case, the property, plant and equipment of PQR Ltd. (subsidiary company) may be depreciated using straight line method and property, plant and equipment of parent company (MNC Ltd.) may be depreciated using written down value method, if such method closely reflects the expected pattern of consumption of future economic benefits embodied in the respective assets.

QSS · Uniform policies, reporting dates, potential voting rights in allocation

SM Ch 13 Unit 4 · Illustration 7: Uniform accounting policies · Theory

Illustration 7: Uniform accounting policies

H Limited has a subsidiary, S Limited and an associate, A Limited. The three companies are engaged in different lines of business.

These companies are using the following cost formulas for their valuation in accordance with Ind AS 2 'Inventories'.

Name of the Company	Cost formula used
H Limited	FIFO
S Limited, A Limited	Weighted average cost

Whether H Limited is required to value inventories of S Limited and A Limited also using FIFO formula in preparing its consolidated financial statements?

Solution — ICAI

Solution:

Paragraph 19 of Ind AS 110 states that a parent shall prepare consolidated financial statements using uniform accounting policies for like transactions and other events in similar circumstances.

Paragraph B87 of Ind AS 110 states that if a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that group member's financial

statements in preparing the consolidated financial statements to ensure conformity with the group's accounting policies.

It may be noted that the above mentioned paragraphs require an entity to apply uniform accounting policies "for like transactions and events in similar circumstances". If any member of the group follows a different accounting policy for like transactions and events in similar circumstances, appropriate adjustments are to be made in preparing consolidated financial statements.

Paragraph 5 of Ind AS 8 defines accounting policies as "the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements."

Ind AS 2 requires inventories to be measured at the lower of cost and net realisable value.

Paragraph 25 of Ind AS 2 states that the cost of inventories shall be assigned by using FIFO or weighted average cost formula. An entity shall use the same cost formula for all inventories having a similar nature and use to the entity. For inventories with a different nature or use, different cost formulas may be justified.

Elaborating on the requirements of paragraph 25, paragraph 26 of Ind AS 2 illustrates that inventories used in one operating segment may have a use to the entity different from the same type of inventories used in another operating segment. However, a difference in geographical location of inventories (or in the respective tax rules), by itself, is not sufficient to justify the use of different cost formulas.

Paragraph 36(a) of Ind AS 2 requires disclosure of "the accounting policies adopted in measuring inventories, including the cost formula used". Thus, as per Ind AS 2, the cost formula applied in valuing inventories is also an accounting policy.

As mentioned earlier, as per Ind AS 2, different cost formulas may be justified for inventories of a different nature or use. Thus, if inventories of S Limited and A Limited differ in nature or use from inventories of H Limited, then use of cost formula (weighted average cost) different from that applied in respect of inventories of H Limited (FIFO) in consolidated financial statements may be justified. In other words, in such a case, no adjustment needs to be made to align the cost formula applied by S Limited and A Limited to cost formula applied by H Limited.

QS6 · Uniform policies, reporting dates, potential voting rights in allocation

SM Ch 13 Unit 4 · Illustration 8: Different reporting dates · Theory

Illustration 8: Different reporting dates

How should assets and liabilities be classified into current or non-current in consolidated financial statements when parent and subsidiary have different reporting dates?

Solution — ICAI

Solution:

Paragraphs B92 and B93 of Ind AS 110 require subsidiaries with reporting period end different from parent, to provide additional information or details of significant transactions or events if it is impracticable to provide additional information to enable the parent entity to consolidate such financial information at group's reporting period end.

The appropriate classification of the assets and liabilities as current or non-current in the consolidated financial statements has to be determined by reference to the reporting period end of the group. Accordingly, when a subsidiary's financial statements are for a different reporting period end, it is necessary to review the subsidiary's balance sheet to ensure that items are correctly classified as current or non-current as at the end of the group's reporting period.

For example, a subsidiary with the financial year end of 31st December, 20X1 has a payable outstanding that is due for payment on 1st January, 20X3, and has accordingly classified it as non-current in its balance sheet. The financial year end of the parent's consolidated financial statements is 31st March 20X2. Due to the time lag, the subsidiary's payable falls due within 12 months from the end of the parent's reporting period.

Accordingly, in this case, the payable should be classified as a current liability in the consolidated financial statements of the parent because the amount is repayable within nine months of the end of the parent's reporting period.

Q57 · Uniform policies, reporting dates, potential voting rights in allocation

SM Ch 13 Unit 4 · Illustration 9: Different reporting dates · Theory

Illustration 9: Different reporting dates

A Limited, an Indian Company has a foreign subsidiary, B Inc. Subsidiary B Inc. has taken a long-term loan from a foreign bank, which is repayable after the year 20X9. However, during the year ended 31st March, 20X2, it breached one of the conditions of the loan, as a consequence of which the loan became repayable on demand on the reporting date. Subsequent to year end but before the approval of the financial statements, B Inc. rectified the breach and the bank agreed not to demand repayment and to let the loan run for its remaining period to maturity as per the original loan terms. While preparing its standalone financial statements as per IFRS, B Inc. has classified this loan as a current liability in accordance with IAS 1 'Presentation of Financial Statements'.

Whether A limited is required to classify such loan as current while preparing its consolidated financial statement under Ind AS?

Solution — ICAI

Solution:

As per paragraph 74 of Ind AS 1, where there is a breach of a material provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the entity does not classify the liability as current, if the lender agreed, after the reporting period and before the approval of the financial statements for issue, not to demand payment as a consequence of the breach.

The above position under Ind AS 1 differs from the corresponding position under IAS 1. As per paragraph 74 of IAS 1, when an entity breaches a provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the recognized on of the financial statements for issue, not to demand payment as a consequence of the breach. An entity classifies the liability as current because, at the end of the reporting period, it does not have an unconditional right to defer its settlement for at least twelve months after that date.

Accordingly, the loan liability recognized as current liability by B Inc. in its standalone financial statements prepared as per IFRS, should be aligned as per Ind AS in the consolidated financial statements of A Limited and should be classified as non-current in the consolidated financial statements of A Limited in accordance with Ind AS 1.

Q58 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 10: Dividend proposed by subsidiary · Numerical

Illustration 10: Dividend proposed by subsidiary

XYZ Ltd. purchased 80% shares of ABC Ltd. on 1st April, 20X1 for ₹ 1,40,000. The issued capital of ABC Ltd., on 1st April, 20X1 was ₹ 1,00,000 and the balance in the Statement of Profit and Loss was ₹ 60,000.

For the year ending on 31st March, 20X2 ABC Ltd. has earned a profit of ₹ 20,000 and later on it declared and paid a dividend of ₹ 30,000.

Assume, the fair value of non-controlling interest is same as the fair value on a per-share basis of the purchased interest#. All net assets are identifiable net assets, there are no non-identifiable assets. The fair value of identifiable net assets is ₹ 1,50,000.

Show by an entry how the dividend should be recorded in the books of XYZ Ltd. Whenever it is received after approval in the ensuing annual general meeting.

What is the amount of non-controlling interest as on 1st April, 20X1 (using Fair value Method) and 31st March, 20X2? Also pass a journal entry on the acquisition date.

(#This assumption is only for illustration purpose. However, in practical scenarios the fair value of NCI will be different than the fair value of the controlling interest.)

Solution — ICAI

Solution:

XYZ Ltd.'s share of dividend ₹ 30,000 x 80% = ₹ 24,000.

		₹	
		Dr.	Cr.
Bank	Dr.	24,000	
To Profit & Loss A/c			24,000

Calculation of Non- controlling interest and Journal Entry

NCI on 1st April 20X1 = 20% of the fair value on a pre-share basis of the purchased interest.

= 20% x ₹ 1,75,000 (W.N.1) = ₹ 35,000

The journal entry recorded on the acquisition date for the 80% interest acquired is as follows:

		₹	
		Dr.	Cr.
Identifiable net assets	Dr.	1,50,000	
Goodwill (Balancing Figure)	Dr.	25,000	
To Cash			1,40,000
To NCI			35,000

Working Note 1

Fair value on a per-share basis of the purchased interest / Fair Value of Identifiable net assets

= consideration transferred x 100/80

= 1,40,000 x 100/80 = ₹ 1,75,000

NCI on 31st March 20X2 = NCI on 31st March 20X1 + Share of NCI in Profits of 20X1- 20X2

= 35,000 + (20,000 X 20%) = ₹ 39,000

Note: Dividend as per Ind AS will be recognized only when approval by the shareholder is received in the annual general meeting.

QS9 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 11: Dividend proposed by subsidiary · Numerical

Illustration 11: Dividend proposed by subsidiary

From the facts given in the above illustration, calculate the amount of non-controlling interest as on 1st April, 20X1 (Using NCI's proportionate share method) and 31st March, 20X2.

Also pass a journal entry on the acquisition date.

Solution — ICAI

Solution:

NCI on 1st April 20X1 = 20% of the fair value on identifiable assets.

= 20% x ₹ 1,50,000 = ₹ 30,000

The journal entry recorded on the acquisition date for the 80% interest acquired is as follows:

		₹	
		Dr.	Cr.
Identifiable net assets	Dr.	1,50,000	
Goodwill (Balancing Figure)	Dr.	20,000	
To Cash			1,40,000
To NCI			30,000

NCI on 31st March 20X2 = NCI on 31st March 20X1 + Share of NCI in Profits of 20X1- 20X2

= 30,000 + (20,000 X 20%) = ₹ 34,000

Note: Dividend as per Ind AS will be recognized only when approval by the shareholder is received in the annual general meeting.

Q60 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 12: Dividend proposed by subsidiary · Numerical

Illustration 12: Dividend proposed by subsidiary

The facts are same as in the above illustration except that the fair value of net identifiable asset is ₹ 1,60,000. Calculate NCI and Pass Journal Entry on the acquisition date

Note: Use fair value method for 31st March 20X1.

Solution — ICAI

Solution:

Calculation of Non- controlling interest and Journal Entry

NCI on 1st April 20X1 = 20% of the fair value on a pre-share basis of the purchased interest.

= 20% x ₹ 1,75,000 (W.N.1) = ₹ 35,000

The journal entry recorded on the acquisition date for the 80% interest acquired is as follows:

		₹	
		Dr.	Cr.
Identifiable net assets	Dr.	1,60,000	
Goodwill (Balancing Figure)	Dr.	15,000	
To Cash			1,40,000
To NCI			35,000

Working Note

Fair value on a per-share basis of the purchased interest / Fair Value of Identifiable net assets

= consideration transferred x 100/80

= 1,40,000 x 100/80 = ₹ 1,75,000

NCI on 31st March 20X2 = NCI on 31st March 20X1 + Share of NCI in Profits of 20X1- 20X2

= 35,000 + (20,000 x 20%) = ₹ 39,000

Note: Dividend as per Ind AS will be recognized only when approval by the shareholder is received.

Q61 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 13: Dividend proposed by subsidiary · Numerical

Illustration 13: Dividend proposed by subsidiary

The facts are same as in the above illustration except that the fair value of net identifiable asset is ₹ 1,60,000. Calculate NCI and Pass Journal Entry on the acquisition date. Use NCI's proportionate share method for 31st March 20X1.

Solution — ICAI

Solution:

NCI on 1st April 20X1 = 20% of the fair value on identifiable assets.

= 20% x ₹ 1,60,000 = ₹ 32,000

The journal entry recorded on the acquisition date for the 80% interest acquired is as follows:

		₹	
		Dr.	Cr.
Identifiable net assets	Dr.	1,60,000	
Goodwill (Balancing Figure)	Dr.	12,000	
To Cash			1,40,000
To NCI			32,000

NCI on 31st March 20X2 = NCI on 31st March 20X1 + Share of NCI in Profits of 20X1- 20X2

= 32,000 + (20,000 X 20%) = ₹ 36,000

Note: Dividend as per Ind AS will be recognized only when approval by the shareholder is received.

Q62 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 14: Elimination of intra-group profit on sale of assets by a subsidiary to its · Numerical

Illustration 14: Elimination of intra-group profit on sale of assets by a subsidiary to its parent

A parent owns 60% of a subsidiary. The subsidiary sells some inventory to the parent for ₹ 35,000 and makes a profit of ₹ 15,000 on the sale. The inventory is in the parent's balance sheet at the year end. Examine the treatment of intra-group transaction and pass the necessary journal entry.

Solution — ICAI

Solution:

The parent must eliminate 100% of the unrealized profit on consolidation. The inventory will, therefore, be carried in the group's balance sheet at ₹ 20,000 (₹ 35,000 - ₹ 15,000). The consolidated income statement will show a corresponding reduction in profit of ₹ 15,000.

		₹' 000	
		Dr.	Cr.
Consolidated revenue	Dr.	35	
To Cost of sales			20
To Inventory			15

The reduction of group profit of ₹ 15,000 is allocated between the parent company and non-controlling interest in the ratio of their interests 60% and 40%.

Q63 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 15: Elimination of intra-group profit on sale of assets by a parent to its · Numerical

Illustration 15: Elimination of intra-group profit on sale of assets by a parent to its subsidiary

In the above illustration, assume that it is the parent that makes the sale. The parent owns 60% of a subsidiary. The parent sells some inventory to the subsidiary for ₹35,000 and makes a profit of ₹ 15,000. On the sale the inventory is in the subsidiary's balance sheet at the year end. Examine the treatment of intra-group transaction and pass the necessary journal entry.

Solution — ICAI

Solution:

The parent must eliminate 100% of the unrealized profit on consolidation. The inventory will, therefore, be carried in the group's balance sheet at ₹ 20,000 (₹ 35,000 - ₹ 15,000). The consolidated income statement will show a corresponding reduction in profit of ₹ 15,000.

The double entry on consolidation is as follows:

		₹' 000	
		Dr.	Cr.
Consolidated revenue	Dr.	35	
To Cost of sales			20
To Inventory			15

In this case, since it is the parent that has made the sale, the reduction in profit of ₹ 15,000 is allocated entirely to the parent company.

Q64 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 16: Inventories of subsidiary out of purchases from the parent · Numerical

Illustration 16: Inventories of subsidiary out of purchases from the parent

A Ltd, a parent company sold goods costing ₹ 200 lakh to its 80% subsidiary B Ltd. at ₹240 lakh. 50% of these goods are lying at its stock. B Ltd. has measured this inventory at cost i.e. at ₹120 lakh. Show the necessary adjustment in the consolidated financial statements (CFS). Assume 30% tax rate.

Solution — ICAI

Solution:

A Ltd. shall reduce the inventories of ₹ 120 lakh of B Ltd., by ₹ 20 lakh in CFS. This will increase expenses and reduce consolidated profit by ₹ 20 lakh. It shall also create deferred tax asset of ₹ 6 lakh since accounting base of inventories (₹ 100 lakh) is lower than its tax base (₹ 120 lakh).

Q65 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 17: Inventories of parent out of purchases from the subsidiary · Theory

Illustration 17: Inventories of parent out of purchases from the subsidiary

Ram Ltd., a parent company purchased goods costing ₹100 lakh from its 80% subsidiary Shyam Ltd. at ₹ 120 lakh. 50% of these goods are lying at the godown. Ram Ltd. has measured this inventory at cost i.e. at ₹ 60 lakh. Show the necessary adjustment in the consolidated financial statements (CFS). Assume 30% tax rate.

Solution — ICAI

Solution:

Ram Ltd. shall reduce the inventories of ₹ 60 lakh of Shyam Ltd., by ₹ 10 lakh in CFS. This will increase expenses and reduce consolidated profit by ₹ 10 lakh. It shall also create deferred tax asset of ₹ 3 lakh since accounting base of inventories (₹ 50 lakh) is lower than its tax base (₹ 60 lakh).

Q66 · Intra-group balances, transactions and unrealised profits

SM Ch 13 Unit 4 · Illustration 18: Property, plant and equipment (PPE) sold by parent to subsidiary · Numerical

Illustration 18: Property, plant and equipment (PPE) sold by parent to subsidiary

A Ltd. (which is involved in the business of selling capital equipment) a parent company sold a capital equipment costing ₹ 100 lakh to its 80% subsidiary B Ltd. at ₹ 120 lakh. The capital equipment is recorded as PPE by B Ltd. The useful life of the PPE on the date of transfer was 10 years. Show the necessary adjustment in the consolidated financial statements (CFS).

Solution — ICAI

Solution:

A Ltd. shall reduce the value of PPE of ₹ 120 lakh of B Ltd., by ₹ 20 lakh in CFS. This will increase expenses and reduce consolidated profit by ₹ 20 lakh. Further, A Ltd. should also reduce the depreciation charge of B Ltd. to the extent of value of PPE reduced as above. Hence, A Ltd. should reduce the depreciation by ₹ 2 lakh (₹ 20 lakh ÷ 10 years). Further, the sales and cost of goods sold recorded by parent A Ltd. shall also be eliminated.

The double entry on consolidation is as follows:

		₹' lakh	
		Dr.	Cr.
Consolidated revenue	Dr.	120	
To Cost of sales			100
To PPE			18
To Depreciation			2

Q67 · Intra-group balances, transactions and unrealised profits

ICAI Practice Questions · Ch 13 Q1

1. Airtel Telecommunications Ltd. owns 100% share capital of Airtel Infrastructures Pvt. Ltd. On 1 April 20X1 Airtel Telecommunications Ltd. acquired a building from Airtel Infrastructures Pvt. Ltd., for ₹ 11,00,000 that the group plans to use it as its new headquarters office.

   Airtel Infrastructures Pvt. Ltd. had purchased the building from a third party on 1 April 20X0 for ₹ 10,25,000. At that time the building was assessed to have a useful life of 21 years and a residual value of ₹ 5,00,000. On 1 April 20X1 the carrying amount of the building was ₹ 10,00,000 in Airtel Infrastructures Pvt. Ltd.'s individual accounting records.

   The estimated remaining useful life of the building measured from 1 April 20X1 is 20 years and the residual value of the building is now estimated at ₹ 3,50,000. The method of depreciation is straight-line.

   Pass necessary accounting entries in individual and consolidation situations.

Solution — ICAI

1. Journal Entries in Airtel Infrastructures Pvt. Ltd.

1.	Assets (Building) A/c	Dr.	10,25,000	
	To Cash			10,25,000
2.	Depreciation (P/L) A/c	Dr.	25,000	
	To Asset (Building)			25,000
3.	Cash A/c	Dr.	11,00,000	
	To Asset (Building)			10,00,000
	To Gain on sale of asset (P/L)			1,00,000

Journal Entries in Airtel Telecommunications Ltd.

1.	Asset (Building) A/c	Dr.	11,00,000	
	To Cash			11,00,000
2.	Depreciation (P/L) A/c	Dr.	37,500	
	To Assets (Building)			37,500

Journal entry for consolidation:

1.	Gain on sale of asset (P/L)	Dr.	1,00,000	
	To Asset (Building) A/c			1,00,000
2.	Asset (Building) A/c	Dr.	5,000 (WN 1)	
	To Consolidated P&L			5,000

Working Note:

To be depreciated on original value	(10,00,000-3,50,000)/20	32,500
Depreciation charged	(11,00,000-3,50,000)/20	37,500
Reversal of depreciation		**5,000**

Particulars	Consolidated financial statements	Individual Financial statements	
		Airtel Telecommunications Ltd.	Airtel Infrastructures Pvt. Ltd.
31st March 20X1	10,00,000	0	10,00,000
1st April 20X1 purchase sale	0	11,00,000	(10,00,000)
Depreciation	(32,500)	(37,500)	0
31st March 20X2	9,67,500	10,62,500	0

Q68 · Intra-group balances, transactions and unrealised profits

ICAI Practice Questions · Ch 13 Q11

11. Entity A owns all the share capital of Entity B and controls Entity B. On 1st April, 20X2, Entity A acquired a building from Entity B, for ₹ 600 lakhs, that the group plans to use as its new head office. Entity B had purchased the building from a third party on 1st April, 20X1 for ₹ 525 lakhs. At that time, the building was assessed to have a useful life of 21 years and a residual value of Nil. On 1st April, 20X2, the carrying amount of the building was ₹ 500 lakhs in Entity B's individual financial statements. The estimated remaining useful life of the building measured from 1st April, 20X2 is 20 years and the residual value of the building is still Nil. The method of depreciation followed is straight-line.

Pass necessary Journal Entries for recording the above transactions in the books of Entity B, Entity A and the Group's general ledger.

Solution — ICAI

11. **Journal Entries in the books of Entity B**

		₹ in lakhs	₹ in lakhs
1st April, 20X1			
Building A/c (Property, plant and equipment)	Dr.	525	
To Bank A/c			525
(To recognise the purchase of the building for cash)			
31st March, 20X2			
Depreciation (Refer W.N.)	Dr.	25	
To Building A/c (Property, plant and equipment)			25
(To recognise depreciation on building for its use in the year 20X1-20X2)			
1st April, 20X2			
Bank A/c	Dr.	600	
To Building A/c (Property, plant and equipment)			500
To Profit on sale of Building			100
(To recognise the sale of the building for cash)			

Journal Entries in the books of Entity A

		₹ in lakhs	₹ in lakhs
1st April, 20X2			
Building A/c (Property, plant and equipment)	Dr.	600	
To Bank A/c			600
(To recognise the purchase of a building for cash from Entity B)			
31st March, 20X3			
Depreciation A/c (Refer W.N.)	Dr.	30	
To Building A/c (Property, plant and equipment)			30
(To recognise depreciation on building for its use in the year 20X2-20X3)			

Journal Entries in the books of Group

		₹ in lakhs	₹ in lakhs
31st March, 20X3			
Profit on sale of Building	Dr.	100	
To Building A/c (Property, plant and equipment)			100
(To eliminate the effects of the intragroup transaction)			
Building A/c (Property plant and equipment)	Dr.	5	
To Depreciation A/c (W.N.)			5
(To eliminate the effects of the intragroup transaction)			

Working Note:

Computation of Depreciation and its Adjustment in the Group's Financial Statements

	In Individual financial statements of Entity B / Entity A	For adjustment in the books of Group
Particulars	₹ in lakhs	₹ in lakhs
Cost of Building on 1st April, 20X1 **for Entity B**	525	
Useful life	21 years	
Depreciation per year (₹ 525 lakhs / 21 years)	25	25
Cost of Building on 1st April, 20X2 **for Entity A**	600	
Useful life	20 years	
Depreciation per year (₹ 600 lakhs / 20 years)	30	30
Reversal of depreciation in the books **of Group**		(5)

Q69 · Intra-group balances, transactions and unrealised profits

RTP Nov 2023 · Q3 · Numerical

3. Entity A owns all the share capital of Entity B and controls Entity B. On 1st April, 20X2, Entity A acquired a building from Entity B, for ₹ 600 lakhs, that the group plans to use as its new head office. Entity B had purchased the building from a third party on 1st April, 20X1 for ₹ 525 lakhs. At that time, the building was assessed to have a useful life of 21 years and a residual value of Nil. On 1st April, 20X2, the carrying amount of the building was ₹ 500 lakhs in Entity B's individual financial statements. The estimated remaining useful life of the building measured from 1st April, 20X2 is 20 years and the residual value of the building is still Nil. The method of depreciation followed is straight-line.

Pass necessary Journal Entries for recording the above transactions in the books of Entity B, Entity A and the Group's general ledger.

Solution — ICAI

3. Journal Entries in the books of Entity B

₹ in lakhs ₹ in lakhs

1st April, 20X1

Building A/c (Property, plant and equipment) Dr.	525
To Bank A/c	525

(To recognise the purchase of the building for cash)

31st March, 20X2

Depreciation (Refer W.N.) Dr. 25

To Building A/c (Property, plant and equipment) 25

(To recognise depreciation on building for its use in the

year 20X1-20X2)

1st April, 20X2

Bank A/c Dr.	600
To Building A/c (Property, plant and equipment)	500
To Profit on sale of Building	100

(To recognise the sale of the building for cash)

Journal Entries in the books of Entity A

₹ in lakhs ₹ in lakhs

1st April, 20X2

Building A/c (Property, plant and equipment) Dr.	600
To Bank A/c	600

(To recognise the purchase of a building for cash from

Entity B)

31st March, 20X3

Depreciation A/c (Refer W.N.) Dr. 30

To Building A/c (Property, plant and equipment) 30

(To recognise depreciation on building for its use in the

year 20X2-20X3)

Journal Entries in the books of Group

₹ in lakhs ₹ in lakhs

31st March, 20X3

Profit on sale of Building Dr. 100

To Building A/c (Property, plant and equipment) 100

(To eliminate the effects of the intragroup transaction)

Building A/c (Property plant and equipment) Dr.	5
To Depreciation A/c (W.N.)	5

(To eliminate the effects of the intragroup transaction)

Working Note:

Computation of Depreciation and its Adjustment in the Group's Financial

Statements

In Individual For

financial adjustment

statements of in the books

Entity B/Entity A of Group

Particulars ₹ in lakhs ₹ in lakhs

Cost of Building on 1st April, 20X1 for Entity B 525

Useful life 21 years

Depreciation per year (₹ 525 lakhs / 21 years)	25	25
Cost of Building on 1st April, 20X2 for Entity A		600
Useful life 20 years		
Depreciation per year (₹ 600 lakhs / 20 years)	30	30
Reversal of depreciation in the books of		(5)

Group

Study-material link: variant of SM Illustration 18 (Ch 13 unit 4, PPE sold by parent to subsidiary)

Q70 · Intra-group balances, transactions and unrealised profits

RTP May 2026 · Q6 · Numerical

6. Following is the Balance Sheets of M ltd. and N Ltd. of two different

dates:

M Ltd. N Ltd.

(As on (As on

31.3.20X2) 31.12.20X1)

₹ ₹

ASSETS

Non-current Assets

Property, Plant and Equipment 6,50,000 4,05,000

Financial Assets

Investments:

40,000 shares in N Ltd.	8,00,000	–
1,000 Debentures in N Ltd.	1,50,000	–
Current assets:		
Inventory	2,00,000	3,50,000
Financial Assets		
Trade Receivables	1,50,000	2,65,000
Cash and cash equivalents	80,000	1,05,000
Total	20,30,000	11,25,000
EQUITY AND LIABILITIES		
Equity Shares of ₹ 10 each	10,00,000	5,00,000
Retained Earnings	4,50,000	2,05,000

Non-current Liabilities

Financial Liabilities

13% Debentures (₹ 100 each) – 3,00,000

Current liabilities

Financial Liabilities

Trade Payables	3,80,000	80,000
Other liabilities	2,00,000	40,000
Total	20,30,000	11,25,000

On 5th January 20X2, certain inventory of N Ltd. costing ₹ 20,000 were completely destroyed by fire. The insurance company paid 75% of the claim. On 20th January 20X2, M Ltd. sold goods to N Ltd. costing ₹ 1,50,000 at an invoice price of cost plus 20%. 50% of those goods were resold by N Ltd. to M Ltd. within 31st March 20X2 (these were then sold by M Ltd. to a third party before 31st March, 20X2). As on 31st March, 20X2, N Ltd. owes ₹ 60,000 to M Ltd. in respect of those goods. Pre-acquisition profits of N Ltd. on the date of acquisition was ₹ 75,000.

NCI is measured as per fair value method on the date of acquisition. Fair value of the share of N Ltd. as on the date of acquisition is ₹ 18 per share.

Prepare Consolidated Balance Sheet as on 31st March, 20X2 after making necessary adjustments in the Balance sheet of N Ltd. Ignore Notes to Accounts

Solution — ICAI

6. Consolidated Balance Sheet of M Ltd and its subsidiary N Ltd.

as at 31st March 20X2

I. ASSETS

A. Non-Current Assets

1. Property, Plant and Equipment (6,50,000 + 10,55,000 4,05,000)

2. Goodwill (W.N.7)	4,05,000
B. Current Assets	
1. Inventories (W.N.8)	6,05,000

2. Financial Assets

a. Trade Receivables (W.N.9) 3,55,000

b. Cash and cash equivalents

(80,000+1,05,000+15,000 Insur. claim) 2,00,000

Total 26,20,000

II. EQUITY AND LIABILITIES

A. Equity

1. Equity Share Capital

Issued, subscribed and fully paid up

1,00,000 equity shares of ₹ 10 each 10,00,000

2. Other Equity

Retained Earnings (W.N.10)	5,09,000
3. Non-Controlling Interest (W.N.6)	2,11,000

B. Liabilities

1. Non-Current Liabilities

a. Financial Liabilities

Borrowings [13% Debentures (2,000 × 2,00,000

100)]

2. Current liabilities

a. Financial Liabilities

Trade Payables (W.N.9)	4,60,000
b. Other Current liabilities	2,40,000
(2,00,000 + 40,000)	
Total	26,20,000

Working Notes:

1. Shareholding pattern

Particulars Number of % of holding

Shares

M Ltd.	40,000	80%
Non-Controlling interest	10,000	20%

2. Analysis of Retained Earnings of N Ltd.

₹

Closing balance as on 31.3.20X1	2,05,000
Pre-acquisition Profits	(75,000)
Post-acquisition Profits	1,30,000
Less: Loss of inventory by fire (W.N.3)	(5,000)
Add: Profit from sale of goods purchased from	
M Ltd. (W.N.4)	30,000
	1,55,000

3. Loss of inventory by fire

₹

Cost of goods destroyed by fire	20,000
Less: Insurance Claim received (20,000 × 75/100)	(15,000)
Loss of inventory by fire	5,000

4. Profit from Sale of goods

₹

Cost of goods sold by M Ltd.	1,50,000
RREEVVIISSIIOONN TTEESSTT PPAAPPEERR S	
Add: Profit by M Ltd. (1,50,000 × 20%)	30,000
Invoice price of M Ltd. (i.e., Cost to N Ltd.)	1,80,000
Cost of goods sold back by N Ltd. to M Ltd.	90,000
(1,80,000 × 50%)	
Net payable (given in the question)	60,000
Sale value of goods sold by N Ltd. to M Ltd.	1,20,000

(1,80,000 – 60,000)

Profit on sale by N Ltd. to M Ltd. (1,20,000 – 90,000) 30,000

5. Apportionment of profits of N Ltd.

Particulars Pre- Post-

acquisition acquisition

Retained Earnings (W.N.3)	75,000	1,55,000
M Ltd –	80%	1,24,000
NCI –	20%	31,000

6. Non-Controlling Interest as per fair value method

Particulars

₹

Share capital / Fair Value of shares held by NCI 1,80,000

(10,000 Shares × ₹ 18)

Share of post-acquisition retained earnings (W.N.5) 31,000

Total 2,11,000

7. Computation of Goodwill

Particulars

₹

Cost of investment	8,00,000
Add: Fair Value of Shares held by Non-Controlling	
Interest (10,000 Shares × ₹ 18)	1,80,000
	9,80,000

Less: Fair value of net identifiable assets or net worth

Share capital of N Ltd. 5,00,000

Pre-acquisition retained earnings	75,000	(5,75,000)
Goodwill	4,05,000	

8. Computation of Inventory to be shown in CBS

Particulars

₹

Aggregate value of inventory (2,00,000 + 5,50,000

3,50,000)

Add: Invoice price of goods purchased from M Ltd 1,80,000

Less: Cost of goods resold to M Ltd	(90,000)
Less: Loss of inventory by fire	(20,000)
	6,20,000
Less: Unrealised profit (90,000 x 20/120)	(15,000)
Net Inventory for CBS	6,05,000

9. Computation of Consolidated Trade Receivables and Trade

Payables

Particulars Trade Trade

Receivables Payables

₹ ₹

Aggregate balance	4,15,000	4,60,000
Less: Inter-company owings	(60,000)	(60,000)
Net for CBS	3,55,000	4,60,000

10. Retained Earnings for CBS

Particulars

₹

M Ltd. Balances 4,50,000

Add: M Ltd.'s share of post-acquisition profits 1,24,000

(W.N.5)

Less: Unrealised profit on inventory (W.N.8) (15,000)

Less: Loss on cancellation of debentures

RREEVVIISSIIOONN TTEESSTT PPAAPPEERR S

[1,50,000 - (1,000 x 100)]	(50,000)
Net for CBS	5,09,000

Q71 · Intra-group balances, transactions and unrealised profits

MTP Sep 2025 S-II · Part II Q1 · Numerical

1. DEF Ltd. acquired 100% ordinary shares of ₹ 100 each of XYZ Ltd. on 1st October 20X1.

On 31st March, 20X2 the summarised Balance Sheets of the two companies were as

given below:

DEF Ltd. XYZ Ltd.

Assets

Property Plant Equipment

Land & Buildings	15,00,000	18,00,000
Plant & Machinery	24,00,000	13,50,000
Investment in XYZ Ltd.	34,00,000	-
Inventory	12,00,000	3,64,000
Financial Assets		
Trade Receivable	5,98,000	4,00,000
Cash	1,45,000	80,000
Total	92,43,000	39,94,000
Equity & Liabilities		
Equity Capital (Shares of ₹ 100 each fully paid)	50,00,000	20,00,000
Other Equity		
Other reserves	24,00,000	10,00,000
Retained Earnings	5,72,000	8,20,000
Financial Liabilities		
Bank Overdraft	8,00,000	-
Trade Payable	4,71,000	1,74,000
Total	92,43,000	39,94,000

The retained earnings of XYZ Ltd. showed a credit balance of ₹ 3,00,000 on 1st April 20X1 out of which a dividend of 10% was paid on 1st November; DEF Ltd. has recognised the dividend received to profit or loss account; Fair Value of P&M as on 1st October 20X1 was ₹ 20,00,000. The rate of depreciation on plant & machinery is 10%.

Following are the increases on comparison of Fair value as per respective Ind AS with Book value as on 1st October 20X1 which are to be considered while consolidating the Balance Sheets:

Liabilities Amount Assets Amount

Trade Payables 1,00,000 Land & Buildings 10,00,000

Inventories 1,50,000

Notes:

I. It may be assumed that the inventory is still unsold on balance sheet date and the Trade Payables are also not yet settled.

II. Also assume that the Other Reserves of both the companies as on 31st March 20X2 are the same as was on 1st April 20X1.

III. All fair value adjustments have not yet started impacting consolidated post-acquisition profits.

Prepare consolidated Balance Sheet as at 31st March, 20X2. (14 Marks)

Solution — ICAI

1. Consolidated Balance Sheet of DEF Ltd. and its subsidiary, XYZ Ltd.

as at 31st March, 20X2

Particulars Note No. ₹

I. Assets

(1) Non-current assets

(i) Property Plant & Equipment	1	86,00,000
(2) Current Assets		
(i) Inventories	2	17,14,000

(ii) Financial Assets

(a) Trade Receivables	3	9,98,000
(b) Cash & Cash equivalents	4	2,25,000
Total Assets		1,15,37,000

II. Equity and Liabilities

(1) Equity

(i) Equity Share Capital	5	50,00,000
(ii) Other Equity	6	49,92,000

(2) Current Liabilities

(i) Financial Liabilities

(a) Trade Payables	7	7,45,000
(b) Short term borrowings	8	8,00,000
Total Equity & Liabilities		1,15,37,000

Notes to Accounts

₹

1. Property Plant & Equipment

Land & Building	43,00,000	
Plant & Machinery	43,00,000	86,00,000

2. Inventories

DEF Ltd.	12,00,000	
XYZ Ltd.	5,14,000	17,14,000

3. Trade Receivables

DEF Ltd.	5,98,000	
XYZ Ltd.	4,00,000	9,98,000

4. Cash & Cash equivalents

DEF Ltd.	1,45,000	
XYZ Ltd.	80,000	2,25,000

7. Trade payable

DEF Ltd.	4,71,000	
XYZ Ltd.	2,74,000	7,45,000

8. Shorter-term borrowings

Bank overdraft 8,00,000

Statement of Changes in Equity:

1. Equity share Capital

Balance at the beginning Changes in Equity share Balance at the end of

of the reporting period capital during the year the reporting period

50,00,000 0 50,00,000

2. Other Equity

Share Equity Reserves & Surplus Total

application component

Capital Retained Other

money of

reserve Earnings Reserves

pending compound

allotment financial

instrument

Balance at the

beginning 0 24,00,000 24,00,000

Total

comprehensive

income for the

year	0	5,72,000	5,72,000
Dividends	0	(2,00,000)	(2,00,000)

Total

comprehensive

income

attributable to

parent	0	3,35,000	3,35,000
Gain on Bargain			
purchase	18,85,000		18,85,000

Balance at the

end of reporting

period 18,85,000 7,07,000 24,00,000 49,92,000

It is assumed that there exists no clear evidence for classifying the acquisition of the subsidiary as a bargain purchase and, hence, the bargain purchase gain has been recognized directly in capital reserve. If, however, there exists such a clear evidence, the bargain purchase gain would be recognized in other comprehensive income and then accumulated in capital reserve. In both the cases, closing balance of capital reserve will be ₹ 18,85,000.

Working Notes:

1. Adjustments of Fair Value

The Plant & Machinery of XYZ Ltd. would stand in the books at ₹ 14,25,000 on 1st October, 20X1, considering only six months' depreciation on ₹ 15,00,000 total depreciation being ₹ 1,50,000. The value put on the assets being

₹ 20,00,000 there is an appreciation to the extent of ₹ 5,75,000.

2. Acquisition date profits of XYZ Ltd. ₹

Reserves on 1.4.20X1	10,00,000
Profit & Loss Account Balance on 1.4.20X1	3,00,000

Profit for 20X2:

Total ₹ 8,20,000 less ₹ 1,00,000 (3,00,000 – 2,00,000) i.e.

₹ 7,20,000; for 6 months i.e. up to 1.10.20X1 3,60,000

Total Appreciation including machinery appreciation (10,00,000

1,50,000 + 5,75,000 – 1,00,000)	16,25,000
Share of DEF Ltd.	32,85,000

3. Post-acquisition profits of XYZ Ltd. ₹

Profit after 1.10.20X1 [8,20,000-1,00,000]x 6/12 3,60,000

Less: 10% depreciation on ₹ 20,00,000 for 6 months less

depreciation already charged for 2nd half of 20X1-20X2

on ₹ 15,00,000 (1,00,000-75,000)	(25,000)
Share of DEF Ltd.	3,35,000

4. Consolidated total comprehensive income ₹

DEF Ltd.

Retained earnings on 31.3.20X2	5,72,000
Less: Retained earnings as on 1.4.20X1	(0)
Profits for the year 20X1-20X2	5,72,000
Less: Elimination of intra-group dividend	(2,00,000)
Adjusted profit for the year	
XYZ Ltd.	3,72,000
Adjusted profit attributable to DEF Ltd. (W.N.3)	3,35,000
Consolidated profit or loss for the year	7,07,000

5. No Non-controlling Interest as 100% shares of XYZ Ltd. are held by DEF Ltd.

6. Gain on Bargain Purchase ₹

Amount paid for	34,00,000	
20,000 shares Par value of shares	20,00,000	
DEF Ltd.'s share in acquisition date profits of XYZ Ltd.	32,85,000	(52,85,000)
Gain on Bargain Purchase	18,85,000	

7. Value of Plant & Machinery ₹

DEF Ltd.	24,00,000	
XYZ Ltd.	13,50,000	
Add: Appreciation on 1.10. 20X1	5,75,000	
	19,25,000	
Add: Depreciation for 2nd half charged on pre-		
revalued value	75,000	
Less: Depreciation on ₹ 20,00,000 for 6 months	(1,00,000)	19,00,000
	43,00,000	

8. Consolidated retained earnings ₹

DEF Ltd. XYZ Ltd. Total

As given	5,72,000	8,20,000	13,92,000
Consolidation Adjustments:			
(i) Elimination of pre-acquisition	(6,60,000)		
element [3,00,000 + 3,60,000]	0	(6,60,000)	
(ii) Elimination of intra-group dividend	(2,00,000)	2,00,000	0
(iii) Impact of fair value adjustments	0	(25,000)	(25,000)
Adjusted retained earnings consolidated	3,72,000	3,35,000	7,07,000

Assumptions:

1. Investment in XYZ Ltd is carried at cost in the separate financial statements of DEF Ltd.

2. Appreciation of ₹ 10 lakhs in land & buildings is entirely attributable to land element only.

3. Depreciation on plant and machinery is on WDV method.

4. Acquisition-date fair value adjustment to inventories of XYZ Ltd. existing at the balance sheet date does not result in need for any write-down.

Study-material link: variant of SM Test Your Knowledge Q4 (Ch 13 unit 8, DEF Ltd / XYZ Ltd), same facts

Q72 · Intra-group balances, transactions and unrealised profits

MTP Sep 2025 S-II · Q3(b) · Numerical

(b) Global Limited, an Indian company acquired on 30th September, 20X1, 70% of the share capital of Mark Limited, an entity registered as company in Germany. The functional currency of Global Limited is Rupees and its financial year end is 31st March, 20X2.

(i) The fair value of the net assets of Mark Limited was 23 million EURO and the purchase consideration paid is 17.5 million EURO on 30th September, 20X1.

The exchange rates as at 30th September, 20X1 was ₹ 82 / EURO and at 31st March, 20X2 was ₹ 84 / EURO.

Determine the value at which the goodwill has to be recognised in the financial statements of Global Limited as on 31st March, 20X2, when NCI is valued at proportionate share of fair value of net assets of Mark Limited.

(ii) Mark Limited sold goods costing 2.4 million EURO to Global Limited for 4.2 million EURO during the year ended 31st March, 20X2. The exchange rate on the date of purchase by Global Limited was ₹ 83 / EURO and on 31st March, 20X2 was ₹ 84 / EURO. The entire goods purchased from Mark Limited are unsold as on 31st March, 20X2.

Determine the unrealised profit to be eliminated in the preparation of consolidated financial statements. (6 Marks)

Solution — ICAI

(b) (i) Para 47 of Ind AS 21 requires that goodwill arose on business combination shall be expressed in the functional currency of the foreign operation and shall be translated at the closing rate in accordance with paragraphs 39 and 42. In this case the amount of goodwill in EURO will be as follows:

Net identifiable asset Dr. 23 million

Goodwill (bal. fig.) Dr. 1.4 million

To Bank 17.5 million

To NCI (23 x 30%) 6.9 million

Thus, goodwill on reporting date would be 1.4 million EURO x ₹ 84

= ₹ 117.6 million

(ii)

Particulars EURO in million

Sale price of Inventory	4.20
Unrealised Profit [a]	1.80

Exchange rate as on date of purchase of Inventory [b] ₹ 83 / Euro

Unrealized profit to be eliminated [a x b] ₹ 149.40 million

As per para 39 of Ind AS 21 “income and expenses for each statement of profit and loss presented (ie including comparatives) shall be translated at exchange rates at the dates of the transactions”.

In the given case, purchase of inventory is an expense item shown in the statement profit and loss. Hence, the exchange rate on the date of purchase of inventory is taken for calculation of unrealized profit which is to be eliminated while preparation of financial statements.

Q73 · Intra-group balances, transactions and unrealised profits

MTP May 2026 S-II · Q3(b) Either · Numerical

(b) Either

M Ltd is engaged in the business of manufacturing of bottles for pharmaceutical companies and non-pharmaceutical companies. It has a wholly owned subsidiary, G Ltd, which is engaged in the business of pharmaceuticals. G Ltd purchases the pharmaceutical bottles from its parent company. The demand of G Ltd is very high and hence to cater to its shortfall, G Ltd also purchases the bottles from other companies. Purchases are made at the competitive prices.

M Ltd sold pharmaceuticals bottles to G Ltd for Euro 12 lacs on

1st February, 20X1. The cost of these bottles was ₹ 830 lacs in the books of M Ltd at the time of sale. At the year-end i.e. 31st March, 20X1, all these bottles were lying as closing stock and payable with G Ltd.

Euro is the functional currency of G Ltd. while Indian Rupee is the functional currency of M Ltd.

Following additional information is available:

Exchange rate on 1st February, 20X1 1 Euro = ₹ 83

Exchange rate on 31st March, 20X1 1 Euro = ₹ 85

Provide the accounting treatment for the above in books of M Ltd. and G Ltd. Also show its impact on consolidated financial statements. Support your answer by Journal entries, wherever necessary, in the books of M Ltd. (6 Marks)

Solution — ICAI

(b) Either

Accounting treatment in the books of M Ltd (Functional Currency Rupees (₹))

M Ltd will recognize sales of ₹ 996 lacs (12 lacs Euro x 83)

Profit on sale of inventory =₹ 996 lacs – ₹ 830 lacs = ₹ 166 lacs.

On balance sheet date, receivables from G Ltd. will be translated at closing rate i.e. 1 Euro = ₹ 85. Therefore, unrealised forex gain will be recorded in standalone profit and loss of ₹ 24 lacs. (i.e. (85 - 83) x 12 Lacs)

Journal Entries

₹ ₹

(in Lacs) (in Lacs)

G Ltd. A/c Dr.	996
To Sales	996
(Being revenue recorded on initial recognition)	
G Ltd. A/c Dr.	24

To Foreign exchange difference (unrealised) 24

(Being foreign exchange difference recorded at year end)

Accounting treatment in the books of G Ltd (Functional currency EURO)

G Ltd will recognize purchases on 1st February, 20X1 of Euro 12 lacs which will also be its closing stock at year end.

Journal Entry

(in Euros) (in Euros)

Purchases Dr. 12 lakhs

To M Ltd. 12 lakhs

Accounting treatment in the consolidated financial statements

Receivable and payable in respect of above-mentioned sale / purchase

between M Ltd and G Ltd will get eliminated.

The closing stock of G Ltd will be recorded at lower of cost or NRV.

Euro (in lacs) Rate ₹ (in lacs)

Cost	12	83	996
NRV (Assumed Same)	12	85	1020

Therefore, no write off is required.

The amount of closing stock of ₹ 996 lacs includes two components–

Cost of inventory for ₹ 830 lacs; and

Profit element of ₹ 166 lacs; and

At the time of consolidation, the second element amounting to ₹ 166 lacs will

be eliminated from the closing stock.

Journal Entry

₹ ₹

(in Lacs) (in Lacs)

Consolidated P&L A/c Dr.	166
To Inventory	166

(Being profit element of intragroup transaction

eliminated)

Q74 · Intra-group balances, transactions and unrealised profits

PYQ May 2022 · Q3(c) · 6 marks · Numerical

GEM Ltd., an Indian company acquired 75% of the share capital of VEW Ltd. on 30th September, 2020, an entity registered as company in USA. The functional currency of GEM Ltd. is Rupees and its financial year end on 31st March, 2021. The functional currency of VEW Ltd. is USD.

(i) On 30th September, 2020, the fair value of the Net Assets of VEW Ltd. was USD 10 million and the purchase consideration paid was USD 7.8 million. The exchange rate as at 30th September, 2020 was ₹ 71.5 per USD and at 31st March, 2021 was ₹ 73.5 per USD.

(ii) VEW Ltd. sold goods costing USD 1.9 million to GEM Ltd. for USD 3.1 million during the year ended 31st March, 2021. The exchange rate on the date of purchase by GEM Ltd. was ₹ 70.5 per USD and on 31st March, 2021 was ₹ 73.5 per USD. 50% of the goods purchased by GEM Ltd. from VEW Ltd. were unsold as at 31st March, 2021.

For (i) determine the value at which the Goodwill should be recognized in the financial statements of GEM Ltd. as at 31st March, 2021.

For (ii) determine the unrealized profit to be eliminated in the preparation of consolidated financial statements of GEM Ltd. for the year ending on 31st March, 2021. (6 Marks)

Solution — ICAI

(c) (i) Para 47 of Ind AS 21 requires that goodwill arose on business combination shall be expressed in the functional currency of the foreign operation and shall be translated at the closing rate in accordance with paragraphs 39 and 42.

When NCI is measured at proportionate share of net assets, the amount of goodwill will be as follows:

	Dr.	Cr.
Net identifiable asset Dr.	USD 10 million	
Goodwill (bal. fig.) Dr.	USD 0.30 million	
To Bank (Purchase consideration)		USD 7.80 million
To NCI (10 x 25%)		USD 2.50 million

Thus, goodwill on reporting date in the books of GEM Ltd. would be = USD 0.30 million x ₹ 73.50 = ₹ 22.05 million

Alternatively, when NCI is measured at fair value, the amount of goodwill will be as follows:

	Dr.	Cr.
Net identifiable asset Dr.	USD 10 million	
Goodwill (bal. fig.) Dr.	USD 0.40 million	
To Bank (Purchase consideration)		USD 7.80 million
To NCI (7.8/75*25)		USD 2.60 million

Thus, goodwill on reporting date in the books of GEM Ltd. would be = USD 0.40 million x ₹ 73.50 = ₹ 29.40 million

(ii) Calculation of unrealised profit

Particulars	USD in million
Sale price of inventory	3.10
Cost of inventory	1.90
Profit earned by VEW Ltd.	1.20
Unrealised profit (1.20 x 50%) [a]	0.60
Exchange rate as on date of purchase of inventory [b]	₹ 70.50 / USD

Unrealized profit to be eliminated [a x b] = USD 0.60 million x ₹ 70.50 = ₹ 42.30 million

As per para 39 of Ind AS 21, income and expenses for each statement of profit and loss presented (ie including comparatives) shall be translated at exchange rates at the dates of the transactions. In the given case, purchase of inventory is an expense item shown in the statement profit and loss. Hence, the exchange rate on the date of purchase of inventory is taken for calculation of unrealized profit which is to be eliminated while preparation of consolidated financial statements.

Q75 · Attributing profit, OCI and losses to NCI

SM Ch 13 Unit 4 · Illustration 19: Attribution of profit / loss to non-controlling interest · Theory

Illustration 19: Attribution of profit / loss to non-controlling interest

A Ltd. acquired 70% equity shares of B Ltd. on 1.4.20X1 at cost of ₹ 10,00,000 when B Ltd. had an equity share capital of ₹ 10,00,000 and other equity of ₹ 80,000. In the four consecutive years, B Ltd. fared badly and suffered losses of ₹ 2,50,000, ₹ 4,00,000, ₹ 5,00,000 and ₹ 1,20,000 respectively. Thereafter in 20X5-20X6, B Ltd. experienced turnaround and registered an annual profit of ₹ 50,000. In the next two years i.e. 20X6-20X7 and 20X7-20X8, B Ltd. recorded annual profits of ₹ 1,00,000, and ₹ 1,50,000 respectively. Show the non-controlling interests and goodwill at the end of each year for the purpose of consolidation. Assume that the assets are at fair value. Ignore impairment of goodwill.

Solution — ICAI

Solution:

₹

Year	Profit / (Loss)	Non-controlling interest (30%)	Additional consolidated P&L (Dr.) / Cr.	Goodwill
At the time of acquisition in 20X1		3,24,000 (W.N.)		2,44,000(W.N.)
20X1-20X2	(2,50,000)	(75,000)	(1,75,000)	2,44,000
		2,49,000		
20X2-20X3	(4,00,000)	(1,20,000)	(2,80,000)	2,44,000
		1,29,000		
20X3-20X4	(5,00,00)	(1,50,000)	(3,50,000)	2,44,000
		(21,000)		
20X4-20X5	(1,20,000)	(36,000)	(84,000)	2,44,000
		(57,000)		
20X5-20X6	50,000	15,000	35,000	2,44,000
		(42,000)		
20X6-20X7	1,00,000	30,000	70,000	2,44,000
		(12,000)		
20X7-20X8	1,50,000	45,000	1,05,000	2,44,000
		33,000		

Working note:

Calculation of non-controlling interest:	₹
Share capital	10,00,000
Other equity	80,000
Total	10,80,000
NCI (30% x 10,80,000)	3,24,000

NCI is measured at NCI's proportionate share of the acquiree's identifiable net assets. (Considering the carrying amount of share capital & other equity to be fair value)

Calculation of Goodwill:	₹
Consideration	10,00,000
Non-controlling interest	3,24,000
Less: Net Assets	(10,80,000)
Goodwill	2,44,000

Q76 · Attributing profit, OCI and losses to NCI

SM Ch 13 Unit 4 · Illustration 20: Non-controlling interest and goodwill · Theory

Illustration 20: Non-controlling interest and goodwill

From the following data, determine in each case:

1) *Non-controlling interest at the date of acquisition (using proportionate share method) and at the date of consolidation*

2) *Goodwill or Gain on bargain purchase.*

3) *Amount of holding company's share of profit in the Consolidated Balance Sheet assuming holding company's own retained earnings to be ₹2,00,000 in each case*

Case	Subsidiary Company	% of shares owned	Cost	Date of Acquisition 1.04.20X1		Consolidation date 31.03.20X2	
				Share Capital [A]	Retained earnings [B]	Share Capital [C]	Retained earnings [D]
Case 1	A	90%	1,40,000	1,00,000	50,000	1,00,000	70,000
Case 2	B	85%	1,04,000	1,00,000	30,000	1,00,000	20,000
Case 3	C	80%	56,000	50,000	20,000	50,000	20,000
Case 4	D	100%	1,00,000	50,000	40,000	50,000	56,000

The company has adopted an accounting policy to measure Non-controlling interest at NCI's proportionate share of the acquiree's identifiable net assets. It may be assumed that the fair value of acquiree's net identifiable assets is equal to their book values.

Solution — ICAI

Solution:

(1) Non-controlling Interest = the equity in a subsidiary not attributable, directly or indirectly, to a parent. Equity is the residual interest in the assets of an entity after deducting all its liabilities i.e. in this given case Share Capital + Balance in Statement of Profit & Loss (Assuming it to be the net aggregate value of identifiable assets in accordance with Ind AS)

	% shares owned by NCI [E]	Non-controlling interest as at the date of acquisition [E] X [A + B]	Non-controlling interest as at the date of consolidation [E] X [C + D]
Case 1 [100-90]	10%	15,000	17,000
Case 2 [100-85]	15%	19,500	18,000
Case 3 [100-80]	20%	14,000	14,000
Case 4 [100-100]	Nil	Nil	Nil

(2) Calculation of Goodwill or Gain on bargain purchase

	Consideration [G]	Non-controlling interest [H]	Net Identifiable assets [A] + [B] = [I]	Goodwill [G] + [H] – [I]	Gain on bargain Purchase [I] – [G] – [H]
Case 1	1,40,000	15,000	1,50,000	5,000	-

Case 2	1,04,000	19,500	1,30,000	-	6,500
Case 3	56,000	14,000	70,000	Nil	Nil
Case 4	1,00,000	0	90,000	10,000	-

(3) On 31.03.20X2 in each case the following amount shall be added or deducted from the balance of holding Co.'s Retained earnings.

	% Share Holding [K]	Retained earnings as on 31.03.20X1 [L]	Retained earnings as on consolidation Date [M]	Retained earnings post-acquisition [N] = [M] – [L]	Amount to be added/(deducted) from holding's Retained earnings [O] = [K] X [N]
1	90%	50,000	70,000	20,000	18,000
2	85%	30,000	20,000	(10,000)	(8,500)
3	80%	20,000	20,000	Nil	Nil
4	100%	40,000	56,000	16,000	16,000

Q77 · Attributing profit, OCI and losses to NCI

PYQ Sep 2025 · MCQ 15 · 2 marks · Theory

15. Zebra Ltd. holds 80% stake of issued equity share capital of Camel Ltd. and 25% of issued irredeemable preference shares. This acquisition was made on 1st October, 2024. Issued equity and preference share capital of Camel Ltd. as on 31st March, 2025 is ₹ 30 crores and ₹ 9 crores respectively; and closing balance of retained earnings as at 31st March, 2025 is ₹ 60 crores. All the book values of assets and liabilities were same as their fair values except for an asset having a life of 6 years as on the date of acquisition of control. The carrying amount of the asset was ₹ 6 crores on date of acquisition and its fair value was ₹ 9 crores. The asset is depreciated on SLM basis.

Based on aforesaid information, compute non-controlling interest in Camel Ltd. in the consolidated financial statement of Zebra Ltd. You need to undertake adjustment of depreciation on the asset arising due to its fair valuation.

Solution — ICAI

(A) ₹ 12.75 Crores

(B) ₹ 24.70 Crores

(C) ₹ 24.75 Crores

(D) ₹ 12.70 Crores

Answer key: No Correct Option

Q78 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 21: Sale of 20% interest in a wholly- owned subsidiary · Numerical

Illustration 21: Sale of 20% interest in a wholly- owned subsidiary

Entity P sells a 20% interest in a wholly owned subsidiary to outside investors for ₹ 100 lakh in cash. The carrying value of the subsidiary's net assets is ₹ 300 lakh, including goodwill of ₹ 65 lakh from the subsidiary's initial acquisition.

Pass journal entries to record the transaction.

Solution — ICAI

Solution:

The accounting entry in the consolidated financial statements recorded on the disposition date for the 20% interest sold as follows:

		₹ lakh	
		Dr.	Cr.
Cash	Dr.	100	
To Non-controlling interest (20% x 300 lakh)			60
To Other Equity (Gain on sale of interest in subsidiary)			40

As per para B96 of Ind AS 110, where proportion of the equity of NCI changes, then group shall adjust controlling and non-controlling interest and any difference between amount by which NCI (60 lakh) is adjusted and fair value of consideration received (100 lakh) to be attributed to parent in other equity ie. 40 lakh.

Q79 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 22: Acquisition of additional stake in a subsidiary · Numerical

Illustration 22: Acquisition of additional stake in a subsidiary

Entity A acquired 60% of entity B two years ago for ₹ 6,000. At that time, entity B's fair value was ₹ 10,000. It had net assets with a fair value of ₹ 6,000 (which is assumed same as book value). Goodwill of ₹ 2,400 was recorded (being ₹ 6,000 – (60% x ₹ 6,000). On 1 October 20X0, entity A acquires a further 20% interest in entity B, taking its holding to 80%. At that time the fair value of entity B is ₹ 20,000 and entity A pays ₹ 4,000 for the 20% interest. At the time of the purchase the fair value of entity B's net assets is ₹ 12,000 and the carrying amount of the non- controlling interest is ₹ 4,000.

Pass journal entries to record the transaction.

Solution — ICAI

Solution:

The accounting entry recorded for the purpose of the non- controlling interest is as follows:

		₹	
		Dr.	Cr.
Non-controlling interest (4,000 ÷ 40 x 20)	Dr.	2,000	
Other Equity (Loss on acquisition of interest in subsidiary)	Dr.	2,000	
To Cash			4,000

As per para B96 of Ind AS 110, where proportion of the equity of NCI changes, then group shall adjust controlling and non-controlling interest and any difference between amount by which NCI (₹ 2,000) is adjusted and fair value of consideration received (₹ 4,000) to be attributed to parent in other equity i.e. ₹ 2,000.

Note: This illustration mentions two types of fair values:

- Fair value of Entity B, and
- Fair value of net assets of Entity B

It should be borne in mind that the two fair values are different concepts. The former is used only for the purpose of determining the consideration to be paid for purchase of equity interests. It can be seen that for the initial stake purchase, Entity A paid 60% of the "fair value of Entity B" i.e. 60% of ₹ 10,000 = ₹ 6,000. Further, for the second purchase transaction, Entity A paid 20% of the "fair value of Entity B" i.e. 20% of ₹ 20,000 = ₹ 4,000.

The latter i.e. fair value of net assets of Entity B is used for the purpose of accounting. It can be seen that the goodwill arising on acquisition of Entity B is determined as difference between consideration paid i.e. ₹ 6,000 and Entity A's share in fair value of net assets of Entity B on date of acquisition i.e. 60% of ₹ 6,000 = ₹ 6,000 minus ₹ 3,600 = ₹ 2,400. The fair value of net assets after the date of acquisition (i.e. ₹ 12,000 in this illustration) is not relevant for accounting purposes.

Q80 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 23: Acquisition of additional stake in a subsidiary · Numerical

Illustration 23: Acquisition of additional stake in a subsidiary

A Ltd. acquired 10% additional shares of its 70% subsidiary. The following relevant information is available in respect of the change in non-controlling interest on the basis of Balance Sheet finalized as at 1.4.20X0:

	₹ in thousand
Separate financial statements	***As at 31.3.20X0***
Investment in subsidiary (70% interest) – at cost	*14,000*
Purchase price for additional 10% interest	*2,600*
Consolidated financial statements	
Non-controlling interests (30%)	*6,600*
Consolidated profit & loss account balance	*2,000*
Goodwill	*600*

The reporting date of the subsidiary and the parent is 31 March 20X0. Prepare note showing adjustment for change of non-controlling interest. Should goodwill be adjusted for the change?

Solution — ICAI

Solution:

The following accounting entry is passed:

		₹ '000	
		Dr.	Cr.
Non-controlling interest (6,600 ÷ 30 x 10)	Dr.	2,200	
Other Equity (Loss on acquisition of interest in subsidiary)	Dr.	400	
To Cash			2,600

As per para B96 of Ind AS 110, where proportion of the equity of NCI changes, then group shall adjust controlling and non-controlling interest and any difference between amount by which NCI (₹ 22,00,000) is adjusted and fair value of consideration received (₹ 26,00,000) to be attributed to parent in other equity i.e. ₹ 4,00,000. Consolidated goodwill is not adjusted.

Q81 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 24: Acquisition of additional stake in a subsidiary · Numerical

Illustration 24: Acquisition of additional stake in a subsidiary

A Ltd. acquired 70% shares of B Ltd. on 1.4.20X0 when the fair value of net assets of B Ltd. was ₹ 200 lakh. During 20X0-20X1, B Ltd. made profit of ₹ 100 lakh. Individual and consolidated balance sheets as at 31.3.20X1 are as follows: *₹ lakh*

	A	B	Group
Assets			
Goodwill			10
PPE	627	200	827
Financial assets:			
Investments	150		
Cash	200	30	230
Other current assets	23	70	93
	1,000	**300**	**1160**
Equity and liability			
Share capital	200	100	200
Other equity	800	200	870
Non-controlling interest			90
	1,000	**300**	**1160**

A Ltd. acquired another 10% stake in B Ltd. on 1.4.20X1 at ₹ 32 lakh. The proportionate carrying amount of the non-controlling interest is ₹ 30 lakh. Show the individual and consolidated balance sheet of the group immediately after the change in non-controlling interest.

Solution — ICAI

Solution:

₹ lakh

	A	B	Workings	Group
Assets				
Goodwill				10
PPE	627	200		827
Financial assets:				
Investments (150+32)	182			
Cash* (200-32)	168	30	(200+30)-32)	198
Other current assets	23	70		93
	1,000	300		1,128
Equity and liability				
Share capital	200	100		200
Other equity	800	200	870-2	868
Non-controlling interest			90-30	60
	1,000	300		1,128

*Cash has been adjusted through Individual Balance Sheet.

Journal Entry

		₹ lakh	
		Dr.	Cr.
Non-controlling interest (90 ÷ 30 x 10)	Dr.	30	
Other Equity (Loss on acquisition of interest in subsidiary)	Dr.	2	
To Cash			32

Q82 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 25: Reduction in interest in subsidiary · Numerical

Illustration 25: Reduction in interest in subsidiary

Amla Ltd. purchased a 100% subsidiary for ₹10,00,000 at the end of 20X1 when the fair value of the subsidiary Lal Ltd.'s net asset was ₹8,00, 000.

The parent sold 40% of its investment in the subsidiary in March 20X4 to outside investors for ₹9,00,000. The parent still maintains a 60% controlling interest in the subsidiary. The carrying value of the subsidiary's net assets is ₹18,00,000 (including net assets of ₹16,00,000 & goodwill of ₹2,00,000).

Calculate gain / loss on sale of interest in subsidiary as at 31st March 20X4.

Solution — ICAI

Solution:

As per Ind AS 110, a change in ownership that does not result in a loss of control is equity transaction. The identifiable net assets (including goodwill) remain unchanged and any difference between the amount by which the non-controlling interest is recorded (including the non-controlling interest portion of goodwill) and a fair value of the consideration received is recognized directly in equity and attributed to the controlling interest. For disposals that do not result in the loss of control, the change in the non-controlling interest is recorded at its proportionate interest of the carrying value of the subsidiary.

Gain on the sale of the investment of ₹ 5,00,000 in parent's separate financial statements calculated as follows:

	₹' 000
Sale proceeds	900
Less: Cost of investment in subsidiary (10,00,000 x 40%)	(400)
Gain on sale in the parent's separate financial statements	500

As discussed above, the group's consolidated income statement for 31st March 20X4 would show no gain on the sale of the interest in the subsidiary. Instead, the difference between the fair value of the consideration received and the amount by which the non-controlling interest is recorded is recognized directly in equity.

	₹' 000
Sale proceeds	900
Less: Recognition of non-controlling interest (18,00,000 x 40%)	(720)
Credit to other equity	180

The entry recognized in the consolidated accounts under Ind AS 110 is:

		₹' 000	
		Dr.	Cr.
Cash	Dr.	900	
To Non-controlling interest			720
To Other Equity (Gain on sale of interest in subsidiary)			180

The difference between the gain in the parent's income statement and the increase reported in the group's consolidated equity is ₹ 3,20,000. This difference represents the share of post-acquisition profits retained in the subsidiary ₹ 3,20,000 [(that is, 18,00,000 – 10,00,000) x 40%] that have been reported in the group's income statement up to the date of sale.

Q83 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 26: Reduction in interest in subsidiary · Numerical

Illustration 26: Reduction in interest in subsidiary

Entity A sells 30% interest in its wholly-owned subsidiary to outside investors in an arm 's length transaction for ₹ 500 crore in cash and retains a 70% controlling interest in the subsidiary. At the time of the sale, the carrying value of the subsidiary's net assets in the consolidated financial statements of Entity A is ₹ 1,300 crore, additionally, there is a goodwill of ₹ 200 crore that arose on the subsidiary's acquisition. Entity A initially accounted for NCI representing present ownership interests in the subsidiary at fair value and it recognises subsequent changes in NCI in the subsidiary at NCI's proportionate share in aggregate of net identifiable assets and associated goodwill. How should Entity A account for the transaction?

Solution — ICAI

Solution:

As per paragraph 23 of Ind AS 110, changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions (i.e. transactions with owners in their capacity as owners). Thus, changes in ownership interest that do not result in loss of control do not impact goodwill associated with the subsidiary or the statement of profit and loss.

Paragraph B96 of Ind AS 110 states that when the proportion of the equity held by non-controlling interests changes, an entity shall adjust the carrying amounts of the controlling and non-controlling interests to reflect the changes in their relative interests in the subsidiary. The entity shall recognise directly in equity any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received, and attribute it to the owners of the parent.

Thus, at the time of sale of 30% of its equity interest, consolidated financial statements include an amount of ₹ 1,500 crore in respect of the subsidiary. Accordingly, in the present case, the accounting entry in the consolidated financial statements on the date of sale of the 30% interest would be as follows:

		₹ in crore	
		Dr.	Cr.
Cash	Dr.	500	
To Non-controlling interest (1,500 x 30%)			450
To Other Equity (Gain on sale of interest in subsidiary)			50

Q84 · Changes in ownership without loss of control

SM Ch 13 Unit 4 · Illustration 27: Treatment of goodwill and non-controlling interest where a parent holds an · Theory

Illustration 27: Treatment of goodwill and non-controlling interest where a parent holds an indirect interest in a subsidiary

A parent company (entity A) has an 80% owned subsidiary (entity B). Entity B makes an acquisition for cash of a third company (entity C), which it then wholly owns. Goodwill of ₹ 1,00,000 arises on the acquisition of entity C.

How should that goodwill be reflected in consolidated financial statement of entity A? Should it be reflected as

a) 100% of the goodwill with 20% then being allocated to the non- controlling interest, or

b) 80% of the goodwill that arises?

Solution — ICAI

Solution:

Assuming that entity B prepares consolidated financial statements, 100% of the goodwill would be recognized on the acquisition of entity C in those financial statements. Entity A should reflect 100% of goodwill and allocate 20% to the non- controlling interest in its consolidated financial statements. This is because the non-controlling interest is a party to the transaction and goodwill forms part of the net assetssubgroupub group (in this case, the sub group being the group headed by entity B).

Q85 · Chain holding and sub-subsidiaries

SM Ch 13 Unit 4 · Illustration 29: Chain holding · Numerical

Illustration 29: Chain holding

Prepare the consolidated Balance Sheet as at 31st March, 20X2 of a group of companies comprising P Limited, S Limited and SS Limited. Their balance sheets on that date are given below: *₹ in lakhs*

	P Ltd.	S Ltd.	SS Ltd.
Assets			
Non-Current Assets			
Property, Plant and Equipment	320	360	300
Investment:			
32 lakh shares in S Ltd.	340		
24 lakh shares in SS Ltd.		280	
Current Assets			
Inventories	220	70	50
Financial Assets			
Trade Receivables	260	100	220
Bills Receivables	72	-	30
Cash in hand and at Bank	228	40	40
	1440	850	640
Equity and Liabilities			
Shareholder's Equity			
Share Capital (₹ 10 per share)	600	400	320
Other Equity			
Reserves	180	100	80
Retained earnings	160	50	60
Current Liabilities			
Financial Liabilities			
Trade Payables	470	230	180
Bills Payable			
P Ltd.		70	
SS Ltd.	30	-	-
	1440	**850**	**640**

The following additional information is available:

(i) P Ltd. holds 80% shares in S Ltd. and S Ltd. holds 75% shares in SS Ltd. Their holdings were acquired on 30th September, 20X1.

(ii) The business activities of all the companies are not seasonal in nature and therefore, it can be assumed that profits are earned evenly throughout the year.

(iii) On 1st April, 20X1 the following balances stood in the books of S Ltd. and SS Ltd.

₹ in Lakhs

	S Limited	SS Limited
Reserves	80	60
Retained earnings	20	30

(iv) ₹ 10 lakhs included in the inventory figure of S Ltd, is inventory which has been purchased from SS Ltd at cost plus 25%.

(v) The parent company has adopted an accounting policy to measure non-controlling interest at fair value (quoted market price) applying Ind AS 103. Assume market prices of S Ltd and SS Ltd are the same as respective face values.

Solution — ICAI

Solution:

Consolidated Balance Sheet of the Group as at 31st March, 20X2

Particulars	Note No.	₹ in lakh
ASSETS		
Non-current assets		
Property, plant and equipment	1	980
Current assets		
(a) Inventory	2	338
(b) Financial assets		
Trade receivable	3	580
Bills receivable	4	2
Cash and cash equivalent	5	308
Total assets		**2,208**

EQUITY & LIABILITIES		
Equity attributable to owners of parent		
Share Capital		600
Other Equity		
Reserve (W.N.5)		194
Retained Earnings (W.N.5)		179.8
Capital Reserve (W.N.3)		188
Non-controlling interests (W.N.4)		166.2
Total equity		**1,328**
LIABILITIES		
Non-current liabilities		Nil
Current liabilities		
(a) Financial Liabilities		
(i) Trade payables	6	880
Total liabilities		880
Total equity and liabilities		**2,208**

Notes to Accounts (₹ in lakh)

1.	**Property Plant & Equipment**		
	P Ltd.	320	
	S Ltd.	360	
	SS Ltd.	300	980
2.	**Inventories**		
	P Ltd.	220	
	S Ltd. (70-2)	68	
	SS Ltd.	50	338
3.	**Trade Receivable**		
	P Ltd.	260	
	S Ltd.	100	
	SS Ltd.	220	580
4.	**Bills Receivable**		
	P Ltd. (72-70)	2	
	SS Ltd. (30-30)	-	2

5.	**Cash & Cash equivalents**		
	P Ltd.	228	
	S Ltd.	40	
	SS Ltd.	40	308
6.	**Trade Payables**		
	P Ltd.	470	
	S Ltd.	230	
	SS Ltd.	180	880

Working Notes:

1. Analysis of Reserves and Surplus (₹ in lakh)

		S Ltd.		SS Ltd.
Reserves as on 31.3.20X1		80		60
Increase during the year 20X1-20X2	20		20	
Increase for the half year till 30.9.20X1		10		10
Balance as on 30.9.20X1 (A)		**90**		**70**
Total balance as on 31.3.20X2		100		80
Post-acquisition balance		**10**		**10**
Retained Earnings as on 31.3.20X1		20		30
Increase during the year 20X1-20X2	30		30	
Increase for the half year till 30.9.20X1		15		15
Balance as on 30.9.20X1 (B)		**35**		**45**
Total balance as on 31.3.20X2		50		60
Post-acquisition balance		15		15
Less: Unrealised Gain on inventories (10 ÷ 125 x 25)		-		(2)
Post-acquisition balance for CFS		**15**		**13**
Total balance on the acquisition date ie. 30.9.20X1 (A+B)		**125**		**115**

2. Calculation of Effective Interest of P Ltd. in SS Ltd.

Acquisition by P Ltd. In S Ltd. = 80%

Acquisition by S Ltd. In SS Ltd. = 75%

Acquisition by Group in SS Ltd. (80% x 75%) = 60%

Non-controlling Interest = 40%

3. Calculation of Goodwill / Capital Reserve on the acquisition

	S Ltd.	SS Ltd.
Investment or consideration	340	(280 x 80%) 224
Add: NCI at Fair value		
(400 x 20%)	80	
(320 x 40%)	-	128
	420	352
Less: Identifiable net assets (Share Capital + Increase in the Reserves and Surplus till acquisition date)	(400+125) (525)	(320+115) (435)
Capital Reserve	105	83
Total Capital Reserve (105 + 83)	**188**	

4. Calculation of Non-controlling Interest

	S Ltd.	SS Ltd.
At Fair Value (See Note 3)	80	128
Add: Post Acquisition Reserves (See Note 1)	(10 x 20%) 2	(10 x 40%) 4
Add: Post Acquisition Retained Earnings (See Note 1)	(15 x 20%) 3	(13 x 40%) 5.2
Less: NCI share of investment in SS Ltd.	(280 x 20%) (56)*	-
	29	137.2
Total (29 + 137.2)	166.2	

***Note:** The non-controlling interest in S Ltd. will take its proportion in SS Ltd. So, they have to bear their proportion in the investment by S Ltd. (in SS Ltd.) also.

5. Calculation of Consolidated Other Equity

	Reserves	Retained Earnings
P Ltd.	180	160
Add: Share in S Ltd.	(10 x 80%) 8	(15 x 80%) 12
Add: Share in SS Ltd.	(10 x 60%) 6	(13 x 60%) 7.8
	194	**179.8**

Note: It is assumed date the sale of goods by SS Ltd. is done after acquisition of shares by S Ltd. Alternatively, it may be assumed that the sale has either been done before acquisition of shares by S Ltd. in SS Ltd. or sale has been throughout the year. Accordingly, the treatment for unrealized gain may vary.

Q86 · Chain holding and sub-subsidiaries

SM Ch 13 · Test Your Knowledge Q2 · Theory

2. M Limited holds 90% interest in subsidiary N Limited. N Limited holds 25% interest in an associate O Limited. As at 31 March 20X1, the net assets of O Limited was ₹ 300 lakhs including profit of ₹ 40 lakhs for the year ended 31 March 20X1. Calculate how the investment in O Limited will be accounted in the consolidated financial statements of M Limited?

Solution — ICAI

2. Since N Limited is a subsidiary of M Limited, the consolidated financial statements of M Limited will include 100% amounts of the consolidated financial statements of N Limited (including investment in O Limited accounted for using equity method). Accordingly, the investment in O Limited will be accounted as follows in the consolidated financial statements of M Limited:

		₹' lakh
Investment in O Limited (300 x 25%)		75
Share in profit of O Limited		
Attributable to M Limited (40 x 25% x 90%)	9	
Attributable to Non-controlling interest of N Limited (50 x 25% x 10%)	1	10

Q87 · Chain holding and sub-subsidiaries

MTP Nov 2022 S-II · Q5(a) · Numerical

5. (a) Given below are the balance sheets of a group of companies comprising LX Limited, MX Limited

and NX Limited as on 31st March 20X2: ₹ in lakh

Particulars LX Limited MX Limited NX Limited

Assets

Non-current Assets

Property, Plant and Equipment	1,500	1,600	1,400
Investment			
17.0 lakh share in MX Limited	2,620	-	-
9.6 lakh shares in NX Limited -		1,350	-
Current Assets			
Inventories	1,230	730	1,180
Financial Assets			
Trade Receivables	1,415	270	620
Bills Receivables	650	60	-
Cash in hand and at Bank	1,085	90	150
	8,500	4,100	3,350

Equity and Liabilities

Shareholders' Equity

Share Capital (₹ 100 per share)	3,400	2,000	1,600
Other Equity			
Reserves	1,150	810	580
Retained earnings	1,030	600	310

Current Liabilities

Financial Liabilities

Trade Payables	2,920	690	805
Bills Payable	-	-	
MX Limited			55
	8,500	4,100	3,350

LX Limited holds 85% shares in MX Limited, which were acquired on 1st April 20X1 and

MX Limited holds 60% shares in NX Limited, which were acquired on 30th September 20X1.

The following balances stood in the books of MX Limited and NX Limited as on 1st April 20X1:

	MX Limited ₹ in lakh	NX Limited ₹ in lakh
Reserves	760	520
Retained earnings	480	150

The business activities of NX Limited are not seasonal in nature.

The parent company has adopted an accounting policy to measure non-controlling interest at fair value applying Ind AS 103. The fair value is to be determined at quoted market price. The given market price of MX Limited is ₹ 120 per share and NX Limited is ₹ 125 per share.

Prepare the consolidated Balance Sheet as on 31st March 20X2 of the group of companies LX Limited, MX Limited and NX Limited. (14 Marks)

Solution — ICAI

5. (a) Consolidated Balance Sheet of the Group as at 31st March, 20X2

Particulars	Note No.	₹ in lakh
ASSETS		
Non-current assets		
Property, plant and equipment	1	4,500.00
Current assets		
(a) Inventories	2	3,140.00
(b) Financial assets		
Trade receivables	3	2,305.00
Bills receivables	4	655.00
Cash and cash equivalents	5	1,325.00
Total assets		11,925.00
EQUITY & LIABILITIES		
Equity attributable to owners of parent		
Share Capital		3,400.00
Other Equity	6	2,893.10
Non-controlling interests (W.N.4)		1,216.90
LIABILITIES		
Non-current liabilities		Nil
Current liabilities		
(a) Financial Liabilities		
Trade payables	7	4,415.00
Total equity and liabilities		11,925.00

Notes to Accounts (₹ in lakh)

1. Property Plant & Equipment

LX Ltd.	1,500	
MX Ltd.	1,600	
NX Ltd.	1,400	4,500

2. Inventories

LX Ltd.	1,230	
MX Ltd.	730	
NX Ltd.	1,180	3,140

3. Trade Receivables

LX Ltd.	1,415	
MX Ltd.	270	
NX Ltd.	620	2,305

4. Bills Receivables

LX Ltd.	650	
MX Ltd. (60-55)	5	655

5. Cash & Cash equivalents

LX Ltd.	1,085	
MX Ltd.	90	
NX Ltd.	150	1,325

6. Other Equity

Reserve (W.N.5)	1,207.80	
Retained earnings (W.N.5)	1,172.80	
Capital Reserve (W.N.3)	512.50	2,893.10

7. Trade Payables

LX Ltd.	2,920	
MX Ltd.	690	
NX Ltd.	805	4,415

Working Notes:

1. Analysis of Reserves and Surplus (₹ in lakh)

MX Ltd. NX Ltd.

Reserves as on 1.4.20X1	760	520
Increase during the year 20X1-20X2 (580 - 520)		60
Increase for the half year till 30.9.20X1		30
Balance on acquisition date (A)	760	550
Total balance as on 31.3.20X2	810	580
Post-acquisition balance	50	30
Retained Earnings as on 1.4.20X1	480	150
Increase during the year 20X1-20X2 (310 - 150)		160
Increase for the half year till 30.9.20X1		80
Balance on acquisition date (B)	480	230
Total balance as on 31.3.20X2	600	310
Post-acquisition balance	120	80
Total balance on the acquisition date (A+B)	1,240	780

2. Calculation of Effective Interest of LX Ltd. in NX Ltd.

Acquisition by LX Ltd. in MX Ltd. = 85%

Acquisition by MX Ltd. in NX Ltd. = 60%

Acquisition by Group in NX Ltd. (85% x 60%) = 51%

Non-controlling Interest = 49%

3. Calculation of Goodwill / Capital Reserve on the acquisition

MX Ltd. NX Ltd.

Investment or consideration 2,620.00 (1,350 x 85%) 1,147.50

Add: NCI at Fair value

[(2,000 / 100) x 120 x 15%] 360.00

[(1,600 / 100) x 125 x 49%]	-	980.00
	2,980.00	2,127.50

Less: Identifiable net assets (Share

Capital + Increase in the Reserves (2,000+760+480) (1,600+550+230)

and Surplus till acquisition date)	(3,240.00)	(2,380.00)
Capital Reserve	260.00	252.50
Total Capital Reserve (260 + 252.50)	512.50	

4. Calculation of Non-controlling Interest

MX Ltd. NX Ltd.

At Fair Value (See Note 3) 360.00 980.00

Add: Post Acquisition Reserves (W.N.1) (50 x 15%) 7.50 (30 x 49%) 14.70

Add: Post Acquisition Retained Earnings

(W.N.1) (120 x 15%) 18.00 (80 x 49%) 39.20

Less: NCI share of investment in NX Ltd. (1,350 x 15%)

	(202.50)*	-
	183.00	1,033.90
Total (183.00 + 1,033.90)		1,216.90

*Note: The non-controlling interest in MX Ltd. will take its proportion in NX Ltd. Therefore,

they have to bear their proportion in the investment by MX Ltd. (in NX Ltd.) also.

5. Calculation of Consolidated Other Equity

Reserves Retained Earnings

LX Ltd. 1,150.00 1,030.00

Add: Share in MX Ltd. (50 x 85%) 42.50 (120 x 85%) 102.00

Add: Share in NX Ltd. (30 x 51%) 15.30 (80 x 51%) 40.80

1,207.80 1,172.80

Study-material link: variant of SM Illustration 29 (Ch 13 unit 4, chain holding P / S / SS)

Q88 · Chain holding and sub-subsidiaries

PYQ Nov 2022 · Q1(a) · 15 marks · Numerical

Given below are the balance sheets of a group of companies comprising X Ltd., Y Ltd. and Z Ltd. as on 31st March, 2022: (₹ in Lakhs)

	X Ltd.	Y Ltd.	Z Ltd.
Assets			
Non-current Assets			
Property, plant and equipment	1,120	1,260	1,050
Investment: 112 lakh shares in Y Ltd.	1,190		
84 lakh shares in Z Ltd.		980	
Current assets			
Inventories	770	245	175
Financial assets: Trade receivables	910	350	770
Bills receivables	252	-	105
Cash in hand and at bank	798	140	140
	5,040	2,975	2,240
Equity and Liabilities			
Shareholder's equity			
Share capital (₹ 10 per share)	2,100	1,400	1,120
Other equity: Reserves	630	350	280
Retained earnings	560	175	210
Current liabilities			
Financial liabilities: Trade payables	1,645	805	630
Bills payable: X Ltd.	-	245	-
Y Ltd.	105	-	-
	5,040	2,975	2,240

The following additional information is available:

(i) X Ltd. holds 80% shares in Y Ltd. and Y Ltd. holds 75% shares in Z Ltd. Their holdings were acquired on 30th September, 2021.

(ii) The business activities of all the companies are not seasonal in nature and therefore, it can be assumed that profits are earned evenly throughout the year.

(iii) On 1st April 2021, the following balances stood in the books of Y Ltd. and Z Ltd. (₹ in lakhs)

	Y Limited	Z Limited
Reserve	280	210
Retained earnings	70	105

(iv) ₹ 35 lakhs included in the inventory figure of Y Ltd. is inventory which has been purchased from Z Ltd. at cost plus 25%.

(v) The parent company has adopted an accounting policy to measure non-controlling interest at fair value (quoted market price) applying Ind AS 103. Assume that market price of the shares of Y Ltd. and Z Ltd. are the same as their respective face values.

(vi) Y Ltd. purchased goods from Z Ltd. after acquiring the shares of Z Ltd.

You are required to prepare consolidated balance sheet, as at 31st March 2022, of the group of companies X Limited, Y Limited and Z Limited. (15 Marks)

Solution — ICAI

(a) Consolidated Balance Sheet of the Group as on 31st March, 2022

Particulars	Note No.	₹ in lakh
ASSETS		
Non-current assets		
(a) Property, Plant and Equipment	1	3,430.00
Current Assets		
(a) Inventories	2	1,183.00
(b) Financial assets (i) Trade receivables	3	2,142.00
(ii) Cash and Cash equivalents	4	1,078.00
Total assets		7,833.00
EQUITY & LIABILITIES		
Equity attributable to owners of parent		
(a) Share Capital		2,100.00
(b) Other Equity	5	1,966.30
Non-controlling interests (W.N.4)		581.70
Total equity		4,648.00
LIABILITIES		
Non-current liabilities		Nil
Current liabilities		
(a) Financial Liabilities (i) Trade payables	6	3,185.00
Total liabilities		3,185.00
Total Equity and Liabilities		7,833.00

Notes to Accounts (₹ in lakh)

1. Property, Plant & Equipment		
X Ltd.	1,120.00	
Y Ltd.	1,260.00	
Z Ltd.	1,050.00	3,430.00
2. Inventories		
X Ltd.	770.00	
Y Ltd. (245 – 7)	238.00	
Z Ltd.	175.00	1,183.00
3. Trade Receivables		
X Ltd.	910.00	
Y Ltd.	350.00	
Z Ltd.	770.00	
(A)	2,030.00	
Bills Receivables: X Ltd. (252 – 245)	7.00	
Z Ltd.	105.00	
(B)	112.00	
Total Trade Receivables (A+B)		2,142.00
4. Cash & Cash equivalents		
X Ltd.	798.00	
Y Ltd.	140.00	
Z Ltd.	140.00	1,078.00
5. Other Equity		
Reserve (W.N.5)	679.00	
Retained Earnings (W.N.5)	629.30	
Capital Reserve (W.N.3)	658.00	1,966.30
6. Trade Payables		

X Ltd.	1,645.00	
Y Ltd.	805.00	
Z Ltd.	630.00	
(A)	3,080.00	
Bills payable: X Ltd.	105.00	
Y Ltd. (245 - 245)	-	
(B)	105.00	
Total Trade Payables (A+B)		3,185.00

*Note: Bills Payable of X Ltd. is not reflecting as Bills Receivable of Y Ltd. This may happen since Y Ltd. may have discounted/endorsed the same to the bank/third party.

Working Notes:

1. Analysis of Reserves and Surplus (₹ in lakh)

	Y Ltd.	Z Ltd.
Reserves as on 31.3.2021	280.00	210.00
Increase during the year 2021-2022	70.00	70.00
Increase for the half year till 30.9.2021	35.00	35.00
Balance as on 30.9.2021 (A)	315.00	245.00
Total balance as on 31.3.2022	350.00	280.00
Post-acquisition balance of Reserves	35.00	35.00
Retained Earnings as on 31.3.2021	70.00	105.00
Increase during the year 2021-2022	105.00	105.00
Increase for the half year till 30.9.2021	52.50	52.50
Balance as on 30.09.2021 (B)	122.50	157.50
Total balance as on 31.3.2022	175.00	210.00
Post-acquisition balance of RE	52.50	52.50
Less: Unrealised Gain on inventories [(35 ÷ 125) x 25]	-	(7.00)
Post-acquisition balance of RE for CFS	52.50	45.50
Total balance on the acquisition date ie. 30.9.2021 (A+B)	437.50	402.50

2. Calculation of Effective Interest of X Ltd. in Z Ltd.

Acquisition by X Ltd. in Y Ltd. = 80%

Non-controlling Interest of Y Ltd. = 20%

Acquisition by Y Ltd. in Z Ltd. = 75%

Acquisition by Group in Z Ltd. (80% x 75) = 60%

Non-controlling Interest of Z Ltd = 40%

3. Calculation of Goodwill / Capital Reserve on acquisition of subsidiaries (₹ in lakhs)

	Y Ltd.	Z Ltd.
Investment or consideration	1,190.00	(980 x 80%) 784.00
Add: NCI at Fair value (1,400 x 20%)	280.00	
(1,120 x 40%)	-	448.00
	1,470.00	1,232.00
Less: Identifiable net assets (Share Capital + Increase in the Reserves and Surplus till acquisition date)	(1,400+437.50) (1,837.50)	(1,120+402.50) (1,522.50)
Capital Reserve	367.50	290.50
Total Capital Reserve (367.50 + 290.50)		658.00

4. Calculation of Non-controlling Interest (₹ in lakhs)

	Y Ltd.	Z Ltd.
At Fair Value (See Note 3)	280.00	448.00
Add: Post Acquisition Reserves (See Note 1)	(35 x 20%) 7.00	(35 x 40%) 14.00
Add: Post-acquisition retained earnings (See Note 1)	(52.50 x 20%) 10.50	(45.50 x 40%) 18.20
Less: NCI share of investment in Z Ltd.	(980 x 20%) (196.00)*	-
	101.50	480.20
Total (101.50 + 480.20)		581.70

*Note: The non-controlling interest in Y Ltd. will take its proportion in Z Ltd. So, they have to bear their proportion in the investment by Y Ltd. (in Z Ltd.) also.

5. Calculation of Consolidated Other Equity (₹ in lakhs)

	Reserves	Retained Earnings
X Ltd.	630.00	560.00
Add: Share in Y Ltd.	(35 x 80%) 28.00	(52.50 x 80%) 42.00
Add: Share in Z Ltd.	(35 x 60%) 21.00	(45.50 x 60%) 27.30
	679.00	629.30

In the above solution, it is assumed that profits of Z Ltd. has been earned evenly throughout the year irrespective of post-acquisition sale of goods to Y Ltd.

Alternatively, profit on sale of goods to Y Ltd. is deducted from total profit of Z Ltd. before distribution of total profit of Z Ltd. into pre-acquisition and post-acquisition. In such a case, the solution will be as follows:

Consolidated Balance Sheet of the Group as on 31st March, 2022

Particulars	Note No.	₹ in Lakh
ASSETS		
Non-current assets: (a) Property, plant and equipment	1	3,430.00
Current assets: (c) Inventory	2	1,183.00
(d) Financial assets (i) Trade receivable	3	2,142.00
(ii) Cash and cash equivalents	4	1,078.00
Total assets		7,833.00
EQUITY & LIABILITIES		
Equity attributable to owners of parent: Share Capital		2,100.00
Other Equity	5	1,964.90
Non-controlling interests (W.N.4)		583.10
Total equity		4,648.00
LIABILITIES: Non-current liabilities		Nil
Current liabilities: (b) Financial Liabilities (i) Trade payables	6	3,185.00
Total liabilities		3,185.00
Total equity and liabilities		7,833.00

Notes to Accounts (₹ in lakh)

1. Property, plant & equipment		
X Ltd.	1,120.00	
Y Ltd.	1,260.00	
Z Ltd.	1,050.00	3,430.00
2. Inventories		
X Ltd.	770.00	
Y Ltd. (245 – 7)	238.00	
Z Ltd.	175.00	1,183.00
3. Trade receivable		
X Ltd.	910.00	
Y Ltd.	350.00	
Z Ltd.	770.00	
(A)	2,030.00	
Bills receivable: X Ltd. (252 – 245)	7.00	
Z Ltd.	105.00	
(B)	112.00	
Total Trade Receivables (A+B)		2,142.00
4. Cash & cash equivalents		
X Ltd.	798.00	
Y Ltd.	140.00	
Z Ltd.	140.00	1,078.00
5. Other equity		
Reserve (W.N.5)	679.00	
Retained Earnings (W.N.5)	631.40	
Capital Reserve (W.N.3)	654.50	1,964.90
6. Trade payable		

X Ltd.	1,645.00	
Y Ltd.	805.00	
Z Ltd.	630.00	
(A)	3,080.00	
Bills payable: X Ltd.	105.00	
Y Ltd. (245 - 245)	-	
(B)	105.00	
Total of Trade payable (A+B)		3,185.00

*Note: Bills Payable of X Ltd. is not reflecting as Bills Receivable of Y Ltd. This may happen since Y Ltd. may have discounted / endorsed the same to the bank/third party.

Working Notes:

1. Analysis of Reserves and Surplus (₹ in lakh)

	Y Ltd.	Z Ltd.
Reserves as on 31.3.2021	280.00	210.00
Increase during the year 2021-2022	70.00	70.00
Increase for the half year till 30.9.2021	35.00	35.00
Balance as on 30.9.2021 (A)	315.00	245.00
Total balance as on 31.3.2022	350.00	280
Post-acquisition balance of Reserves	35.00	35.00
Retained Earnings as on 31.3.2021	70.00	105.00
Increase during the year 2021-2022 for Y Ltd.	105.00	
Increase during the year 2021-22 for Z Ltd.		105.00
Less: Unrealised gain [(35/125)x25]		(7.00)
Profit of the year earned evenly for Z Ltd.	98.00	98
Increase for the half year till 30.9.2021	52.50	49.00
Balance as on 30.9.2021 (B)	122.50	154.00
Total balance as on 31.3.2022	(175.00)	(210.00)
Post-acquisition balance	52.50	56.00
Less: Unrealised gain on inventories [(35/125)x25]	-	(7.00)
Post-acquisition balance for CFS	52.50	49.00
Total balance on the acquisition date ie. 30.9.2021 (A+B)	437.50	399.00

(The row "Profit of the year earned evenly for Z Ltd. 98.00 98" is printed this way by ICAI.)

2. Calculation of Effective Interest of X Ltd. in Z Ltd.: Acquisition by X Ltd. in Y Ltd. = 80%; Non-controlling Interest of Y Ltd. = 20%; Acquisition by Y Ltd. in Z Ltd. = 75%; Acquisition by Group in Z Ltd. (80% x 75%) = 60%; Non-controlling Interest of Z Ltd = 40%

3. Calculation of Goodwill / Capital Reserve on the acquisition (₹ in lakhs)

	Y Ltd.	Z Ltd.
Investment or consideration	1,190	(980 x 80%) 784
Add: NCI at Fair value (1,400 x 20%)	280	
(1,120 x 40%)	-	448
	1,470	1,232
Less: Identifiable net assets (Share Capital + Increase in the Reserves and Surplus till acquisition date)	(1,400+437.50) (1,837.50)	(1,120+399) (1,519.00)
Capital Reserve	367.50	287.00
Total Capital Reserve (367.50 + 287.00)		654.50

4. Calculation of Non-controlling Interest (₹ in lakhs)

	Y Ltd.	Z Ltd.
At Fair Value (See Note 3)	280.00	448.00
Add: Post-acquisition Reserves (See Note 1)	(35 x 20%) 7.00	(35 x 40%) 14.00
Add: Post-acquisition Retained Earnings (See Note 1)	(52.50 x 20%) 10.50	(49.00 x 40%) 19.60
Less: NCI share of investment in Z Ltd.	(980 x 20%) (196.00)*	-
	101.50	481.60
Total (101.50 + 481.60)		583.10

*Note: The non-controlling interest in Y Ltd. will take its proportion in Z Ltd. So, they have to bear their proportion in the investment by Y Ltd. (in Z Ltd.) also.

5. Calculation of Consolidated Other Equity (₹ in lakhs)

	Reserves	Retained Earnings
X Ltd.	630.00	560.00
Add: Share in Y Ltd.	(35 x 80%) 28.00	(52.50 x 80%) 42.00
Add: Share in Z Ltd.	(35 x 60%) 21.00	(49.00 x 60%) 29.40
	679.00	631.40

Study-material link: variant of SM Illustration 29 (Ch 13 unit 4, "Chain holding", P/S/SS Ltd.; the Nov 2022 figures are the SM figures x 3.5)

Ⓔ Loss of control

Q89 · Loss of control

SM Ch 13 Unit 4 · Illustration 30: Subsidiary issues shares to a third party and parent loses control · Numerical

Illustration 30: Subsidiary issues shares to a third party and parent loses control

In March 20X1 a group had a 60% interest in subsidiary with share capital of 50,000 ordinary shares. The carrying amount of goodwill is ₹ 20,000 at March 20X1 calculated using the partial goodwill method. On 31 March 20X1, an option held by the minority shareholders exercised the option to subscribe for a further 25,000 ordinary shares in the subsidiary at ₹ 12 per share, raising ₹ 3,00,000. The net assets of the subsidiary in the consolidated balance sheet prior to the option's exercise were ₹ 4,50,000, excluding goodwill.

Calculate gain or loss on loss of interest in subsidiary due to option exercised by minority shareholder.

Solution — ICAI

Solution:

Shareholdings

	Before		After	
	No	**%**	**No**	**%**
Group	30,000	60	30,000	40
Other party	20,000	40	45,000	60
	50,000	100	75,000	100
Net assets	**₹' 000**	**%**	**₹' 000**	**%**
Group's share	270	60	300	40
Other party's share	180	40	450	60
	450	100	750	100

Calculation of group gain on deemed disposal	**₹' 000**
Fair value of 40% interest retained (₹ 12 x 30,000)**	360
Less: Net assets derecognized	(450)
Non-controlling interest derecognized	180
Goodwill	(20)
Gain on deemed disposal	70

** **Note**: For simplicity, it has been assumed the fair value per share is equal to the subscription price.

As control of the subsidiary is lost, the retained interest is recognized at its fair value at the date control is lost. The resulting remeasurement gain is recognized in profit and loss.

Q90 · Loss of control

SM Ch 13 Unit 4 · Illustration 31: Calculation of gain on outright sale of subsidiary · Numerical

Illustration 31: Calculation of gain on outright sale of subsidiary

A parent purchased 80% interest in a subsidiary for ₹1,60,000 on 1 April 20X1 when the fair value of the subsidiary's net assets was ₹1,75,000. Goodwill of ₹20,000 arose on consolidation under the partial goodwill method. An impairment of goodwill of ₹8,000 was charged in the consolidated financial statements for year ended 31 March 20X3. No other impairment charges have been recorded. The parent sold its investment in the subsidiary on 31 March 20X4 for ₹2,00,000. The book value of the subsidiary's net assets in the consolidated financial statements on the date of the sale was ₹2,25,000 (not including goodwill of ₹12,000). When the subsidiary met the criteria to be classified as held for sale under Ind AS 105, no write off was required because the expected fair value less cost to sell (of 100% of the subsidiary) was greater than the carrying value.

The parent carried the investment in the subsidiary in its separate financial statements at cost, as permitted by Ind AS 27.

Calculate gain or loss on disposal of subsidiary in parent's separate and consolidated financial statements as at 31st March 20X4.

Solution — ICAI

Solution:

The parent's separate statement of profit and loss for 20X3-20X4 would show a gain on the sale of investment of ₹ 40,000 calculated as follow:

	₹' 000
Sales proceeds	200
Less: Cost of investment in subsidiary	(160)
Gain on sale in parent's account	40

However, the group's statement of profit & loss for 20X3-20X4 would show a gain on the sale of subsidiary of ₹ 8,000 calculated as follows:

		₹' 000
Sales proceeds		200
Less: Share of net assets at date of disposal (₹ 2,25,000 X 80%)	(180)	
Goodwill on consolidation at date of sale (W.N.)	(12)	(192)
Gain on sale in group's account		8

Working note

The goodwill on consolidation (assuming partial goodwill method) is calculated as follows:

		₹' 000
Fair value of consideration at the date of acquisition		160
Non-controlling interest measured at proportionate share of the acquiree's identifiable net assets (1,75,000 X 20%)	35	
Less: Fair value of net assets of subsidiary at date of acquisition	(175)	(140)
Goodwill arising on consolidation		20
Impairment at 31 March 20X3		(8)
Goodwill at 31 March 20X4		12

Q91 · Loss of control

SM Ch 13 Unit 4 · Illustration 32: Partial disposal when subsidiary becomes an associate · Numerical

Illustration 32: Partial disposal when subsidiary becomes an associate

AT Ltd. purchased a 100% subsidiary for ₹ 50,00,000 on 31st March 20X1 when the fair value of the net assets of BT Ltd. was ₹ 40,00,000. Therefore, goodwill is ₹ 10,00,000. AT Ltd. sold 60% of its investment in BT Ltd. on 31st March 20X3 for ₹ 67,50,000, leaving the AT Ltd. with 40% and significant influence. At the date of disposal, the carrying value of net assets of BT Ltd. excluding goodwill is ₹ 80,00,000. Assume the fair value of the investment in associate BT Ltd. retained is proportionate to the fair value of the 60% sold, that is ₹ 45,00 000.

Calculate gain or loss on sale of proportion of BT Ltd. in AT Ltd.'s separate and consolidated financial statements as at 31st March 20X3. Provide Journal Entries.

Solution — ICAI

Solution:

AT Ltd.'s standalone statement for profit or loss of 20X2-20X3 would show a gain on the sale of investment of a ₹ 37,50,000 calculated as follows:

	₹' lakh
Sales proceeds	67.5
Less: Cost of investment in subsidiary (₹ 50,00,000 * 60%)	(30.0)
Gain on sale in parent's account	37.5

In the consolidated financial statements, the group will calculate the gain or loss on disposal differently. The carrying amount of all of the assets including goodwill is derecognized when control is lost. This is compared to the proceeds received and the fair value of the investment retained.

The gain on the disposal will, therefore, be calculated as follows:

	₹' lakh
Sales proceeds	67.5
Fair value of 40%interest retained	45.0
	112.5
Less: Net assets disposed, including goodwill (80,00,000+ 10,00,000)	(90.0)
Gain on sale in the group's financial statements	22.5

The gain on loss of control would be recorded in consolidated statement of profit and loss. The gain or loss includes the gain of ₹ 13,50,000 [₹ 67,50,000 – (₹ 90,00,000 x 60%)] on the portion sold. However, it also includes a gain on remeasurement of the 40% retained interest of ₹ 9,00,000 (₹ 36,00,000* to ₹ 45,00,000). The entity will need to disclose the portion of the gain that is attributable to remeasuring any remaining interest to fair value, that is, ₹ 9,00,000.

* 90,00,000 x 40%= 36,00,000

Q92 · Loss of control

SM Ch 13 Unit 4 · Illustration 33: Partial disposal when 10% investment in former subsidiary is retained · Numerical

Illustration 33: Partial disposal when 10% investment in former subsidiary is retained

The facts of this illustration are same per the above Illustration, except the group AT Ltd. Disposes of a 90% interest for ₹ 85,50,000 leaving the AT Ltd. with a 10% investment. The fair value of the remaining interest is ₹ 9,50,000 (assumed for simplicity to be pro rata to the fair value of the 90% sold)

Calculate gain or loss on sale of proportion of BT Ltd. in AT Ltd.'s separate and consolidated financial statements as at 31st March 20X3.

Solution — ICAI

Solution:

The parent's AT Ltd. income statement in its separate financial statements for 20X2-20X3 would show a gain on the sale of the investment of ₹ 40,50,000 calculated as follows:

	₹' lakh
Sales proceeds	85.5
Less: Cost of investment in subsidiary (₹ 50,00,000 * 90%)	(45.0)
Gain on sale in parent's account	40.5

In the consolidated financial statements, all of the assets, including goodwill are derecognized when control is lost. This is compared to the proceeds received and the fair value of the investment retained.

	₹' lakh
Sales proceeds	85.5
Fair value of 10%interest retained	9.5
	95.0
Less: Net assets disposed, including goodwill (80,00,000 + 10,00,000)	(90.0)
Gain on sale in the group's financial statements	5.0

The gain on loss of control would be recorded in profit or loss. The gain or loss includes the gain of ₹ 4,50,000 related to the 90% portion sold [₹ 85,50,000 – (₹ 90,00,000 x 90%)] as well as ₹ 50,000 related to the remeasurement of fair value of 10% retained interest (₹ 9,00,000 to ₹ 9,50,000).

Q93 · Loss of control

SM Ch 13 Unit 4 · Illustration 34: Loss control of a subsidiary in two transactions · Numerical

Illustration 34: Loss control of a subsidiary in two transactions

MN Ltd. was holding 80% stake in UV Ltd. Now, MN Ltd. has disposed of the entire stake in UV Ltd. in two different transactions as follows:

- *Transaction 1: Sale of 25% stake for a cash consideration of ₹ 2,50,000*

- *Transaction 2: Sale of 55% stake for a cash consideration of ₹ 5,50,000*

Both the transactions have happened within a period of one month. In accordance with the guidance given in Ind AS 110, both the transactions have to be accounted as a single transaction.

The net assets of UV Ltd. and non-controlling interest on the date of both the transactions was ₹ 9,00,000 and ₹ 1,80,000 respectively (assuming there were no earnings between the period of two transactions).

How MN Ltd. should account the transaction?

Solution — ICAI

Solution:

MN Ltd. will account for the transaction as follows:

		₹
Recognise:		
Fair value of consideration (2,50,000 + 5,50,000)		8,00,000
Derecognise:		
Net assets of UV Ltd.	(9,00,000)	
Non-controlling interest	1,80,000	(7,20,000)
Gain to be recorded in profit or loss		**80,000**

If MN Ltd. loses control over UV Ltd. on the date of transaction 1, then the above gain is recorded on the date of transaction 1 and MN Ltd. will stop consolidating UV Ltd. from that date. The consideration of ₹ 5,50,000 receivable in transaction 2 will be shown as consideration receivable.

If MN Ltd. loses control over UV Ltd. on the date of transaction 2, then the above gain is recorded on the date of transaction 2 and MN Ltd. will stop consolidating UV Ltd. from that date. The consideration of ₹ 2,50,000 received in transaction 1 will be shown as advance consideration received.

Q94 · Loss of control

SM Ch 13 · Test Your Knowledge Q1 · Theory

1. X Limited was holding 100% of the equity share capital of Y Limited and Y Limited was treated as a subsidiary by X Limited. Now, Y Limited issues convertible preference shares to Z Limited. As per the issue document of convertible preference shares, Z Limited also gets the rights to participate in the relevant activities of Y Limited whereby Z Limited's consent is also necessary to pass any decision by the equity shareholder of Y Limited (i.e. X Limited). Determine how should X Limited account for its investment in Y Limited in its consolidated financial statements after the issue of convertible preference shares by Y Limited to Z Limited?

Solution — ICAI

1. As per the issue document of convertible preference shares, unanimous consent of both X Limited and Z Limited are required to pass any decision about the relevant activities of Y Limited. Hence, Y Limited is jointly controlled by X Limited and Z Limited and thereby, Y Limited becomes a joint arrangement between X Limited and Z Limited.

   Y Limited is structured through a separate vehicle. The legal form of Y Limited, terms of the contractual arrangement or other facts and circumstances do not give X Limited and Z Limited rights to the assets, and obligations for the liabilities, relating to Y Limited. Hence, Y Limited is a joint venture between X Limited and Z Limited.

   When the convertible preference shares are issued to Z Limited, X Limited losses control over Y Limited. Hence X Limited should derecognise the assets and liabilities of Y Limited from its consolidated financial statements. 100% equity shares in Y Limited is still held by X Limited. Hence such investment would be accounted at fair value on the date of loss of control by X Limited. The difference between the fair value of 100% equity shares retained in Y Limited and the carrying value of assets and liabilities of Y Limited derecognised is recognised in profit or loss of X Limited. After the loss of control, the investment in Y Limited is accounted as per equity method of accounting by X Limited whereby the investment value in Y Limited will be adjusted for the change in the X Limited's share of the net assets Y Limited post the date of loss of control. Also, the difference between the fair value of investment in Y Limited and fair value of net identifiable assets of Y Limited shall be goodwill or capital reserve.

Q95 · Loss of control

SM Ch 13 · Test Your Knowledge Q9 · Theory

9. P Pvt. Ltd. has a number of wholly-owned subsidiaries including S Pvt. Ltd. at 31st March 20X2. P Pvt. Ltd.'s consolidated balance sheet and the group carrying amount of S Pvt. Ltd.'s assets and liabilities (ie the amount included in the consolidated balance sheet in respect of S Pvt. Ltd.'s assets and liabilities) at 31st March 20X2 are as follows:

Particulars	Consolidated (₹ in millions)	Group carrying amount of S Pvt. Ltd. asset and liabilities Ltd. (₹ in millions)
Assets		
Non-Current Assets		
Goodwill	380	180
Buildings	3,240	1,340
Current Assets		
Inventories	140	40
Trade Receivables	1,700	900
Cash	3,100	1000
Total Assets	**8,560**	**3,460**
Equities & Liabilities		
Equity		
Share Capital	1600	
Other Equity		
Retained Earnings	4,260	
Current liabilities		
Trade Payables	2,700	900
Total Equity & Liabilities	**8,560**	**900**

Prepare consolidated Balance Sheet after disposal as at 31st March, 20X2 when P Pvt. Ltd. group sold 100% shares of S Pvt. Ltd. to independent party for ₹ 3,000 millions.

Solution — ICAI

8. When 100% shares sold to independent party Consolidated Balance Sheet of P Pvt. Ltd. and its remaining subsidiaries as at 31st March, 20X2

Particulars	Note No.	(₹ in millions)
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	1,900
(ii) Goodwill	2	200
(2) Current Assets		
(i) Inventories	3	100
(ii) Financial Assets		
(a) Trade Receivables	4	800
(b) Cash & Cash equivalents	5	5,100
Total Assets		**8,100**
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	6	1,600
(ii) Other Equity	7	4,700
(2) Non-controlling Interest		
(3) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	8	1,800
Total Equity & Liabilities		**8,100**

Notes to accounts:

			(₹ in millions)
1.	**Property Plant & Equipment**		
	Land & Building	3,240	
	Less: S Pvt. Ltd.	(1,340)	1,900
2.	**Goodwill**	380	
	Less: S Pvt. Ltd.	(180)	200
3.	**Inventories**		
	Group	140	
	Less: S Pvt. Ltd.	(40)	100
4.	**Trade Receivables**		
	Group	1,700	

	Less: S Pvt. Ltd.	(900)	800
5.	**Cash & Cash equivalents**		
	Group (WN 2)	5,100	5,100
6.	**Trade Payables**		
	Group	2,700	
	Less: S Pvt. Ltd.	900	1,800

Statement of changes in Equity:

6. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
1600	0	1600

7. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Securities Premium	
Balance at the beginning				4,260		4,260
Total comprehensive income for the year			0			
Dividends			0			
Total comprehensive income attributable to parent			0			
Gain on disposal of S Pvt. Ltd.				440		440
Balance at the end of reporting period			0	4,700		4,700

Working Notes:

1. When sold, the carrying amount of all assets and liabilities attributable to S Pvt. Ltd. were eliminated from the consolidated balance sheet.

2. Cash on hand (in millions):

Cash before disposal of S Pvt. Ltd.	3,100
Less: S Pvt. Ltd. Cash	(1,000)
Add: Cash realized from disposal	3,000
Cash on Hand	5,100

3. Gain/ Loss on disposal of entity (in millions):

Proceeds from disposal	3,000
Less: Net assets of S Pvt. Ltd.	(2,560)
Gain on disposal	440

4. Retained Earnings (in millions):

Retained Earnings before disposal	4,260
Add: Gain on disposal	440
Retained earnings after disposal	4,700

Q96 · Loss of control

SM Ch 13 · Test Your Knowledge Q10 · Theory

10. Reliance Ltd. has a number of wholly-owned subsidiaries including Reliance Jio Infocomm Ltd. at 31st March 20X2.

Reliance Ltd.'s consolidated balance sheet and the group carrying amount of Reliance Jio Infocomm Ltd. assets and liabilities (ie the amount included in that consolidated balance sheet in respect of Reliance Jio Infocomm Ltd. assets and liabilities) at 31st March 20X2 are as follows:

Particulars	Consolidated (₹ In '000)	Group carrying amount of Reliance Jio Infocomm Ltd. asset and liabilities Ltd. (₹ In '000)
Assets		
Non-current Assets		
Goodwill	190	90
Buildings	1,620	670
Current Assets		
Inventories	70	20
Financial Assets		
Trade Receivables	850	450
Cash	1,550	500
Total Assets	**4,280**	**1,730**
Equity & Liabilities		
Equity		
Share Capital	800	
Other Equity		
Retained Earnings	2,130	
	2,930	
Current liabilities		
Financial liabilities		
Trade Payables	1,350	450
Total Equity & Liabilities	**4,280**	**450**

Prepare consolidated Balance Sheet after disposal as at 31st March, 20X2 when Reliance Ltd. group sold 90% shares of Reliance Jio Infocomm Ltd. to independent party for ₹ 1000 thousand.

Solution — ICAI

10. When 90% shares sold to independent party Consolidated Balance Sheet of Reliance Ltd. and its remaining subsidiaries as at 31st March, 20X2

Particulars	Note No.	(₹ In '000)
I. Assets		
(1) Non-current assets		
(i) Property Plant & Equipment	1	950
(ii) Goodwill	2	100
(iii) Financial Assets		
(a) Investments	3	128
(2) Current Assets		
(i) Inventories	4	50
(ii) Financial Assets		
(b) Trade Receivables	5	400
(c) Cash & Cash equivalents	6	2,050
Total Assets		**3,678**
II. Equity and Liabilities		
(1) Equity		
(i) Equity Share Capital	7	800
(ii) Other Equity	8	1,978

(2) Current Liabilities		
(i) Financial Liabilities		
(a) Trade Payables	9	900
Total Equity & Liabilities		3,678

Notes to accounts:

			(₹ In '000)
1.	**Property Plant & Equipment**		
	Land & Building	1620	
	Less: Reliance Jio Infocomm Ltd.	(670)	950
2.	Goodwill	190	
	Less: Reliance Jio Infocomm Ltd.	(90)	100
3.	**Investments**		
	Investment in Reliance Jio Infocomm Ltd. (WN 2)	128	128
4.	**Inventories**		
	Group	70	
	Less: Reliance Jio Infocomm Ltd.	(20)	50
5.	**Trade Receivables**		
	Group	850	
	Less: Reliance Jio Infocomm Ltd.	(450)	400
6.	**Cash & Cash equivalents**		
	Group (WN 3)	2,050	2,050
9.	**Trade Payables**		
	Group	1,350	
	Less: Reliance Jio Infocomm Ltd.	450	900

Statement of changes in Equity:

7. Equity share Capital

Balance at the beginning of the reporting period	Changes in Equity share capital during the year	Balance at the end of the reporting period
800	0	800

8. Other Equity

	Share application money	Equity component	Reserves & Surplus			Total
			Capital reserve	Retained Earnings	Securities Premium	
Balance at the beginning				2,130		2,130
Total comprehensive income for the year			0			
Dividends			0			
Total comprehensive			0			
Income attributable to parent						
Loss on disposal of Reliance Jio Infocomm Ltd.				(152)		(152)
Balance at the end of reporting period			0	1,978		1,978

Working Notes:

1. When 90% being sold, the carrying amount of all assets and liabilities attributable to Reliance Jio Infocomm Ltd. were eliminated from the consolidated balance sheet and further financial asset is recognized for remaining 10%.

2. Carrying value of remaining investment (in '000):

Net Assets of Reliance Ltd.	1,280
Less: 90% disposal	(1,152)
Financial Asset	128

3. Cash on hand (in '000):

Cash before disposal of Reliance Jio Infocomm Ltd.	1,550
Less: Reliance Jio Infocomm Ltd. Cash	(500)
Add: Cash realized from disposal	1,000
Cash on Hand	2,050

4. Gain/ Loss on disposal of entity (in '000):

Proceeds from disposal	1,000
Less: Proportionate (90%) Net assets of Reliance Jio Infocomm Ltd. (90% of 1,280)	(1,152)
Loss on disposal	(152)

5. Retained Earnings (in '000):

Retained Earnings before disposal	2,130
Less: Loss on disposal	(152)
Retained earnings after disposal	1,978

© The Institute of Chartered Accountants of India

Q97 · Loss of control

ICAI Practice Questions · Ch 13 Q2

2. As at the beginning of its current financial year, AB Limited holds 90% equity interest in BC Limited. During the financial year, AB Limited sells 70% of its equity interest in BC Limited to PQR Limited for a total consideration of ₹ 56 crore and consequently loses control of BC Limited. At the date of disposal, fair value of the 20% interest retained by AB Limited is ₹ 16 crore and the net assets of BC Limited are carry valued at ₹ 60 crore.

   These net assets include the following:

   (a) Debt investments classified as fair value through other comprehensive income (FVOCI) of ₹ 12 crore and related FVOCI reserve of ₹ 6 crore.

   (b) Net defined benefit liability of ₹ 6 crore that has resulted in a reserve relating to net measurement losses of ₹ 3 crore.

   (c) Equity investments (considered not held for trading) of ₹ 10 crore for which irrevocable option of recognising the changes in fair value in OCI has been availed and related FVOCI reserve of ₹ 4 crore.

   (d) Net assets of a foreign operation of ₹ 20 crore and related foreign currency translation reserve of ₹ 8 crore.

   In consolidated financial statements of AB Limited, 90% of the above reserves were included in equivalent equity reserve balances, with the 10% attributable to the non-controlling interest included as part of the carrying amount of the non-controlling interest.

   What would be the accounting treatment on loss of control in the consolidated financial statements of AB Limited?

Solution — ICAI

2. Paragraph 25 of Ind AS 110 states that if a parent loses control of a subsidiary, the parent:

(a) derecognises the assets and liabilities of the former subsidiary from the consolidated balance sheet.

(b) recognises any investment retained in the former subsidiary at its fair value when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant Ind ASs. That fair value shall be regarded as the fair value on initial recognition of a financial asset in accordance with Ind AS 109 or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

(c) recognises the gain or loss associated with the loss of control attributable to the former controlling interest."

Paragraph B98(c) of Ind AS 110 states that on loss of control over a subsidiary, a parent shall reclassify to profit or loss, or transfer directly to retained earnings if required by other Ind AS, the amounts recognized in other comprehensive income in relation to the subsidiary on the basis specified in paragraph B99.

As per paragraph B99, if a parent loses control of a subsidiary, the parent shall account for all amounts previously recognized in other comprehensive income in relation to that subsidiary on the same basis as would be required if the parent had directly disposed of the related assets or liabilities.

Therefore, if a gain or loss previously recognized in other comprehensive income would be reclassified to profit or loss on the disposal of the related assets or liabilities, the parent shall reclassify the gain or loss from equity to profit or loss (as a reclassification adjustment) when it loses control of the subsidiary. If a revaluation surplus previously recognized in other comprehensive income would be transferred directly to retained earnings on the disposal of the asset, the parent shall transfer the revaluation surplus directly to retained earnings when it loses control of the subsidiary.

In view of the basis in its consolidated financial statements, AB Limited shall:

(a) re-classify the FVOCI reserve in respect of the debt investments of ₹ 5.4 crore (90% of ₹ 6 crore) attributable to the owners of the parent to the statement of profit or loss in accordance with paragraph B5.7.1A of Ind AS 109, Financial Instruments which requires that the cumulative gains or losses previously recognised in OCI shall be recycled to profit and loss upon derecognition of the related financial asset. This is reflected in the gain on disposal. Remaining 10% (i.e., ₹ 0.6 crore) relating to non-controlling interest (NCI) is included as part of the carrying amount of the non-controlling interest that is derecognised in calculating the gain or loss on loss of control of the subsidiary;

(b) transfer the reserve relating to the net measurement losses on the defined benefit

liability of ₹ 2.7 crore (90% of ₹ 3 crore) attributable to the owners of the parent within equity to retained earnings. It is not reclassified to profit or loss. The remaining 10% (i.e., ₹ 0.3 crore) attributable to the NCI is included as part of the carrying amount of NCI that is derecognised in calculating the gain or loss on loss of control over the subsidiary. No amount is reclassified to profit or loss, nor is it transferred within equity, in respect of the 10% attributable to the non-controlling interest.

(c) reclassify the cumulative gain on fair valuation of equity investment of ₹ 3.6 crore (90% of ₹ 4 crore) attributable to the owners of the parent from OCI to retained earnings under equity as per paragraph B5.7.1 of Ind AS 109, Financial Instruments, which provides that in case an entity has made an irrevocable election to recognise the changes in the fair value of an investment in an equity instrument not held for trading in OCI, it may subsequently transfer the cumulative amount of gains or loss within equity. Remaining 10% (i.e., ₹ 0.4 crore) related to the NCI are derecognised along with the balance of NCI and not reclassified to profit and loss.

(d) reclassify the foreign currency translation reserve of ₹ 7.2 crore (90% × ₹ 8 crore) attributable to the owners of the parent to statement of profit or loss as per paragraph 48 of Ind AS 21, The Effects of Changes in Foreign Exchange Rates, which specifies that the cumulative amount of exchange differences relating to the foreign operation, recognised in OCI, shall be reclassified from equity to profit or loss on the disposal of foreign operation. This is reflected in the gain on disposal. Remaining 10% (i.e., ₹ 0.8 crore) relating to the NCI is included as part of the carrying amount of the NCI that is derecognised in calculating the gain or loss on the loss of control of subsidiary, but is not reclassified to profit or loss in pursuance of paragraph 48B of Ind AS 21, which provides that the cumulative exchange differences relating to that foreign operation attributed to NCI shall be derecognised on disposal of the foreign operation, but shall not be reclassified to profit or loss.

The impact of loss of control over BC Limited on the consolidated financial statements of AB Limited is summarized below: (₹ in crore)

Particular	Amount (Dr)	Amount (Cr)	PL Impact	RE Impact
Gain/Loss on Disposal on Investments				
Bank Dr.	56			
Non-controlling interest (Derecognised) Dr.	6			
Investment at FV (20% Retained) Dr.	16			
To Gain on Disposal (PL) - ***balancing figure***		18	18	
To De-recognition of total net assets of subsidiary		60		

Reclassification of FVTOCI reserve on debt instruments to profit or loss				
FVTOCI reserve on debt instruments Dr. (6 cr. x 90%)	5.4			
To Profit and loss		5.4	5.4	
Reclassification of net measurement loss reserve to profit or loss				
Retained Earnings Dr.	2.7			-2.7
To Net measurement loss reserve (FVTOCI) [(3 cr. x 90%)]		2.7		
Reclassification of FVTOCI reserve on equity instruments to retained earnings				
FVTOCI reserve on equity instruments (4 cr.x 90%) Dr.	3.6			
To Retained earnings		3.6		3.6
Foreign currency translation reserve reclassified to profit or loss				
Foreign currency translation reserve (FVOCI) [8 cr. x 90%] Dr.	7.2			
To Profit and loss		7.2	7.2	
Total			30.6	0.9

Q98 · Loss of control

RTP May 2024 · Q19 · Theory

19. At the beginning of its current financial year, AB Limited holds 90% equity interest in BC Limited.

During the financial year, AB Limited sells 70% of its equity interest in BC Limited to PQR Limited for a total consideration of ₹ 56 crore and consequently loses control of BC Limited.

At the date of disposal, fair value of the 20% interest retained by AB Limited is ₹ 16 crore and the net assets of BC Limited are fair valued at ₹ 60 crore.

These net assets include the following:

(a) Debt investments classified as fair value through other comprehensive income (FVOCI) of ₹ 12 crore and related FVOCI reserve of ₹ 6 crore.

(b) Net defined benefit liability of ₹ 6 crore that has resulted in a reserve relating to net measurement losses of ₹ 3 crore.

(c) Equity investments (considered not held for trading) of ₹ 10 crore for which irrevocable option of recognising the changes in fair value in FVOCI has been availed and related

FVOCI reserve of ₹ 4 crore.

(d) Net assets of a foreign operation of ₹ 20 crore and related foreign currency translation reserve of ₹ 8 crore.

In consolidated financial statements of AB Limited, 90% of the above reserves were included in equivalent equity reserve balances, with the 10% attributable to the non-controlling interest included as part of the carrying amount of the non-controlling interest.

What would be the accounting treatment on loss of control in the consolidated financial statements of AB Limited?

Solution — ICAI

19. Paragraph 25 of Ind AS 110 states that, "if a parent loses control of a subsidiary, the parent:

(a) derecognises the assets and liabilities of the former subsidiary from the consolidated balance sheet.

(b) recognises any investment retained in the former subsidiary at its fair value when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant Ind AS. That fair value shall be regarded as the fair value on initial recognition of a financial asset in accordance with Ind AS 109 or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

(c) recognises the gain or loss associated with the loss of control attributable to the former controlling interest."

Paragraph B98(c) of Ind AS 110 states that, on loss of control over a subsidiary, a parent shall reclassify to profit or loss, or transfer directly to retained earnings if required by other Ind AS, the amounts recognised in other comprehensive income in relation to the subsidiary on the basis specified in paragraph B99.

As per paragraph B99, if a parent loses control of a subsidiary, the parent shall account for all amounts previously recognised in other comprehensive income in relation to that subsidiary on the same basis as would be required if the parent had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income would be reclassified to profit or loss on the disposal of the related assets or liabilities, the parent shall

reclassify the gain or loss from equity to profit or loss (as a reclassification adjustment) when it loses control of the subsidiary. If a revaluation surplus previously recognised in other comprehensive income would be transferred directly to retained earnings on the disposal of the asset, the parent shall transfer the revaluation surplus directly to retained earnings when it loses control of the subsidiary.

In view of the basis in its consolidated financial statements, AB Limited shall:

(a) re-classify the FVOCI reserve in respect of the debt investments of ₹ 5.4 crore (90% of ₹ 6 crore) attributable to the owners of the parent to the statement of profit or loss in accordance with paragraph B5.7.1A of Ind AS 109, Financial Instruments which requires that the cumulative gains or losses previously recognised in OCI shall be recycled to profit and loss upon derecognition of the related financial asset. This is reflected in the gain on disposal. Remaining 10% (i.e., ₹ 0.6 crore) relating to non-controlling interest (NCI) is included as part of the carrying amount of the non-controlling interest that is derecognised in calculating the gain or loss on loss of control of the subsidiary.

(b) transfer the reserve relating to the net measurement losses on the defined benefit liability of ₹ 2.7 crore (90% of ₹ 3 crore) attributable to the owners of the parent within equity to retained earnings. It is not reclassified to profit or loss. The remaining 10% (i.e., ₹ 0.3 crore) attributable to the NCI is included as part of the carrying amount of NCI that is derecognised in calculating the gain or loss on loss of control over the subsidiary. No amount is reclassified to profit or loss, nor is it transferred within equity, in respect of the 10% attributable to the non-controlling interest.

(c) reclassify the cumulative gain on fair valuation of equity investment of ₹ 3.6 crore (90% of ₹ 4 crore) attributable to the owners of the same parent from OCI to retained earnings under equity as per paragraph B5.7.1 of Ind AS 109, Financial Instruments, which provides that in case an entity has made an irrevocable election to recognise the changes in the fair value of an investment in an equity instrument not held for trading in OCI, it may subsequently transfer the cumulative amount of gains or

loss within equity. The remaining 10% (i.e., ₹ 0.4 crore) related to the NCI are derecognised along with the balance of NCI and not reclassified to profit and loss.

(d) reclassify the foreign currency translation reserve of ₹ 7.2 crore (90% × ₹ 8 crore) attributable to the owners of the parent to statement of profit or loss as per paragraph 48 of Ind AS 21 'The Effects of Changes in Foreign Exchange Rates', which specifies that the cumulative amount of exchange differences relating to the foreign operation, recognised in OCI, shall be reclassified from equity to profit or loss on the disposal of foreign operation. This is reflected in the gain on disposal. Remaining 10% (i.e., ₹ 0.8 crore) relating to the NCI is included as part of the carrying amount of the NCI that is derecognised in calculating the gain or loss on the loss of control of subsidiary, but is not reclassified to profit or loss in pursuance of paragraph 48B of Ind AS 21, which provides that the cumulative exchange differences relating to that foreign operation attributed to NCI shall be derecognised on disposal of the foreign operation, but shall not be reclassified to profit or loss.

The impact of loss of control over BC Limited on the consolidated financial statements of AB Limited is summarised below: (₹ in crore)

Particular	Amount (Dr)	Amount (Cr)	P&L Impact	RE Impact
Gain / Loss on Disposal on Investments				
Bank	56			
Non-controlling interest	6			
(Derecognised)				
Investment at FV (20%	16			
Retained)				
Gain on Disposal (P&L)	18		18	
balancing figure				
De-recognition of total net assets of subsidiary	60			
Reclassification of FVTOCI reserve on debt instruments to profit or loss				

FVTOCI reserve on debt instruments (6 cr. x 90%)	5.4	
To Profit and loss	5.4	5.4

Reclassification of net measurement loss reserve to profit or loss

Reserve and Surplus	2.7	-2.7
To Net measurement loss reserve (FVTOCI) [(3 cr. x 90%)]	2.7	

Reclassification of FVTOCI reserve on equity instruments to retained earnings

FVTOCI reserve on equity 3.6

instruments (4 crux 90%)

To Reserve and Surplus 3.6 3.6

Foreign currency translation reserve reclassified to profit or loss

Foreign currency 7.2

translation reserve (FVOCI)

[8 cr. x 90%]

To Profit and loss	7.2	7.2
Total	30.6	0.9

Q99 · Loss of control

PYQ May 2023 · Q6(d) · 5 marks · Numerical

On 1st April 2021, P Limited acquired 100% interest in S Limited for ₹ 75.00 lakhs when the fair value of the net assets of S Limited was ₹ 60.00 lakhs. Goodwill of ₹ 15.00 lakhs arose on consolidation. On 31st March, 2023, P Limited disposed off 80% interest in S Limited for ₹ 114.00 lakhs. As on the date of disposal, the carrying value of the net assets of S Limited excluding goodwill was ₹ 1,20,00,000. The fair value of the remaining interest is ₹ 28,50,000.

You are required to:

i. Calculate the gain or loss on sale of disposal, and

ii. Pass necessary journal entries on disposal of 80% interest in S Limited in P Limited's separate and consolidated financial statements as on 31st March, 2023. (5 Marks)

Solution — ICAI

(d) (a) In P Ltd.'s Separate Financial Statements

(i) Calculation of Gain or Loss on disposal in P Ltd.'s separate financial statements

	₹ in lakhs
Sales proceeds	114.0
Less: Cost of investment in subsidiary (75 x 80%)	(60.0)
Gain on sale in parent's account	54.00

(ii) Journal Entry in P Limited's separate financial statements (₹ in lakhs)

Date	Particulars	Dr.	Cr.
31.3.2023	Bank A/c Dr.	114.00	
	Investment in Associates Dr.	15.00	
	To Investment in subsidiary A/c		75.00
	To Gain on sale of subsidiary A/c		54.00
31.3.2023	Gain on sale of subsidiary A/c Dr.	54	
	To Statement of Profit and Loss		54

Note: In case of partial disposal of investment leading to significant influence because of loss of control, the above solution has been provided by applying proportionate approach. However, cost of retained investment on the date of loss of control has not been defined in Ind AS 27 'Separate Financial Statements'. Therefore, paragraphs 10 and 11(a) of Ind AS 8 (i.e. in the absence of accounting policy that specifically applies to a transaction, management shall refer to, and consider the applicability of the requirements in Ind AS dealing with similar and related issues) have been applied. Further, para 25(b) of Ind AS 110 inter alia states that recognition of investment retained in the former subsidiary to be the fair value which shall be regarded as the fair value on initial recognition of a financial asset in accordance with Ind AS 109 or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

Accordingly, following ALTERNATE solution may also be considered:

(i) Calculation of Gain or Loss on disposal in P Ltd.'s separate financial statements:

	₹ in lakhs
Sales proceeds	114.0
Fair value of 20% interest retained	28.50
	142.50
Less: Cost of investment in subsidiary	(75.0)
Gain on sale in parent's account	67.5

(ii) Journal Entry in P Limited's separate financial statements (₹ in lakhs)

Date	Particulars	Dr.	Cr.
31.3.2023	Bank A/c Dr.	114.00	
	Investment in Associate at cost (as per para 25 Ind AS 110) Dr.	28.50	
	To Investment in subsidiary A/c		75.00
	To Gain on sale of subsidiary A/c		67.50
31.3.2023	Gain on sale of subsidiary A/c Dr.	67.50	
	To Statement of Profit and Loss		67.50

(b) In P Ltd.'s Consolidated Financial Statements

(i) Calculation of Gain or Loss on disposal in P Ltd.'s consolidated financial statements

	₹ in lakhs
Sales proceeds	114.00
Fair value of 20% interest retained	28.50
	142.50
Less: Net assets disposed, including goodwill (1,20,00,000 + 15,00,000)	(135.00)
Gain on sale in the group's financial statements	7.50

(ii) Journal Entry in P Limited's consolidated financial statements (₹ in lakhs)

Date	Particulars	Dr.	Cr.
31.3.2023	Bank A/c Dr.	114.00	
	Fair value of Net identifiable assets Dr.	28.50	
	To Net asset of subsidiary A/c		120.00
	To Goodwill		15.00
	To Gain on sale of subsidiary A/c		7.50
31.3.2023	Gain on sale of subsidiary A/c	7.50	
	To Statement of Profit or Loss		7.50

Note: The above solution has been drawn on the assumption that the retained investment had led to significant influence. Accordingly, investment in an associate has been accounted for on partial disposal of investment by P Ltd.

However, it may alternatively be assumed that the retained investment, after loss of control due to partial disposal of investment, does not lead to significant influence on S Ltd. In such a situation, retained interest will be measured at fair value in P Ltd.'s Separate Financial Statements as given in the alternate solution and main solution will not be applicable in such a case.

Study-material link: variant of SM Illustration 32 (Ch 13 unit 4, AT Ltd. / BT Ltd., partial disposal when subsidiary becomes an associate)

Q100 · Loss of control

PYQ May 2026 · MCQ 3 · 2 marks · Theory

Case Scenario-I (extract): Aakash Ltd. is a manufacturing company and engaged in the manufacturing of home and industrial appliance products. The company has made considerable growth during last few years as demand of its products has increased substantially. Aakash Ltd. is a diversified group having manufacturing units in different cities of India and other countries.

Following information is available in respect of Aakash Ltd. for the year ended on 31st March, 2026: [facts (1), (2), (4), (5) on CGU impairment, land, loan refinancing and convertible preference shares feed MCQs 1, 2, 4, 5]

(3) Aakash Ltd. acquired 90% stake in subsidiary Oil Ltd. a few years ago. Aakash Ltd. now sells its entire investment in Oil Ltd. for ₹ 2,000 lakhs. The net assets of Oil Ltd. are ₹ 1,500 lakhs and the NCI in Oil Ltd. is ₹ 200 lakhs. The cumulative exchange difference that has arisen during Aakash Ltd.'s ownership are gains of ₹ 300 lakhs, resulting in Aakash Ltd.'s foreign currency translation reserve in respect of Oil Ltd. having a credit balance of ₹ 270 lakhs, while the cumulative amount of exchange differences that have been attributable to NCI is ₹ 30 lakhs.

On the basis of information provided in the above case scenario, you are required to choose most appropriate answer to the below mentioned questions from 1 to 5.

3. What is the amount of Aakash Ltd.'s gain on disposal of its investment in Oil Limited ?

(A) ₹ 970 lakhs

(B) ₹ 1770 lakhs

(C) ₹ 500 lakhs

(D) ₹ 770 lakhs

Solution — app-written (ICAI suggested answer not in the repo; figures match ICAI's published key/answer)

ICAI answer key: (A) ₹ 970 lakhs.

Working (app-written, reproduces ICAI's key):

Particulars	₹ lakhs
Sale proceeds	2,000
Less: net assets derecognised 1,500 less NCI derecognised 200	(1,300)
Add: parent's share of FCTR reclassified to P&L (NCI's 30 is not reclassified)	270
Gain on disposal	**970**